

# Child Support and Labor Supply in a High-Informality Setting\*

Rosario Didier<sup>†</sup>   Paula A. Lopez Villalba<sup>‡</sup>  
University of Michigan   University of Michigan

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## Abstract

We study parents' labor-supply responses to family separation and unpack the roles of household dissolution and child support in a setting with widespread labor informality. We build a new dataset from individual child-support and family-court records in Ecuador and link it to administrative labor-market, census, and survey data. Using a matched difference-in-differences design and monthly employment histories, we find that formal employment among fathers, who are the child-support payers, declines by 5% in the year following separation and entry into the child-support system, while formal employment among mothers, the recipients, increases by 6%. Comparing these parents with couples who separate without entering child support, and separately studying parents who enter child support without having shared a household, we find that fathers' formal employment declines in both cases, indicating that household dissolution alone cannot account for their response. At longer horizons, fathers' lower formal employment is largely mirrored by greater informal employment, while mothers increase employment in both sectors. Institutionally and empirically, formal employment matters for both the determination and the collection of child support: fathers who remain formally employed through the hearing receive obligations that are 20% higher, conditional on pre-filing earnings, and pay a larger share of what they owe. Finally, we estimate a model of household employment, fertility, and separation to quantify these two channels. In the estimated model, differences in collection across sectors account for roughly twice as much of fathers' move into informal employment as differences in determination, and making collection independent of the father's sector would raise payments to mothers by about 10%.

*Keywords:* Child support, Family, Latin America, Labor supply

*JEL Codes:* J2, J12, J13, J16

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<sup>†</sup>Didier: [rosariod@umich.edu](mailto:rosariod@umich.edu), Department of Economics, University of Michigan.

<sup>‡</sup>Lopez Villalba: [plopezv@umich.edu](mailto:plopezv@umich.edu), Department of Economics, University of Michigan.

# I Introduction

Family separation fundamentally changes how parents provide for their children. When parents who previously lived together separate, resources that were generated and allocated within a single household must support two separate households, while children continue to depend on resources from both parents. Child-support systems are a central policy response to family separation: by requiring non-resident parents to make regular transfers, they seek to preserve children’s access to parental resources across households. These transfers can constitute an important source of income for single-parent households and materially affect children’s living standards (Cuesta et al., 2018, 2023).

Supporting children across separate households may also require parents to adjust how they generate those resources. Family separation can change parents’ financial needs and incentives to work. Child-support systems can themselves shape these decisions because obligations generally depend on parents’ earnings or economic capacities. A policy designed to preserve children’s access to parental resources after separation may therefore also affect the labor-market choices through which those resources are generated.

Labor informality adds an important dimension to these labor-supply responses. In labor markets with widespread informality, a reduction in formal employment need not imply a reduction in employment or earning capacity: workers may instead move into informal jobs. The formal–informal margin is particularly relevant for earnings-based obligations such as child support because formal labor income is typically recorded by employers and government institutions, whereas informal labor income is substantially harder to verify. Moving away from formal employment can therefore change the observability of earnings without requiring a parent to stop working.<sup>1</sup>

We ask how mothers and fathers adjust their labor supply following family separation and how child support contributes to these adjustments. Identifying the role of child support is challenging because, for parents who previously shared a household, separation involves both the dissolution of the shared household and the onset of child-support obligations. Household dissolution can itself affect labor supply through the loss of economies of scale, changes in living arrangements and childcare responsibilities, and changes in mental health (Chiappori and Mazzocco, 2017; Johnston et al., 2025; Dasgupta et al., 2025). Child support introduces a distinct change: a long-term mandated transfer between parents who no longer share a household.

We study this question in Ecuador, a setting with widespread labor informality and

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<sup>1</sup>Informality is particularly salient in developing countries, although recent evidence suggests that informal work may also be more prevalent in advanced economies than conventional statistics imply (Gunter, 2017).

a judicial child-support system in which formal employment is consequential for both the determination and enforcement of obligations. Our analysis relies on a new dataset that allows us to jointly observe family transitions, parents’ interactions with the child-support system, and their labor-market trajectories.

We build this unique dataset from individual child-support records and family-court files that we systematically retrieve and transform into structured data. We first assemble a nationwide registry of individuals in Ecuador’s maintenance-payment system by collecting individual records from its public platform and linking payers and recipients associated with the same support obligation. For pairs with family-law cases in the province of Pichincha, we retrieve their court records and reconstruct their joint family-law judicial histories, extracting information on proceedings, filing and hearing dates, child-support obligations, payments, and enforcement. Within Ecuador’s National Institute of Statistics and Censuses (INEC), we link this dataset to monthly social-security records, Civil Registry records, the Population Census, and nationally representative employment-survey data. To our knowledge, this is the first dataset in a developing-country setting to combine detailed child-support and family-court records with longitudinal administrative labor-market histories.

Our primary analysis follows mothers and fathers as they transition from living together to living apart and enter the child-support system. We date the event at the filing of the child-support case, when support obligations begin to accrue, and trace parents’ monthly formal employment and earnings around this transition. We compare these parents with observationally similar mothers and fathers who remain married or cohabiting and do not enter the child-support system, matching them separately on age, province of residence, and their pre-event formal-earnings trajectories. This comparison captures the labor-market adjustment associated with family separation in our setting, where the dissolution of the shared household occurs alongside the onset of child-support obligations.

Mothers and fathers adjust their formal employment in opposite directions following family separation. Twelve months after filing, fathers are approximately 3.1 percentage points less likely to be formally employed than matched fathers who remain in stable households. Relative to a pre-event formal-employment rate of approximately 60 percent, this represents a decline of about 5 percent. Mothers, by contrast, become approximately 3.1 percentage points more likely to be formally employed over the following year, relative to a pre-event rate of approximately 51 percent. Changes in formal labor income conditional on remaining formally employed are considerably smaller. The primary adjustment therefore occurs through formal-sector attachment, with fathers and mothers moving in opposite directions.

Two complementary comparisons show that household dissolution alone cannot account for fathers’ decline in formal employment. First, we compare parents in our primary sample

with individuals who also dissolve a shared household but do not enter the child-support system because they do not have dependent children. Twelve months after the event, fathers who enter child support are approximately 2.4 percentage points less likely to be formally employed. Second, we study an alternative pathway into child support that does not involve contemporaneous household dissolution, comparing parents who enter the system around a first birth without evidence of a prior shared household with parents experiencing a first birth within a stable household. Fathers entering child support along this pathway become approximately 7 percentage points less likely to be formally employed after one year. Thus, fathers' formal employment declines both when we hold household dissolution fixed and when child support begins without contemporaneous household dissolution. For mothers, by contrast, we find no clear differential response when comparing household dissolutions with and without child support, while formal employment increases in the second comparison.

The decline in fathers' formal employment largely reflects reallocation toward informal employment rather than withdrawal from employment. Administrative social-security records reveal whether an individual is formally employed but cannot distinguish informal employment from unemployment or inactivity. We therefore use the 2022 Population Census, combined with administrative social-security records, to classify individuals into four mutually exclusive labor-market states. Fathers experiencing family separation are 6.2 percentage points less likely to be formally employed at the Census date than their matched controls and 3.3 percentage points more likely to be informally employed, while differences in unemployment and inactivity are substantially smaller. The shift toward informal employment is particularly pronounced among fathers who were formally employed before separation: they are 7.2 percentage points less likely to be formally employed and 5.0 percentage points more likely to be informally employed than their matched controls. Thus, among initially formal fathers, approximately 69 percent of the formal-employment gap is mirrored by higher informal employment.

Mothers exhibit a different pattern of labor-market adjustment. Their increase in formal employment is part of a broader increase in labor-market attachment rather than a reallocation away from formal employment. In particular, mothers who were not formally employed before separation are more likely to be employed in both the formal and informal sectors and substantially less likely to be inactive. Among initially formal mothers, we find no corresponding decline in formal employment.

The formal-to-informal adjustment among fathers is particularly relevant because fathers are the child-support payers in our setting, and formal employment shapes both how obligations are determined and how they are collected. Ecuador's statutory schedule maps the non-resident parent's assessed income and the number and ages of dependent children into

a minimum obligation. Formal earnings can be verified directly through payroll and administrative records, whereas outside formal employment courts must rely on other evidence of economic capacity. Informal employment does not necessarily imply low earnings: nationally representative survey data show substantial overlap in the earnings distributions of formal and informal workers, even after conditioning on education, potential experience, gender, and location. Formal employment also facilitates collection, because earnings paid by an identifiable employer can be withheld at the source.

Consistent with these features, formal employment at the hearing is associated with both larger obligations and higher payment. Among fathers who were formally employed as wage earners before filing, those who remain formally employed at the hearing receive obligations about 20 percent larger than those who do not, even conditional on pre-filing earnings, and they subsequently pay a larger share of their obligations and face fewer enforcement actions. These relationships are descriptive, but they show that formal-sector status at the time of determination is closely tied to both the amount owed and the amount paid.

The reduced-form evidence cannot reveal, however, how much determination and collection each contribute to fathers' sector choices, because we observe neither the earnings fathers could obtain in the sector they do not choose nor their non-pecuniary preferences for informal work. We therefore develop and estimate a two-period model of household employment, fertility, and separation. In the first period, couples live together and jointly choose their employment sectors and whether to have children, anticipating the child-support rules they would face if they separated. In the second period, couples decide whether to separate. Following separation, fathers choose their employment sector, which affects both how the child-support obligation is determined and what share of it is collected. We estimate earnings opportunities and preferences for informal work using data on couples before separation, and use the court records to discipline how much earning capacity courts recover outside formal employment and how much collection differs across sectors.

In the estimated model, differences in collection across sectors contribute more to fathers' employment responses than differences in determination. Making collection independent of the father's sector lowers the share of initially formal fathers with children who would work informally after separation from 14.6 to 5.6 percent and raises average payments to mothers by about 10 percent; making determination independent of the sector lowers that share to 10.5 percent and raises payments by about 3 percent. The model also shows that the design of child support affects not only how parents divide their income after separation but also how much income they generate. When neither the obligation nor its collection depends on the father's sector, most fathers who would otherwise work informally remain formally employed and earn more. Average payments to mothers rise by about 12 percent, while fathers' average

earnings net of child-support payments also increase slightly.<sup>2</sup> These counterfactual responses are conditional on the model’s preferences, which include non-pecuniary differences between sectors but exclude fathers’ concern for the resources reaching their children.

By studying labor-market adjustment around entry into the child-support system, we connect the literature on the economic consequences of family separation with the literature on behavioral responses to child support. The first documents changes in employment, earnings, and income following separation (Bonnet et al., 2021; Johnston et al., 2025; Dasgupta et al., 2025). In this setting, however, the dissolution of the shared household often coincides with entry into child support, so the resulting labor-market adjustment may reflect both changes. The second uses variation in child-support obligations and enforcement to identify behavioral responses to financial incentives among parents already in the child-support system (Hu, 1999; Cancian et al., 2013; Rossin-Slater and Wüst, 2018; Foerster, 2024). Our contribution is to study the transition into child support and compare transitions that do and do not coincide with household dissolution, allowing us to assess whether household dissolution alone can account for the labor-market responses observed around family separation.

We also contribute to the literature on informality and earnings-contingent policies by showing that a family policy can generate incentives along the formal–informal margin. Existing work shows that taxes and public transfers can affect whether economic activity is conducted in forms that are visible to the state (Garganta and Gasparini, 2015; De Brauw et al., 2015; Bergolo and Cruces, 2021; Ulysea, 2020). Similar incentives may arise in child support when employment sectors differ in earnings observability and the ease of collection: Cancian et al. (2013) discuss informal employment as a potential response to child-support debt, while Roff and Lugo-Gil (2012) models underground work as a response to child-support obligations. We provide evidence on this margin in a setting with widespread informality.

The remainder of the paper proceeds as follows. Section II describes what happens when a family with children separates and the institutional setting governing child support in Ecuador. Section III describes the construction of the dataset and analysis samples. Section IV presents the formal labor-market responses to family separation and the complementary comparisons used to examine the role of child support. Section V examines whether changes in formal employment reflect differences in informal employment, unemployment, or inactivity. Section VII examines the relationship between formal employment and child-support outcomes. Section VIII presents the model, its estimation, and the policy counterfactuals. Section IX concludes.

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<sup>2</sup>Fathers’ monetary resources are not their welfare: fathers who remain formally employed under the alternative rule have more money, but they give up the non-pecuniary value they attach to informal work.

## II When a family with children separates

### A Household dissolution

Living together generates economic gains that disappear when a household dissolves. Couples share expenditures on housing and other goods, pool resources to finance consumption, and jointly allocate time between market work and household production. This joint allocation allows spouses to specialize: one spouse can devote relatively more time to market work while the other devotes relatively more time to childcare and other household production. Thus, an individual's consumption while living with a partner need not be financed by her own earnings, and her market labor supply depends in part on the resources and time contributed by her spouse (Chiappori and Mazzocco, 2017).

Separation eliminates some of these gains from living together. Two households must be maintained instead of one, increasing the resources required to sustain a given level of consumption. At the same time, each spouse loses direct access to the other's earnings and household production. Separation therefore changes both the budget and time constraints that individuals face, even if there are no subsequent transfers between them.

The consequences of this change depend on how market and household work were divided before separation. A spouse who specialized relatively more in household production enters separation with lower own earnings and labor-market attachment, while losing access to income previously earned by the other spouse. Increasing market work can replace part of those lost resources. For the spouse who had specialized relatively more in market work, the consequences are different: separation does not create the same need to replace a partner's earnings and may reduce some of the household-production responsibilities that previously accompanied family life. Household specialization can therefore generate asymmetric labor-supply adjustments following dissolution.

For parents, the allocation of childcare creates an additional asymmetry. Children continue to require both expenditures and time after their parents stop living together, but these inputs are no longer provided within a common household. When children reside primarily with one parent, that parent combines a greater need to finance consumption independently with day-to-day childcare responsibilities. The first force raises the incentive to work, while the second increases the opportunity cost of market work. The non-resident parent faces a different change in time constraints as daily childcare responsibilities decline. The presence and living arrangements of children can therefore shape not only the magnitude but also the direction of parents' labor-supply responses to household dissolution.

These mechanisms are particularly relevant given the gendered division of market and household work before separation. Existing evidence on labor-supply responses to family

separation comes primarily from developed economies. Across these settings, mothers generally increase their labor supply after separation. In France, Bonnet et al. (2021) document substantial labor-market reentry among previously inactive women, while Klingler (2025) finds that mothers in Germany increase labor supply during the divorce process and remain at higher levels afterward. Dasgupta et al. (2025) similarly find an increase in women’s employment at separation in New Zealand. Men’s post-separation labor-supply responses are less uniform across settings. In France, Bonnet et al. (2021) find comparatively small changes in men’s labor supply, whereas Dasgupta et al. (2025) document a decline in men’s employment at separation in New Zealand. In the United States, fathers’ working hours increase by about 16 percent following divorce and continue to rise over the subsequent decade (Johnston et al., 2025). Existing evidence therefore points to a relatively consistent increase in mothers’ labor supply but substantial heterogeneity in fathers’ responses. Whether these patterns extend to settings in which informal employment constitutes a major alternative to formal work remains largely unexplored.

## B Child support

Child support introduces a mandated transfer between parents after separation. For the resident parent, child-support payments increase the resources available to support the child; for the non-resident parent, the obligation reduces the resources retained from a given level of earnings. Child support can therefore affect the labor-supply decisions of both parents, but through different incentives.

For resident parents, child-support payments provide an additional source of income and may alter the incentive to work. Using longitudinal data on divorced and separated women in the United States, Hu (1999) finds that higher child-support payments reduce welfare participation but increase women’s annual hours of work. For non-resident parents, labor-supply incentives depend on how obligations are determined and enforced. Using administrative data from Wisconsin and variation in child-support debt generated by Medicaid childbirth costs, Cancian et al. (2013) finds that greater child-support debt reduces fathers’ formal employment and child-support payments.<sup>3</sup> Evidence from other institutional settings points to smaller labor-market responses. Exploiting variation in Denmark’s child-support formula, Rossin-Slater and Wüst (2018) finds no detectable effects of higher child-support obligations on either mothers’ or fathers’ labor-market outcomes.

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<sup>3</sup>Cancian et al. (2013) note that because earnings in the informal economy are less exposed to child-support enforcement, higher child-support debt may induce fathers to substitute informal for formal employment. Their administrative data do not allow them to observe informal employment, however, leaving this margin empirically unresolved.

These studies show that child support can affect parents’ labor-market behavior, but little is known about whether parents respond by changing the sector in which they work. This margin may be particularly important in economies with widespread labor informality. When formal and informal employment differ in the observability of earnings or in the ability to collect payments directly from earnings, moving between sectors can change the effective burden of child support even without a comparable change in actual labor income. Roff and Lugo-Gil (2012) explicitly models this possibility for unmarried fathers in the United States, allowing fathers to choose between regular and underground employment, and find in model simulations that higher child-support orders increase underground work. Direct empirical evidence on reallocation between formal and informal employment in response to child support, however, remains scarce.

This margin is particularly relevant in Ecuador, where informal employment is widespread and formal-sector status affects child support through two distinct channels. First, formal earnings can be directly verified when courts determine child-support obligations, whereas earnings outside formal employment are substantially harder to observe. Second, formal employment facilitates subsequent collection and enforcement because payments can be withheld directly from identifiable sources of income. We next describe how these features operate within Ecuador’s child-support system.

## 1 Ecuador

In Ecuador, non-resident parents are legally required to make monthly child-support payments to the resident parent. Payments are due until the child turns 18, or until age 21 if the child remains satisfactorily enrolled in tertiary education. Child support is intended to cover children’s basic needs, including food, education, healthcare, housing, and recreation. It is primarily regulated by the Code of Children and Adolescents (*Código de la Niñez y Adolescencia*) and by the child-support tables published by the Ministry of Economic and Social Inclusion (MIES, by its Spanish acronym).

A child-support obligation may arise independently of the parents’ marital status, provided that the filial relationship between the child and the defendant has been established.<sup>4</sup> Alternatively, when parents divorce and have minor children, child support is determined as part of the divorce proceedings together with visitation arrangements and, when applicable, the division of jointly owned property. The legal framework explicitly recognizes unpaid domestic and caregiving work performed by the resident parent as an economic contribution. Consequently, child-support obligations are determined on the basis of the non-resident parent’s income. In practice, these arrangements are highly gendered: in 97% of the cases in

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<sup>4</sup>Child-support claims may also be filed jointly with requests to establish paternity through DNA testing.

our data, the resident parent is the mother and the non-resident parent is the father. We therefore describe the determination of child support below using this predominant arrangement.

The MIES tables establish the statutory minimum child-support obligation as a function of the non-resident parent’s income and the number and ages of dependent children. Although judges may set higher amounts depending on the circumstances of the case, the statutory schedule provides the benchmark used to determine the minimum obligation. The schedule is not proportional. Instead, parents are assigned to discrete income brackets, defined in multiples of the statutory minimum wage (*Salario Basico Unificado*, SBU, by its Spanish acronym), with higher brackets facing higher child-support rates. The applicable rate is then applied to the parent’s entire income rather than only to the portion exceeding the relevant threshold. Consequently, minimum child-support obligations increase more than proportionally as assessed income crosses statutory thresholds.<sup>5</sup>

Once a petition is filed, the case is assigned to a judge, who establishes a provisional child-support obligation. The defendant must then be formally notified before the case can proceed to a hearing. Before issuing a final ruling, the judge may request information from public institutions, including the Ecuadorian Social Security Institute (*Instituto Ecuatoriano de Seguridad Social*, IESS) and the Internal Revenue Service (*Servicio de Rentas Internas*, SRI), as well as commercial banks, to assess the defendant’s financial situation. At the hearing, the judge first attempts to facilitate an agreement between the parties. If no agreement is reached, the judge determines the final child-support obligation using the MIES tables as the principal guideline.

The distinction between filing and hearing is important for our empirical analysis. Notification is frequently delayed, so the hearing at which the definitive child-support obligation is determined may occur several months after filing. Filing, by contrast, is precisely dated, marks the beginning of the child-support proceeding, and determines the date from which the provisional obligation begins to accrue. We therefore use filing to date entry into the child-support system.

**Assessing the defendant’s earnings.** A defendant’s formal-employment status determines whether the court can directly verify his labor earnings. We define formal employment as employment for which earnings are reported in the administrative records of the Ecuadorian Social Security Institute (IESS) or the Internal Revenue Service (SRI). These

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<sup>5</sup>According to the 2024 MIES child-support tables, for one child aged three or older, increasing assessed income from one to three statutory minimum wages raises the minimum child-support obligation from 0.295 to 1.109 statutory minimum wages. Although assessed income triples, the minimum obligation increases by a factor of approximately 3.76 because both the applicable child-support rate and the income base increase.

are both sources that judges can consult when determining child-support obligations and the administrative records we use to measure formal employment and earnings in our analysis. Thus, when a defendant is formally employed, we observe essentially the same labor-income information that is available to the court.

For defendants outside formal employment, the court cannot directly verify labor earnings through these administrative records. The burden of proving the defendant’s income lies with the petitioner, who must establish it through witnesses or other evidence of economic capacity. When earnings cannot otherwise be established, judges commonly use one statutory minimum wage as a reference point. Figure 1 documents the empirical importance of this benchmark in our court records. Among defendants outside formal employment at the hearing, child-support obligations exhibit a pronounced mass around 0.295 statutory minimum wages. This amount corresponds to the minimum obligation for one child when the defendant’s assessed income is one statutory minimum wage.

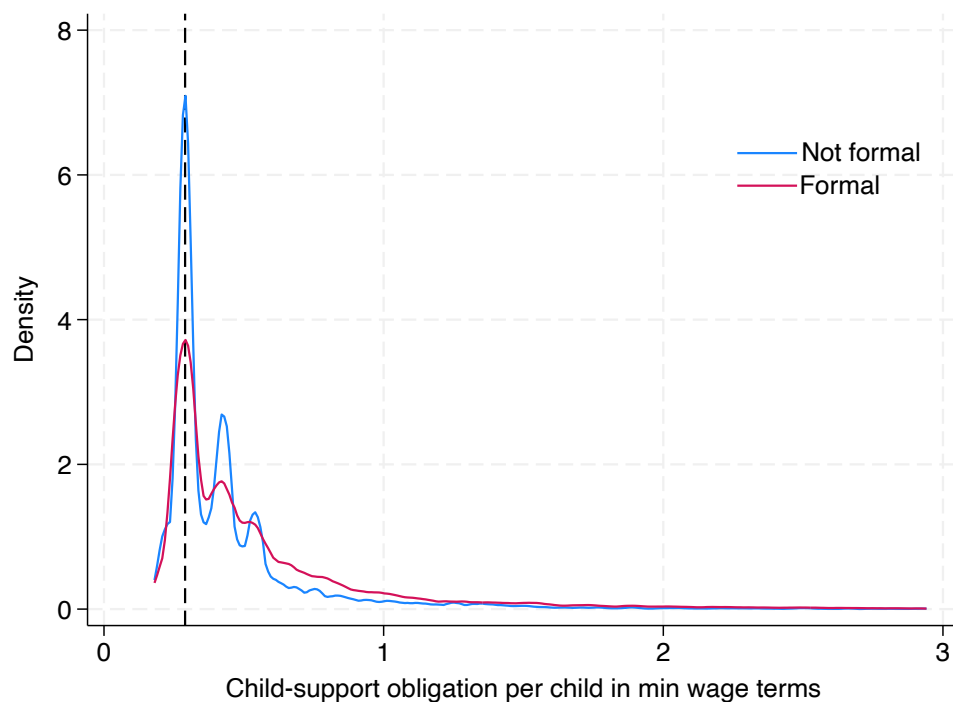


Figure 1: Child-Support Obligations by Formal-Employment Status at the Hearing

This distinction is particularly relevant in Ecuador because informal employment is widespread and informal workers may have substantial earnings that are not directly observable to the court. Using nationally representative employment survey data linked to administrative social-security records, Appendix A shows that the earnings distributions of formal and informal workers overlap substantially. Among informal men aged 22–55, median

monthly earnings are approximately 1 statutory minimum wage, the 75th percentile is 1.25 minimum wages, and the 90th percentile is 2 minimum wages. The appendix also uses the survey's panel structure to show that workers who move from formal to informal employment do not necessarily experience a corresponding decline in labor earnings. Thus, a father may have substantial labor earnings even when those earnings are not directly observable in the administrative records available to the court.

Formal employment also matters after the obligation has been determined. Once established, a child-support obligation is not automatically adjusted to subsequent changes in the defendant's earnings. Beyond annual adjustments for changes in the statutory minimum wage and inflation, modifying the obligation requires either party to initiate a separate judicial proceeding requesting an increase or reduction. Absent such a petition, the existing obligation remains in force even if the defendant's earnings change.

Once a child-support obligation is established, payments may be made directly by the defendant through authorized financial institutions. When income originates from an identifiable third party, such as an employer or pension administrator, judges may order the obligation to be withheld directly from that income source. This collection mechanism is primarily available for formal employment relationships because informal labor income generally cannot be intercepted through employer withholding. Defendants who accumulate arrears may face additional enforcement measures, including restrictions on leaving the country, asset-based sanctions, and civil detention.

Formal employment therefore matters at two distinct stages of the child-support process. At the determination stage, it provides the court with directly verifiable information about the defendant's earnings. After an obligation has been established, it facilitates collection through withholding from identifiable income sources. Outside formal employment, earnings are harder to verify and labor income is harder to intercept directly.

### III Data and Summary Statistics

Our analysis is based on a unique dataset that we built by retrieving individual records from the national maintenance-payment system (SUPA) and digitized family-court records from the Judicial Case Inquiry System (SATJE). We then linked this dataset to nationwide administrative labor-market records, Civil Registry records, the 2015–2023 National Birth Registry, the 2022 Population Census, and the 2014–2024 waves of the National Employment Survey (ENEMDU). All datasets were linked using individuals’ national identification numbers.<sup>6</sup> The resulting dataset combines information on parents’ judicial histories, labor-market trajectories and demographic characteristics. Appendix B describes the construction of the dataset in detail.

#### A Data Sources and Linkage

**Child-support and judicial records.** SUPA is the centralized payment platform administered by the Judicial Council through which court-ordered maintenance payments are collected and transferred to recipients. Although the system administers different types of maintenance obligations, child-support cases account for the overwhelming majority of records. Because SUPA does not provide a downloadable database of case records, we systematically queried the platform to recover all publicly available case records nationwide. We then used judicial case identifiers to link the individual records of payers and recipients involved in the same case. This procedure yielded a nationwide registry containing 1,594,687 unique individuals who appeared in the system as either payers or recipients.

Although SUPA provides limited information about the underlying judicial proceedings, its nationwide coverage is central to our empirical design. It allows us to identify individuals with previous maintenance obligations regardless of where their cases were filed, including outside the province for which we reconstruct complete judicial histories.

We complement these nationwide records with digitized family-court records from SATJE for the province of Pichincha. For each individual identified through SUPA, we used their national identification number to retrieve their complete family-law litigation history in the province. We then identified the proceedings involving both members of each payer–recipient pair, using judicial case identifiers to link these proceedings to the corresponding SUPA records. This procedure allows us to reconstruct each pair’s shared judicial history, rather than observing only the child-support proceeding through which the pair entered SUPA.

We processed the resulting court documents using regular expressions and large lan-

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<sup>6</sup>Before merging, we verified that ages implied by each source were consistent with those recorded in the Civil Registry.

guage models to extract structured information on hearings, judicial decisions, child-support awards, enforcement actions, and other case characteristics. These reconstructed histories allow us to identify the legal pathways through which families entered the child-support system and to distinguish different family contexts preceding the establishment of child-support obligations.

In addition, we used SATJE to identify all family-court judges who resolved cases in Pichincha during our sample period and to retrieve the complete set of family-law proceedings handled by those judges. This additional collection allows us to identify couples involved in divorce or household-dissolution proceedings independently of whether they appear in SUPA.

**Labor-market and demographic records.** The administrative labor-market records provide monthly information on formal employment, earnings, and employment category through individuals’ social-security contributions. These records allow us to reconstruct individuals’ formal labor-market trajectories before and after their first family-law proceeding.

We supplement these records with several additional sources, linked using individuals’ national identification numbers.<sup>7</sup> Civil Registry records provide dates of birth and death, which we use to determine individuals’ ages and exclude deceased individuals and their corresponding pairs from the analysis. The National Birth Registry records the dates of birth of all children born between 2015 and 2023, together with the national identification numbers of their mothers, allowing us to supplement fertility information for recent births.

The 2022 Population Census provides information unavailable in the administrative records. Although it captures individuals at a single point in time—typically after child-support litigation for the vast majority of pairs—it contains time-invariant characteristics, such as mothers’ age at first birth, that we use to construct matched control groups in our empirical exercises. Importantly, it also provides information on labor-force status, allowing us to distinguish formal employment, informal employment, unemployment, and inactivity.

The Census has two limitations for our analysis. First, although it identifies individuals’ labor-force status, it does not collect information on labor earnings. Second, while the Census covers the entire population, valid national identification numbers are available for only 70% of records, preventing us from linking our entire sample to it.

We additionally use the 2014–2024 waves of ENEMDU to complement the administrative and Census information on labor-market outcomes.

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<sup>7</sup>Before merging, we verified that ages implied by each source were consistent with those recorded in the Civil Registry.

## B Sample Construction

We begin by constructing our main sample of mother–father pairs identified through SUPA. For each pair with at least one family-law proceeding filed in Pichincha, we reconstruct the pair’s complete shared family-law judicial history. We retain pairs whose first observed family-law proceeding occurred between 2010 and 2023 and define this proceeding as the pair’s entry into our analysis.

Because child-support proceedings can involve relatives other than the children’s parents, a pair of individuals linked through SUPA does not necessarily correspond to a parental couple. To increase the likelihood that the identified pair consists of the mother and father of the children covered by the child-support case, we restrict the sample to opposite-gender pairs in which both individuals were between 21 and 55 years old at the time of their first family-law proceeding and their age difference was no more than 15 years. We waive the age-gap restriction when the two individuals share the same marriage date, which provides independent evidence that they are a couple. These restrictions yield 98,334 child-support-related pairs.

We use the reconstructed judicial histories and Civil Registry records to classify these pairs according to the family context in which they entered the child-support system.

**Households (HH)** We classify a pair as a *household* when there is evidence that the parents previously shared a household, either because their judicial history contains a divorce, union-dissolution, or related proceeding or because Civil Registry records indicate a shared marriage date. We identify 41,087 such pairs.

This group constitutes our primary population of interest and corresponds to the family setting studied in much of the literature on the economic consequences of separation: two adults who previously shared a household and made economic decisions within the same family unit, but who subsequently separate while remaining economically linked through their children.

We impose two additional restrictions to construct the HH analysis sample. First, to focus on parents entering the maintenance-payment system for the first time, we require that neither member of the pair have any previous maintenance case anywhere in the national SUPA registry, leaving 39,116 pairs. Second, we require both members of the pair to be linked to the 2022 Population Census. Census information is used both to construct matched control groups in our empirical exercises and to distinguish formal from informal labor-market adjustment. Requiring Census linkage for both parents yields our final HH analysis sample of 12,720 mother–father pairs.

**Non-households (non-HH).** We classify a pair as a *non-household* if their observed judicial history begins with a pregnancy-support, paternity, or DNA proceeding and there is no evidence that the parents previously shared a household. We identify 2,896 such pairs.

Unlike the HH sample, these cases are not identified through evidence of the dissolution of a previously shared household. The nature of the parents' prior relationship is therefore inherently more heterogeneous: the group may include parents who had a continuing relationship but never co-resided, as well as those whose relationship was brief or who had other partners or families.

Rather than attempting to characterize these different relationship histories, we construct a subsample centered on a common and economically meaningful transition: the birth of a woman's first child. We therefore restrict the non-HH sample to women for whom the child associated with the proceeding is their first birth and retain the men associated with these women. We do not impose an analogous first-case restriction on men.

These restrictions yield 1,451 non-HH pairs, which form the treated sample for our third empirical exercise. Given the substantially smaller size of the non-HH sample, we do not impose an additional Census-linkage restriction.

**Unclassified pairs.** For 54,351 of the 98,334 child-support-related pairs, the only shared proceeding in their reconstructed judicial history is the child-support case itself, and Civil Registry records provide no evidence of a shared marriage. We exclude these pairs from the empirical analysis rather than infer prior household structure from the absence of additional judicial or marriage records. Tables 16 and 17 in Appendix B report the complete sample cascade, including intermediate Census-linkage rates, and compares observable characteristics across successive sample restrictions.

**No child support (no CS).** To construct an alternative comparison group for our HH sample, we return to the family-law proceedings retrieved from SATJE. We identify couples involved in divorce or household-dissolution proceedings and use the nationwide SUPA registry to exclude those in which either individual had any recorded maintenance case through 2025.

Unlike the HH sample, which consists of parents who previously shared a household and subsequently entered the child-support system, the no CS sample consists of couples without children or whose children are older than 18. This group allows us to compare labor-market adjustments following household dissolution between couples who enter the child-support system and those who do not. Our final no-CS comparison sample consists of 1,595 couples.

## C Summary Statistics

Table 1 reports demographic and pre-filing labor-market characteristics for the HH, non-HH, and no CS samples.

HH parents are older than non-HH parents, consistent with the different family transitions used to construct the two groups. Fathers are, on average, 36.2 years old in the HH sample and 30.0 years old in the non-HH sample, while mothers are 34.1 and 28.3 years old, respectively. Individuals in the no CS comparison sample are older, with an average age of 42.5 years for both men and women.

HH parents also exhibit stronger attachment to formal employment immediately before filing. In the month preceding their first judicial proceeding, 60.2 percent of HH fathers and 50.9 percent of HH mothers are formally employed, compared with 52.7 and 46.7 percent, respectively, in the non-HH sample. Formal employment rates are lower in the no CS sample, at 49.6 percent for men and 40.9 percent for women. Among formally employed individuals, wage employment is the predominant employment category across all three samples. It accounts for more than 90 percent of formally employed HH and non-HH parents, compared with approximately 85 percent of men and 84 percent of women in the no CS sample.

Formal wage earners in the HH sample have higher earnings prior to filing than those in the non-HH sample. Fathers earn an average of 2.46 monthly minimum wages in the HH sample, compared with 1.97 in the non-HH sample, while the corresponding averages for mothers are 2.19 and 1.74. Earnings in the no CS sample are closer to those observed among HH parents.

Despite differences in employment and earnings immediately before filing, the share of fathers who have never appeared in the formal social-security records prior to the first judicial proceeding is similar across the HH and non-HH samples, at approximately 19 percent and 20 percent, respectively. Among mothers, these shares are 27.3 percent and 22.4 percent. The corresponding shares are higher in the no CS sample, where 27.0 percent of men and 33.4 percent of women have no recorded history of formal employment.

Table 2 describes how HH and non-HH parents enter and progress through the judicial system. The differences in the first observed proceeding reflect the sample definitions. Among HH pairs, 64.0 percent first appear in a child-support proceeding and 29.5 percent first appear in a divorce, union-dissolution, or marital-property proceeding. By construction, all non-HH pairs first appear in a pregnancy-support, paternity, or DNA proceeding. Despite these different pathways into the child-support system, subsequent judicial proceedings look relatively similar across the two samples. A hearing is observed for 81.8 percent of HH cases and 78.6 percent of non-HH cases, occurring on average 7.7 and 6.6 months after filing, respectively. Conditional on reaching a hearing, agreements between the parties are common

in both groups, accounting for more than 90 percent of hearings.

Child-support orders, however, differ across the two family structures. HH cases involve an average of 1.60 children, compared with 1.00 in non-HH cases, consistent with the latter sample being constructed around a woman's first birth. The average definitive child-support order is correspondingly larger among HH pairs, at 0.67 monthly minimum wages compared with 0.40 among non-HH pairs. Even after expressing the order per child, the average remains higher in the HH sample, at 0.57 monthly minimum wages compared with 0.40 in the non-HH sample.

Payment compliance is somewhat higher among HH pairs: 66.9 percent of scheduled obligations are paid on average, compared with 61.3 percent among non-HH pairs, while 17.7 percent of HH cases and 20.9 percent of non-HH cases have no recorded payment through December 2024.

Table 1: Demographic and labor-market characteristics by pair type

|                                                                | HH              | Non-HH          | No CS           |
|----------------------------------------------------------------|-----------------|-----------------|-----------------|
| <i>Age (mean)</i>                                              |                 |                 |                 |
| Fathers                                                        | 36.24<br>(7.68) | 30.03<br>(6.45) | 42.53<br>(7.94) |
| Mothers                                                        | 34.08<br>(7.32) | 28.32<br>(5.37) | 42.53<br>(8.15) |
| <i>Formal employment (%)</i>                                   |                 |                 |                 |
| Fathers                                                        | 60.17           | 52.72           | 49.59           |
| Mothers                                                        | 50.87           | 46.66           | 40.94           |
| <i>Employment category among formally employed (%)</i>         |                 |                 |                 |
| Fathers                                                        |                 |                 |                 |
| Wage-earner                                                    | 92.71           | 96.60           | 85.34           |
| Self-employed                                                  | 3.76            | 1.57            | 6.19            |
| Business owner                                                 | 2.74            | 0.92            | 3.29            |
| Mothers                                                        |                 |                 |                 |
| Wage-earner                                                    | 91.06           | 94.39           | 84.07           |
| Self-employed                                                  | 3.93            | 1.92            | 6.58            |
| Business owner                                                 | 2.02            | 0.44            | 4.44            |
| <i>Monthly earnings among wage-earners (in min wage units)</i> |                 |                 |                 |
| Fathers                                                        | 2.46<br>(1.78)  | 1.97<br>(1.34)  | 2.30<br>(1.82)  |
| Mothers                                                        | 2.19<br>(1.59)  | 1.74<br>(1.14)  | 2.19<br>(1.71)  |
| <i>Never formal (%)</i>                                        |                 |                 |                 |
| Fathers                                                        | 18.60           | 19.85           | 26.96           |
| Mothers                                                        | 27.28           | 22.40           | 33.35           |
| <i>Number of pairs</i>                                         |                 |                 |                 |
| N                                                              | 12,720          | 1,451           | 1,595           |

*Notes:* Statistics are measured in the month prior to the filing of the first judicial event. The HH and Non-HH columns correspond to the treated samples used in the main estimation, and the No CS column to the comparison sample. Employment-category shares are calculated among individuals observed in formal employment in the month prior to filing. Monthly earnings are reported only for wage-earners because the administrative records report their labor earnings, whereas for self-employed workers and business owners they report only the contribution base used for social-security purposes. “Never formal” indicates that the individual is never observed in the formal social-security records before the filing of the first judicial event. Standard deviations are reported in parentheses for continuous variables. Employment-category shares include individuals whose employment category is missing in the denominator and therefore need not sum to 100 percent.

Table 2: Judicial process and child-support outcomes

|                                                     | HH      | Non-HH  |
|-----------------------------------------------------|---------|---------|
| <b>Panel A. Entry into the judicial system</b>      |         |         |
| Child-support proceeding (%)                        | 64.21   | 0.00    |
| Divorce, union dissolution, or marital property (%) | 29.71   | 0.00    |
| Pregnancy support, paternity, or DNA (%)            | 1.01    | 100.00  |
| Mediation (%)                                       | 1.30    | 0.00    |
| Other (%)                                           | 3.77    | 0.00    |
| <b>Panel B. Judicial process</b>                    |         |         |
| Hearing observed (%)                                | 81.81   | 78.57   |
| Months from filing to hearing                       | 7.60    | 6.63    |
|                                                     | (13.90) | (7.56)  |
| Agreement at hearing (%)                            | 92.92   | 91.05   |
| <b>Panel C. Child-support order</b>                 |         |         |
| Number of children                                  | 1.60    | 1.00    |
|                                                     | (0.83)  | -       |
| Final order (minimum wages)                         | 0.67    | 0.40    |
|                                                     | (0.46)  | (0.29)  |
| Final order per child (minimum wages)               | 0.57    | 0.40    |
|                                                     | (0.63)  | (0.31)  |
| <b>Panel D. Compliance</b>                          |         |         |
| Payment share (%)                                   | 66.88   | 61.34   |
|                                                     | (41.93) | (43.86) |
| No payment ever recorded (%)                        | 17.67   | 20.85   |

*Notes:* The table reports judicial characteristics and child-support outcomes for household (HH) pairs and non-household (Non-HH) pairs. Panel A classifies the first observed judicial proceeding in the pair’s judicial history. Panel B summarizes the judicial process. Panel C reports characteristics of the child-support order, expressed in statutory monthly minimum wage units (SBU). Panel D reports compliance outcomes. Payment share is defined as the fraction of scheduled child-support obligations paid between case initiation and December 2024. “No payment ever recorded” indicates that no child-support payment was registered over the same period. Standard deviations are reported in parentheses for continuous variables. Sample sizes vary across variables because data availability differs across administrative records and judicial documents.

## IV Formal Labor-Market Responses

We now examine mothers’ and fathers’ short-run monthly formal labor-market responses around household dissolution, entry into the child-support system, or both. We study adjustment along both the extensive and intensive margins of formal employment.

### A Empirical Specification

Our first outcome is an indicator for formal employment, defined as having positive earnings reported to the social-security system in a given month. Our second outcome is log monthly formal labor income among wage earners who remain formally employed throughout the event window. Because the administrative records do not report hours worked, changes in conditional formal labor income may reflect changes in either hours or wages. Finally, we examine total formal labor income, assigning zero earnings to months in which an individual is not formally employed. This last measure combines adjustment along the extensive and intensive margins.

Across empirical designs, we estimate variants of the following stacked dynamic difference-in-differences event-study specification:

$$(1) \quad Y_{ist} = \alpha_i + \gamma_{s,k_{st}} + \sum_{\substack{k=-12 \\ k \neq -1}}^{12} \beta_k (T_i \times \mathbf{1}\{k_{st} = k\}) + \theta_{ait} + \varepsilon_{ist}$$

where  $Y_{ist}$  denotes the labor-market outcome of individual  $i$  in stack  $s$  and calendar month  $t$ ,  $T_i$  is an indicator equal to one for treated individuals, and  $k_{st}$  denotes event time in months. The omitted period is  $k = -1$ . The specification includes individual fixed effects ( $\alpha_i$ ), stack-by-event-time fixed effects ( $\gamma_{s,k_{st}}$ ), and age fixed effects ( $\theta_{ait}$ ). The stack-by-event-time fixed effects allow each stack to have its own unrestricted time profile, common to treated and control individuals, and absorb calendar-time shocks common to individuals within each stack. Standard errors are clustered at the individual level.

The coefficients  $\beta_k$  trace changes in the treated–control outcome gap relative to the month immediately preceding the event. The event and control group vary across specifications to isolate different components of the transition into the child-support system. We describe the specific event, control group, and identifying variation in each subsection below.

Ideally, we would exploit exogenous variation in family separation and compare otherwise identical families that do and do not separate. Such variation would identify the labor-market response to the family transition experienced by our HH sample. It would not, however,

distinguish the effects of household dissolution from those of child support: in our setting, parents in the HH sample experience both at approximately the same time. Separating these components would require additional variation in exposure to child support among otherwise comparable families experiencing the same household dissolution.

In the absence of these experiments, we proceed in three steps. We first compare HH parents (HH) with observationally similar parents who remain in stable households, capturing the labor-market adjustment associated with the combined transition. We then use two complementary designs to unpack this response. First, we hold household dissolution fixed by using couples who separate but do not enter the child-support system (no CS) as the control group for HH parents (HH). Second, we study parents who enter the child-support system around a first birth without evidence of a contemporaneous household dissolution (non-HH), comparing them with parents who experience a first birth within a stable household.

## **B Formal labor-market adjustment following family separation**

We begin with our primary HH sample, comparing parents who separate and enter the child-support system with observationally similar parents who remain in stable households. For treated parents, we define the event as the filing of their first family-law proceeding. Filing provides a common observable reference point for the family transition and marks the point at which child-support obligations begin to accrue. Controls inherit the event month of their treated counterparts.

We construct the control group separately for mothers and fathers. Treated individuals are matched to controls of the same gender, year of birth, and province of residence with similar formal labor-market trajectories during the twelve months preceding the event. For mothers, we additionally match on age at first birth. Our baseline procedure matches mothers and fathers separately rather than requiring both members of a control couple to jointly match the corresponding treated couple. Appendix A describes the matching procedure and reports balance and robustness to alternative matching strategies, including matching treated and control pairs jointly at the household level.

Matching on pre-event labor-market trajectories is important because labor-market adjustment may begin before the first family-law proceeding is filed. Our identifying assumption is that, in the absence of the family transition, treated parents and their matched controls would have experienced similar changes in formal labor-market outcomes. This assumption does not require treated parents to exhibit flat outcomes prior to filing. As documented in the literature, labor-market outcomes may begin to change as the shared household deteriorates or separation approaches, before the legal proceeding formally begins

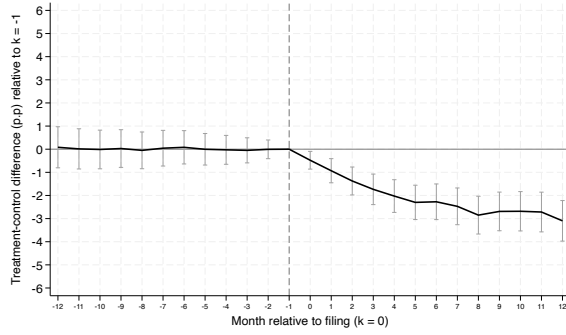
(Dasgupta et al., 2025). The purpose of the matching procedure is therefore to construct a control group exhibiting similar labor-market dynamics over this period. Consistent with this objective, Figure 2 shows no differential pre-event trends between treated and control individuals.

Figure 2 reveals a pronounced asymmetry in mothers' and fathers' formal labor-market adjustment. Fathers become progressively less likely to be formally employed relative to matched fathers in stable households. The difference emerges immediately after filing and grows over the following year, reaching 3.1 percentage points by month 12. Fathers who remain formally employed also experience lower formal labor income, although this intensive-margin response is smaller: conditional earnings are approximately 1.5–2.5 percent lower over much of the post-event period and 2.0 percent lower by month 12. Combining both margins, total formal labor income is 5.6 percent lower by month 12.

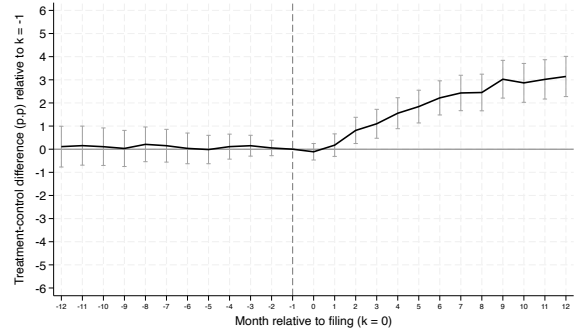
Mothers adjust in the opposite direction. Formal employment begins to increase shortly after filing and is 3.1 percentage points higher by month 12. In contrast, there is little evidence of an intensive-margin response: conditional formal labor income remains close to zero throughout the post-event period and is never statistically distinguishable from zero. Total formal labor income therefore rises primarily through increased formal employment, reaching 5.2 percent above that of matched mothers by month 12.

Taken together, these results show that the combined transition is associated with opposite formal labor-market responses for mothers and fathers, operating through different margins. Fathers become less attached to formal employment and also experience a smaller reduction in earnings conditional on remaining formal, whereas mothers become more likely to participate in formal employment without a corresponding increase in conditional earnings. Because the HH transition combines household dissolution with the onset of child-support obligations, these estimates do not reveal which component generates these responses. We next use the two complementary designs described above to unpack these components.

### Formal employment

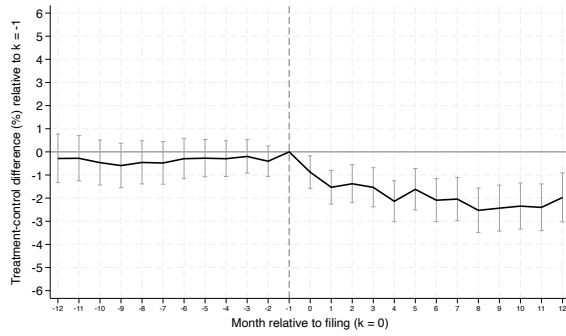


(a) Fathers

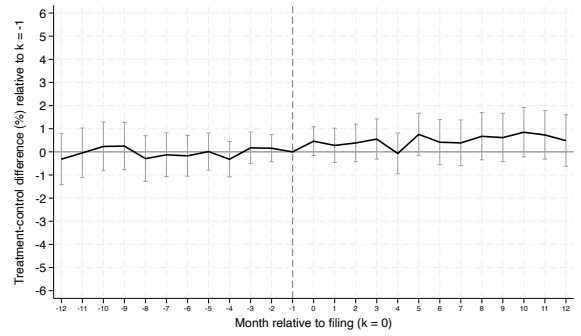


(b) Mothers

### Formal labor income, conditional on employment

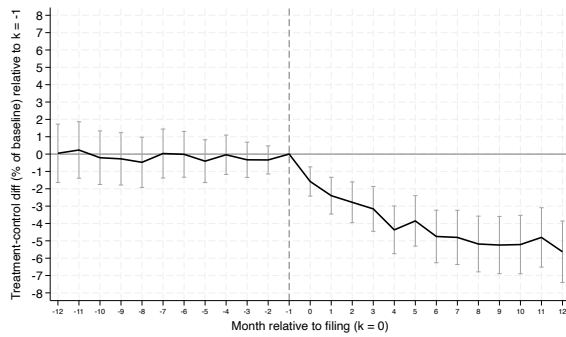


(c) Fathers

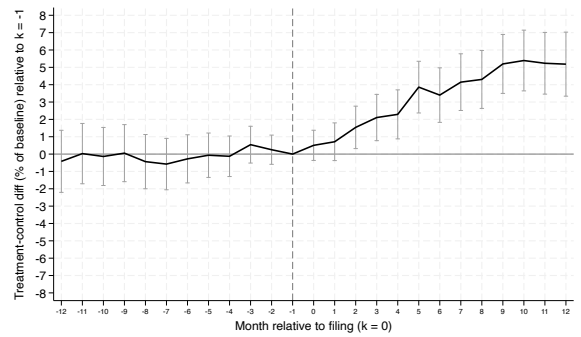


(d) Mothers

### Total formal labor income (including zeros for non-participants)



(e) Fathers



(f) Mothers

Figure 2: **Event-study estimates relative to matched stable households.** The top row reports estimates for formal employment. The middle row reports estimates for formal labor income conditional on formal employment. The bottom row reports estimates for total formal labor income, assigning zero earnings to non-participants. Fathers are shown in the left column and mothers in the right column. Coefficients are reported in Table 20.

## C Unpacking household dissolution and child support

### 1 Holding household dissolution fixed

We first hold household dissolution common across the two groups by comparing HH parents with men and women in couples who also separate or divorce but do not enter the child-support system (no CS). Both groups therefore experience household dissolution, but only HH parents enter the child-support system.

Unlike in the primary analysis, we do not match treated and control individuals on their pre-event labor-market trajectories. Instead, individuals in both groups are indexed relative to the filing month of their own first family-law proceeding. We then estimate Equation 1 using these individual-specific event dates. The identifying assumption is that, absent entry into the child-support system, formal labor-market outcomes for the two groups would have evolved similarly around household dissolution. Figure 3 shows that this assumption is broadly consistent with the pre-event pattern for HH fathers relative to men in the no CS control group: the treated–control difference in formal employment is relatively stable before filing. The evidence is less clear for HH mothers relative to women in the no CS control group, for whom differences in formal employment emerge in the months immediately preceding filing. We therefore place greater weight on this design for interpreting the results for HH fathers.

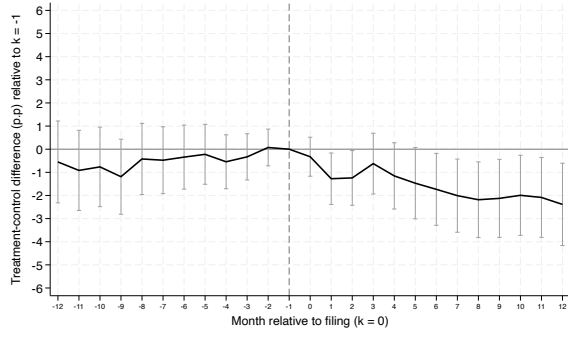
Figure 3 shows that the formal-employment gap between fathers in the HH sample and men in the no CS control group widens after filing. The difference emerges shortly after filing and grows over the following year, reaching 2.4 percentage points by month 12. The month-12 difference is roughly three-quarters as large as the 3.1 percentage-point decline estimated relative to stable households in our primary design.

The evidence for adjustment along the intensive margin is less systematic. Conditional formal labor income for HH fathers relative to men in the no CS control group is generally lower during the second half of the post-event period, but the estimates are less precise and the difference is no longer present by month 12. Total formal labor income follows a similar pattern. The most persistent differential response in this design is therefore along the extensive margin.

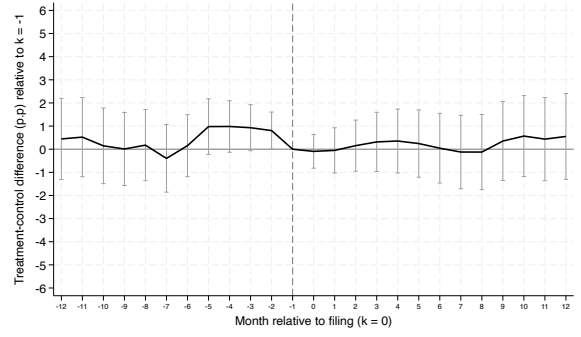
For HH mothers relative to women in the no CS control group, we find little evidence of a differential post-filing response. The estimated difference in formal employment remains small and statistically insignificant throughout the post-event period, reaching 0.6 percentage points by month 12. Conditional and total formal labor income are also imprecisely estimated. Moreover, the differences in formal employment observed immediately before filing make this design less informative about the post-event response for HH mothers.

The persistence of the relative decline in formal employment among HH fathers when household dissolution is common to both groups indicates that household dissolution alone cannot account for the pattern observed in our primary HH design. This design does not, however, isolate the effect of child support. HH parents have dependent children, whereas couples in the no CS group either do not have children or have children older than 18. The two groups may therefore differ in ways related to the presence of dependent children as well as entry into the child-support system. We next approach this identification challenge from the opposite direction, examining entry into child support in a setting without contemporaneous household dissolution.

### Formal employment

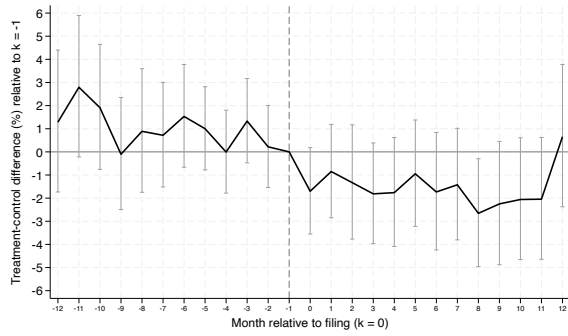


(a) Fathers

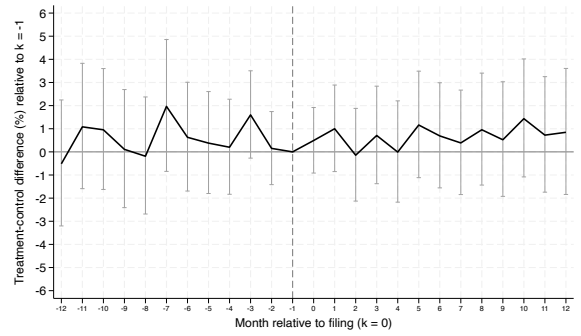


(b) Mothers

### Formal labor income, conditional on employment

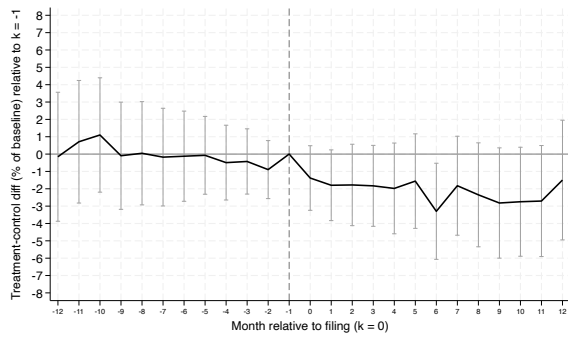


(c) Fathers

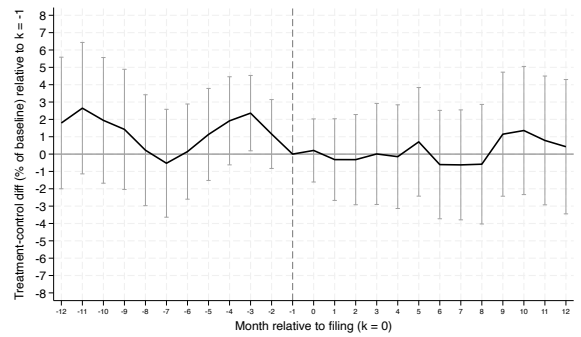


(d) Mothers

### Total formal labor income (including zeros for non-participants)



(e) Fathers



(f) Mothers

Figure 3: Event-study estimates relative to individuals who experience household dissolution **without dependent children**. The top row reports estimates for formal employment. The middle row reports estimates for formal labor income conditional on formal employment. The bottom row reports estimates for total formal labor income, assigning zero earnings to non-participants. Fathers are shown in the left column and mothers in the right column. Coefficients are reported in Table 21.

## 2 An alternative pathway into child support

Our second design examines entry into the child-support system in a setting without the contemporaneous dissolution of a shared household. We focus on parents whose judicial history begins around the woman’s first birth and for whom we find no evidence that the pair previously shared a household. These non-HH cases provide a distinct setting in which entry into child support can be studied separately from the dissolution of a previously shared household.

The treated group consists of parents whose judicial history begins with either a support-for-pregnant-women case or a paternity case within nine months before or after the woman’s first birth. We require the child associated with the proceeding to be the woman’s first child, though not necessarily the father’s first child. The control group consists of parents whose first child is born within a stable married or cohabiting household and who are never observed in the child-support system.

We use the month of the woman’s first birth, rather than the filing month, as the event date. Judicial proceedings in the treated group can begin at different points around the birth, so filing does not correspond to a common stage of the transition across treated parents. The birth month instead provides a common, precisely measured event observed for both treated and control parents. We match mothers and fathers separately to controls of the same gender, year of birth, and province of residence with similar pre-birth formal labor-market trajectories and whose child’s birth occurs in the same calendar year. For mothers, we additionally match on age at first birth. We then estimate Equation 1 relative to the birth month.

This design complements the previous one from the opposite direction. Rather than making household dissolution common across treated and control groups, it makes the woman’s first birth common while studying a setting in which only treated parents enter the child-support system around that birth. Because we find no evidence that treated parents previously shared a household, the differential labor-market adjustment around birth does not coincide with the dissolution of a previously shared household.

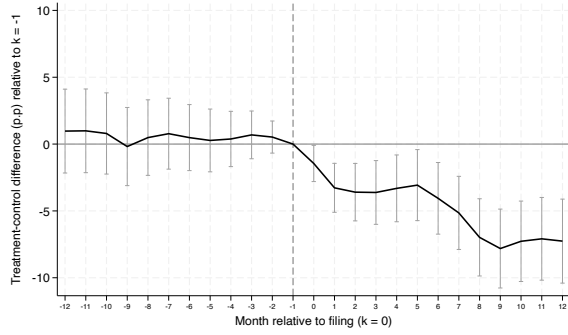
Figure 4 shows that fathers and mothers exhibit opposite changes in formal employment relative to their matched controls. For fathers, the formal-employment gap is relatively stable before birth and begins to widen shortly thereafter. The difference grows steadily over the following year, reaching 7.26 percentage points by month 12. In contrast, there is little evidence of a systematic differential change in formal labor income conditional on remaining formally employed. Total formal labor income falls substantially, reaching 17.4 percent below that of matched controls by month 12. The decline in fathers’ total formal labor income therefore operates primarily through the extensive margin.

Mothers exhibit the opposite post-birth pattern. The formal-employment gap becomes increasingly positive after birth, reaching 4.85 percentage points by month 12. Although treated mothers already exhibit somewhat higher formal employment in the months immediately preceding birth, the post-birth difference grows substantially over the following year. Conditional formal labor income is lower among treated mothers in several post-birth months, but similar differences are present before birth. Total formal labor income declines around birth and subsequently recovers as the increase in formal employment emerges.

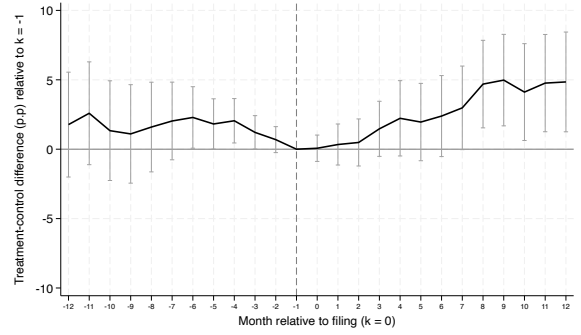
The extensive-margin patterns resemble those observed in our primary HH design: fathers become relatively less likely to be formally employed, while mothers become relatively more likely to be formally employed. For fathers, the decline is again accompanied by a substantial reduction in total formal labor income but little differential change in earnings conditional on remaining formally employed. Importantly, these patterns emerge around a first birth among parents for whom we find no evidence of a previously shared household, rather than alongside household dissolution. Together with the previous design, this evidence indicates that contemporaneous household dissolution alone cannot account for the relative decline in fathers' formal employment observed in our primary HH design.

This design nevertheless does not isolate the effect of child support. Treated and control parents experience the woman's first birth in different family settings and may differ along other dimensions associated with family structure and parental responsibilities. We therefore interpret this design as complementary evidence for separating household dissolution from the labor-market responses associated with entry into the child-support system, rather than as a separate causal estimate of the effect of child support.

### Formal employment

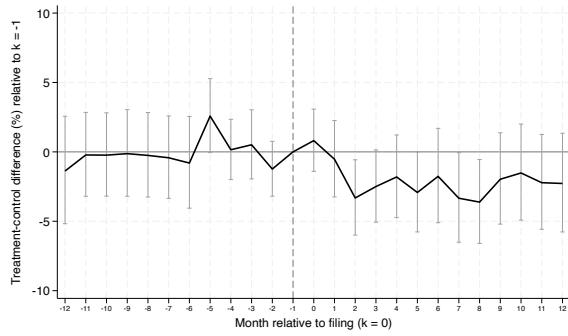


(a) Fathers

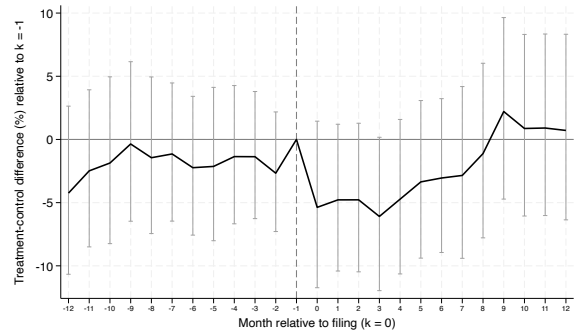


(b) Mothers

### Formal labor income, conditional on employment

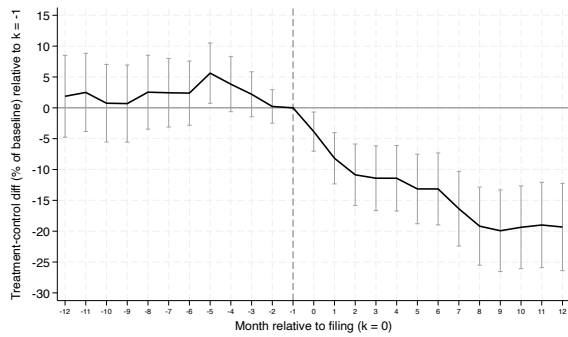


(c) Fathers

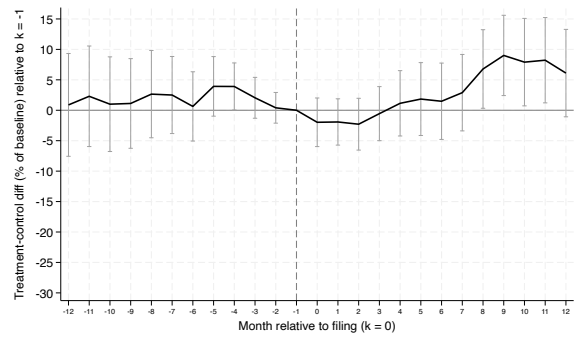


(d) Mothers

### Total formal labor income (including zeros for non-participants)



(e) Fathers



(f) Mothers

Figure 4: **Event-study estimates relative to matched stable first-time parents.** The top row reports estimates for formal employment. The middle row reports estimates for formal labor income conditional on formal employment. The bottom row reports estimates for total formal labor income, assigning zero earnings to non-participants. Fathers are shown in the left column and mothers in the right column. Coefficients are reported in Table 22.

## V Labor-Market Reallocation

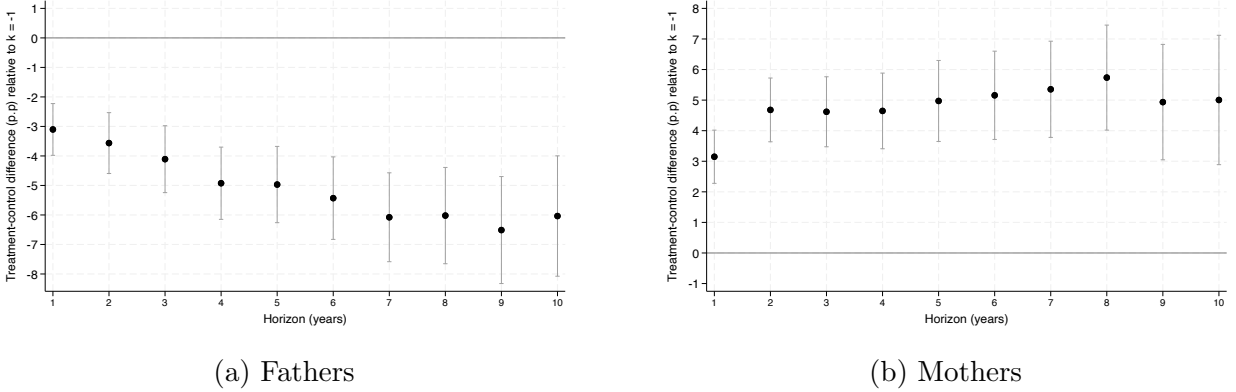
The previous section documents short-run changes in formal employment following family separation and entry into the child-support system. Fathers become progressively less likely to be formally employed relative to matched fathers in stable households over the first year after filing, while mothers become more likely to be formally employed. The administrative social-security records, however, only reveal attachment to the formal sector. They do not allow us to determine whether changes in formal employment correspond to changes in overall employment or to movements between formal and informal work.

We use the 2022 Population Census to distinguish among these margins. Because the Census is observed only once and may occur several years after the reference event, we first examine whether the short-run formal-employment responses documented in Section IV persist at the longer horizons represented in the Census. We then verify that the formal-employment differences measured for individuals observed in the Census are consistent with those obtained from the administrative records at comparable post-event horizons. Having established this link, we use the additional information available in the Census to examine how parents reallocate across formal employment, informal employment, unemployment, and inactivity.

### A From short-run to longer-run formal-employment responses

We begin by extending our primary HH event-study design beyond the twelve-month horizon considered in Section IV. Using the same matching strategy between HH parents and parents in stable households, we estimate separate event-study specifications for horizons ranging from one to ten years after filing. For each horizon, the estimation sample includes treated-control pairs with sufficient administrative follow-up to be observed through that horizon. The sample therefore becomes progressively smaller at longer horizons, as later filing cohorts cannot be observed for the full event window. Each point in Figure 5 reports the treated-control difference at the end of the corresponding event-study window; the points should therefore be interpreted as estimates from horizon-specific samples rather than as coefficients from a single event study estimated on a fixed sample.

### *Formal employment*



**Figure 5: Formal employment at longer post-filing horizons.** Each point reports the treated–control difference in formal employment at the indicated horizon from a separate event-study specification. For each horizon, the estimation sample is restricted to treated–control pairs with sufficient administrative follow-up to be observed through the end of that event window. Consequently, longer-horizon estimates are based on progressively earlier filing cohorts and smaller samples. Fathers are shown in the left panel and mothers in the right panel. Coefficients are reported in Table 23.

Figure 5 shows that the opposite formal-employment responses of fathers and mothers persist well beyond the first year after filing. For fathers, the formal-employment gap increases from 3.1 percentage points after one year to 3.6 percentage points after two years and 4.9 percentage points after four years. At horizons between five and ten years, the gap remains around 5–6 percentage points. For mothers, the formal-employment difference increases from 3.2 percentage points after one year to 4.7 percentage points after two years and remains around 5 percentage points at longer horizons. Thus, for both fathers and mothers, the short-run formal-employment differences documented in Section IV remain present at substantially longer post-filing horizons.

Because each horizon is estimated on a different sample, these estimates should not be interpreted as tracing the evolution of a fixed group of parents over ten years. Longer-horizon estimates necessarily rely on progressively earlier filing cohorts. Instead, the exercise establishes that the formal-employment differences observed during the first year are also present in samples that can be followed for substantially longer periods.

## **B Reallocation across labor-market states**

We next use the 2022 Population Census to examine what these differences in formal employment represent in terms of broader labor-market status. The Census identifies whether an individual is employed, unemployed, or outside the labor force. We combine this information with the administrative social-security records to classify individuals into four mutually exclusive and exhaustive labor-market states: inactive, unemployed, formally employed, and

informally employed. Individuals classified as inactive or unemployed in the Census are assigned directly to those states. Among employed individuals, we classify those with a social-security contribution recorded in the administrative data during the fourth quarter of 2022 as formally employed and those without a recorded contribution as informally employed. This definition preserves the administrative measure of formal employment used throughout our main analysis while allowing us to distinguish informal employment from non-employment.

Our analysis focuses on the primary HH comparison from Section IV, using the same treated parents and matched parents who remain in stable households. Because the Census provides only a single post-event observation, the empirical specification differs from the panel event-study analysis. In the event study, individual fixed effects absorb time-invariant differences between treated and control individuals. In the Census cross-section, we instead condition directly on pre-event labor-market characteristics that may predict subsequent labor-market status. All specifications control for age and the number of months elapsed between filing month and the Census interview. To account for prior labor-market attachment, we additionally control for the total number of months in formal employment over the individual’s observed labor-market history prior to the event, as well as mean formal labor income, modal employer type, and modal employment sector during the 12 months preceding the event.<sup>8</sup> We estimate

$$(2) \quad Y_i = \alpha + \beta T_i + X_i' \gamma + \varepsilon_i,$$

where  $Y_i$  is an indicator for being inactive, unemployed, formally employed, or informally employed at the Census date;  $T_i$  indicates whether the individual belongs to the treated HH group; and  $X_i$  contains the controls described above. We estimate Equation (2) separately for mothers and fathers and for each of the four labor-market states.

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<sup>8</sup>The corresponding analyses for the two complementary comparisons from Section IV are reported in Appendix D.

Table 3: Labor-Market Adjustment After Entry into the Child-Support System

|                         | Formal<br>(1)        | Informal<br>(2)     | Unemployed<br>(3)   | Inactive<br>(4)      |
|-------------------------|----------------------|---------------------|---------------------|----------------------|
| <i>Panel A. Fathers</i> |                      |                     |                     |                      |
| Treated                 | −0.062***<br>(0.005) | 0.033***<br>(0.005) | 0.017***<br>(0.003) | 0.011***<br>(0.002)  |
| Obs.                    | 23,890               | 23,890              | 23,890              | 23,890               |
| <i>Panel B. Mothers</i> |                      |                     |                     |                      |
| Treated                 | 0.039***<br>(0.005)  | 0.056***<br>(0.006) | 0.004<br>(0.004)    | −0.098***<br>(0.005) |
| Obs.                    | 22,822               | 22,822              | 22,822              | 22,822               |

*Notes:* The table reports the coefficient on the treatment indicator from Equation (2) for the matched stable-household comparison, separately for fathers and mothers. Individuals are classified as inactive, unemployed, or employed using the 2022 Population Census. Among employed individuals, columns (1) and (2) classify formal and informal employment using administrative social-security contribution records observed during the fourth quarter of 2022. All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 3 reports the results. Fathers who experience family separation and enter the child-support system are 6.2 percentage points less likely to be formally employed at the Census date than matched fathers who remain in stable households. Although this difference is larger than the 3.1-percentage-point gap observed twelve months after filing, it is consistent with the longer-run administrative estimates in Figure 5, which show formal-employment gaps of approximately 5–6 percentage points at longer post-filing horizons. The Census therefore captures a formal-employment difference of a magnitude similar to that observed in the administrative data over the horizons relevant for this sample.

The Census allows us to determine what lies behind this formal-employment gap. The 6.2-percentage-point lower probability of formal employment among fathers is accompanied by a 3.3-percentage-point higher probability of informal employment, compared with increases of 1.7 percentage points in unemployment and 1.1 percentage points in inactivity. Thus, lower formal employment does not translate one-for-one into lower employment. More than half of the formal-employment gap is mirrored by greater informal employment.

Mothers exhibit a markedly different pattern. Mothers who experience family separation and enter the child-support system are 3.9 percentage points more likely to be formally employed at the Census date, also consistent with the persistent positive formal-employment differences observed at longer horizons in Figure 5. They are 9.8 percentage points less likely to be inactive than matched mothers in stable households, with essentially no difference in unemployment, and 5.6 percentage points more likely to be informally employed. The increase in mothers' formal employment documented in Section IV is therefore part of a broader increase in labor-market attachment: relative to mothers who remain in stable households, separating mothers are more likely to work in both the formal and informal sectors.

**Adjustment by Pre-Event Formal Employment** The average differences in Table 3 combine parents with very different labor-market positions before family separation. We therefore examine whether the reallocation across labor-market states differs depending on parents' pre-event attachment to formal employment. In particular, we distinguish individuals according to whether they were formally employed three months before the reference event and estimate

$$(3) \quad Y_i = \alpha + \beta T_i + \gamma Formal_i^{pre} + \delta (T_i \times Formal_i^{pre}) + X_i' \theta + \varepsilon_i,$$

where  $Formal_i^{pre}$  indicates that individual  $i$  was formally employed three months before the event. The coefficient  $\beta$  captures the treated-control difference among individuals who were not formally employed before the event, while  $\beta + \delta$  gives the corresponding difference among individuals who were formally employed. The coefficient  $\delta$  captures the difference between these two estimates.

Table 4: Labor-Market Adjustment by Pre-Event Formal-Employment Status

|                               | Formal<br>(1)        | Informal<br>(2)      | Unemployed<br>(3)   | Inactive<br>(4)      |
|-------------------------------|----------------------|----------------------|---------------------|----------------------|
| <i>Panel A. Fathers</i>       |                      |                      |                     |                      |
| Treated: Pre-event non-formal | −0.041***<br>(0.008) | 0.004<br>(0.010)     | 0.018***<br>(0.005) | 0.019***<br>(0.005)  |
| Treated: Pre-event formal     | −0.072***<br>(0.007) | 0.050***<br>(0.006)  | 0.016***<br>(0.003) | 0.006***<br>(0.002)  |
| Difference                    | −0.032***<br>(0.011) | 0.046***<br>(0.011)  | −0.002<br>(0.005)   | −0.013**<br>(0.005)  |
| Obs.                          | 23,890               | 23,890               | 23,890              | 23,890               |
| <i>Panel B. Mothers</i>       |                      |                      |                     |                      |
| Treated: Pre-event non-formal | 0.078***<br>(0.007)  | 0.079***<br>(0.009)  | 0.004<br>(0.006)    | −0.161***<br>(0.008) |
| Treated: Pre-event formal     | 0.007<br>(0.008)     | 0.030***<br>(0.006)  | 0.003<br>(0.004)    | −0.040***<br>(0.005) |
| Difference                    | −0.071***<br>(0.011) | −0.049***<br>(0.011) | −0.001<br>(0.007)   | 0.121***<br>(0.010)  |
| Obs.                          | 22,822               | 22,822               | 22,822              | 22,822               |

*Notes:* The table reports estimates of Equation (3) for the matched stable-household comparison, separately for fathers and mothers. “Pre-event formal” indicates that the individual was formally employed three months before the reference event. The first row of each panel reports the treated–control difference among individuals who were not formally employed three months before the event ( $\beta$ ), while the second row reports the corresponding difference among individuals who were formally employed ( $\beta + \delta$ ). The third row reports the difference between these two estimates ( $\delta$ ).

Labor-market status is measured using the 2022 Population Census for inactivity and unemployment, and administrative social-security contribution records observed during the fourth quarter of 2022 for formal and informal employment. Individuals are classified into four mutually exclusive and exhaustive states: formally employed, informally employed, unemployed, or inactive. All four outcomes are defined over the same estimation sample.

All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 4 shows substantial heterogeneity by pre-event formal-employment status. Among fathers who were formally employed three months before family separation, treated fathers are 7.2 percentage points less likely to be formally employed at the Census date and 5.0 percentage points more likely to be informally employed than comparable fathers in stable

households. The corresponding differences in unemployment and inactivity are 1.6 and 0.6 percentage points, respectively. Thus, approximately 69 percent of the formal-employment gap for initially formal fathers is mirrored by higher informal employment.

Among fathers who were not formally employed before the event, treated fathers are 4.1 percentage points less likely to be formally employed, while the 0.4-percentage-point difference in informal employment is small and statistically insignificant. Instead, they are 1.9 percentage points more likely to be inactive and 1.8 percentage points more likely to be unemployed. The differences between the two pre-event groups are statistically significant for inactivity, formal employment, and informal employment. In particular, the treated–control difference in informal employment is 4.6 percentage points larger among previously formal fathers than among previously non-formal fathers.

For mothers, the largest differences occur among those who were not formally employed before the event. Relative to comparable mothers in stable households, treated mothers in this group are 16.1 percentage points less likely to be inactive, 7.8 percentage points more likely to be formally employed, and 7.9 percentage points more likely to be informally employed, with no statistically significant difference in unemployment.

Among mothers who were formally employed before the event, treated mothers are 4.0 percentage points less likely to be inactive and 3.0 percentage points more likely to be informally employed. The 0.7-percentage-point difference in formal employment and the 0.3-percentage-point difference in unemployment are not statistically significant. The differences between previously formal and previously non-formal mothers are statistically significant for inactivity, formal employment, and informal employment: the treated–control differences among previously formal mothers are 12.1 percentage points higher for inactivity, 7.1 percentage points lower for formal employment, and 4.9 percentage points lower for informal employment.<sup>9</sup>

The Census evidence therefore documents substantial reallocation across labor-market states following family separation and entry into the child-support system, with the margins of adjustment differing sharply by parents’ pre-event formal-employment status.

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<sup>9</sup>Appendix Tables 24 and 25 replicate the analysis using self-reported social-security contributions in the Census, rather than administrative contribution records, to distinguish formal from informal employment. The alternative classification preserves the main pattern for mothers. For fathers, the average decomposition between formal and informal employment is more sensitive to the measure of formality, but among fathers who were formally employed before the event, treated fathers remain less likely to be formally employed and more likely to be informally employed than comparable fathers in stable households. We also replicate the Census analysis using the two complementary comparisons from Section IV; results are reported in Appendix Tables 26 and 27 for the household-dissolution comparison and Appendix Tables 28 and 29 for the alternative pathway into child support.

## VI Interpreting the Labor-Market Responses

The preceding results reveal different forms of labor-market adjustment for mothers and fathers. Mothers increase their overall labor-market attachment, with previously non-formal mothers moving out of inactivity and into both formal and informal employment. Fathers, by contrast, become less attached to formal employment, and among those previously employed formally, much of this decline is reflected in greater informal employment. We use these patterns, together with the complementary event studies, to assess the mechanisms that may underlie each response.

**Mothers' response is consistent with adjustment to household dissolution.** For mothers, the increase in formal employment is part of a broader increase in market work rather than a reallocation across sectors. This pattern is consistent with the changes in resources and household specialization that accompany dissolution. Mothers who specialized relatively more in home production before separation lose access to resources previously generated and shared within the household and must finance more of their own consumption independently. Child support contributes to the resources available for the child but may not fully replace the resources previously available within the household. The movement out of inactivity and into employment is therefore consistent with an increase in the value of mothers' own earnings after the household dissolves.

Our empirical comparisons do not allow us to attribute this response specifically to entry into the child-support system. Mothers increase employment relative to those in stable households and in the alternative first-birth comparison, but the comparison between women experiencing household dissolution with and without child support is substantially less precise. We therefore interpret mothers' response primarily as evidence of greater labor-market attachment following the family transition, without attempting to separate the contribution of entry into the child-support system from the broader consequences of household dissolution.

**Fathers' response points to a distinct sectoral margin.** For fathers, household dissolution alone is insufficient to account for the decline in formal employment. The decline persists when we compare individuals who experience household dissolution with and without child support, and it also emerges when child support begins without the contemporaneous dissolution of a previously shared household. Neither comparison identifies a pure causal effect of child support, since the groups may differ along other dimensions, but the two exercises remove different components of the transition bundled together in our primary comparison.

Entry into the child-support system is the common component across the settings in which fathers' formal employment declines.

The Census evidence further changes the interpretation of this decline. Among fathers who were formally employed before the event, much of the subsequent formal-employment gap is accounted for by greater informal employment rather than unemployment or inactivity. Fathers' response therefore does not primarily look like withdrawal from the labor market. This makes explanations operating mainly through a reduction in desired work incomplete accounts of the observed pattern. Other consequences of separation could, however, generate a similar sectoral response. In particular, if informal employment offers greater flexibility, changes in fathers' schedules, residential arrangements, or other constraints following separation could increase its relative attractiveness. The reduced-form evidence alone cannot distinguish such explanations from incentives arising through the child-support system.

### **Child support makes the formal–informal margin economically consequential.**

The institutional design of child support provides a reason why this sectoral margin may matter for fathers. As described in Section 1, formal earnings can be directly verified when the court determines the obligation, while earnings outside formal employment are harder to observe. Formal employment also facilitates subsequent collection through withholding from identifiable income sources. Formal-employment status may therefore matter both for the obligation a father faces and for subsequent compliance and enforcement.

The next section examines whether these differences are visible in the court and payment records. We first compare child-support orders among fathers who were formally employed before filing and had similar pre-filing earnings, distinguishing between those who remain formally employed at the hearing and those who do not. We then examine whether formal employment at the hearing is associated with subsequent payment and enforcement outcomes. These comparisons provide descriptive evidence on whether the institutional differences associated with formal employment are reflected in both the determination and subsequent enforcement of child-support obligations.

## VII Formality and Child-Support Incentives

We now examine whether formal-employment status at the hearing is associated with the child-support order imposed by the court and with subsequent payment and enforcement outcomes.

We estimate

$$(4) \quad Y_i = \alpha + \beta \text{FormalAtHearing}_i + X_i' \gamma + \lambda_y + \varepsilon_i,$$

where *FormalAtHearing<sub>i</sub>* is an indicator equal to one if father *i* is formally employed in the month of the hearing and  $\lambda_y$  denotes hearing-year fixed effects. We consider four outcomes: the final child-support order per child measured in monthly minimum wages; the share of scheduled obligations subsequently paid; an indicator for whether the father is subject to a subsequent enforcement action; and the number of months in which an enforcement action is recorded. The vector  $X_i$  varies across specifications. The payment-share specification additionally controls for the total number of observed payment transactions and the child-support order per child, while the specification for the incidence of enforcement additionally controls for the order per child.

Columns (1)–(4) of Table 5 document these relationships in the full analysis sample. Fathers who are formally employed at the hearing receive child-support orders that are 0.172 monthly minimum wages per child higher, relative to a mean order of 0.518. They subsequently pay a 17.7-percentage-point larger share of their scheduled obligations, are 11 percentage points less likely to face an enforcement action, and experience 0.48 fewer months with an enforcement action.

These relationships are descriptive. Fathers who are formally employed at the hearing may differ systematically from those who are not in earning capacity, employment stability, or other characteristics that also affect child-support orders and subsequent compliance. This concern is particularly important for payment and enforcement outcomes, for which formal-employment status may capture broader differences in fathers’ ability or willingness to comply. We therefore interpret these outcomes as documenting a relationship between formal employment and subsequent compliance and enforcement rather than as causal effects of formal employment.

For the determination of the child-support order, we can make a more informative comparison. We restrict the sample to fathers who were formally employed as wage earners three months before filing. We therefore observe formal labor earnings for all fathers before the judicial process began and can compare fathers with similar pre-filing earnings who subse-

quently differ in whether they remain formally employed at the hearing. Within this sample, we estimate equation (4) including fixed effects for deciles of pre-filing formal labor income, the number of children covered by the order, and an indicator for household-origin cases.

Column (5) reports the result. Among fathers who were formally employed before filing and within the same pre-filing earnings decile, those who remain formally employed at the hearing receive orders that are, on average, 0.115 monthly minimum wages per child higher than those who are no longer formally employed at the hearing. This difference corresponds to approximately 20 percent of the sample mean of 0.561 monthly minimum wages per child. Thus, even among fathers with the same pre-filing formal-employment status and similar observed earnings before the case began, remaining formally employed when the obligation is determined is associated with a substantially higher child-support order.

Taken together, these results show that formal-employment status at the hearing is associated with both the determination of the child-support obligation and subsequent compliance. Among fathers with similar observed pre-filing earnings, those who remain formally employed through the hearing receive higher child-support orders. Formal employment at the hearing is also associated with a larger share of scheduled obligations paid and fewer subsequent enforcement actions, although these relationships may reflect differences in fathers' underlying capacity or willingness to comply.

Table 5: Formal Employment at the Hearing and Child-Support Outcomes

|                               | (1)                 | (2)                 | (3)                   | (4)                        | (5)                 |
|-------------------------------|---------------------|---------------------|-----------------------|----------------------------|---------------------|
|                               | Order per<br>child  | Payment<br>share    | Enforcement<br>action | Months with<br>enforcement | Order per<br>child  |
| Formal at hearing             | 0.172***<br>(0.008) | 0.177***<br>(0.006) | -0.110***<br>(0.007)  | -0.481***<br>(0.031)       | 0.115***<br>(0.017) |
| Pre-filing formal sample      | No                  | No                  | No                    | No                         | Yes                 |
| Pre-filing earnings-decile FE | No                  | No                  | No                    | No                         | Yes                 |
| Mean dep. var.                | 0.518               | 0.670               | 0.370                 | 1.038                      | 0.561               |
| Observations                  | 18,163              | 18,163              | 18,163                | 18,163                     | 6,791               |

*Notes:* Each column reports the coefficient on an indicator equal to one if the father is formally employed in the month of the hearing. The dependent variable is the final child-support order per child, measured in monthly minimum wages, in columns (1) and (5); the share of scheduled obligations paid in column (2); an indicator for a subsequent enforcement action (*apremio*) in column (3); and the number of distinct months with an enforcement action recorded in the case file in column (4). Columns (1)–(4) use the full analysis sample. Column (5) restricts the sample to fathers who were formally employed as wage earners three months before filing and additionally includes pre-filing earnings-decile fixed effects, the number of rightsholders covered by the order, and an indicator for household-origin cases. All specifications include hearing-year fixed effects. Column (2) additionally controls for the total number of observed payment transactions and the order per child; column (3) additionally controls for the order per child. Robust standard errors are reported in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

## VIII A Model of Household Employment, Fertility, and Separation

Sections IV–VII establish four facts. First, fathers who separate and enter the child-support system become less likely to be formally employed, and household dissolution alone cannot account for this decline. Second, among fathers who were formally employed before separation, most of the longer-run gap in formal employment is mirrored by higher informal employment rather than by unemployment or inactivity. Third, formal employment at the hearing is associated with larger obligations, conditional on pre-filing earnings, and with a larger share of the obligation subsequently paid. Fourth, mothers respond to separation mainly by increasing their labor-market attachment, moving out of inactivity and into both formal and informal employment.

These facts indicate that the child-support system makes the formal–informal margin consequential for fathers. They cannot tell us, however, how strong the incentive to work informally is, or which feature of the system generates it. Answering these questions requires two objects that we do not observe. The first is the earnings a father would obtain in the sector he does not choose, together with his non-pecuniary valuation of informal work: without them, we cannot tell which fathers would work informally after separation regardless of child support. The second is how the system shapes which couples have children and which separate, because the fathers we observe in the child-support system are selected along both margins.

We therefore develop a two-period model of couples who share a household, choose their employment sectors and fertility while together, and decide whether to separate after a shock to the quality of their relationship. The model builds in the two features of the child-support system documented in Sections 1 and VII. Under *determination*, the obligation of a father outside formal employment is set on an imputed income rather than on observed formal earnings. Under *collection*, a smaller share of the obligation is paid when the father works informally. We estimate earnings opportunities and preferences using couples observed before separation, and we use the court and payment records to discipline determination and collection. We then remove each feature in turn to measure how much each contributes to fathers’ incentives to work informally after separation and what each implies for the payments mothers receive.

Table 6 summarizes how the model maps into the institutional setting and the empirical evidence.

Table 6: From the evidence to the model

| Evidence                                                                                                                                                                                          | Model counterpart                                                                                                                        | Role in the model                                                 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| The resident parent is the mother in 97% of cases (Section 1)                                                                                                                                     | The mother is the resident parent; the father pays child support                                                                         | Assumption                                                        |
| The statutory schedule assigns income brackets and applies the rate to total income (Section 1)                                                                                                   | Obligation $S(w) = \alpha(w) w$ with $\alpha(\cdot)$ a step function                                                                     | Input (Table 9)                                                   |
| Formal earnings are verifiable; outside formal employment, the mother bears the burden of proving the father’s income, and obligations bunch at the amount implied by one minimum wage (Figure 1) | The informal obligation is set on a weighted average of the minimum wage and the father’s formal earnings capacity, with weight $\omega$ | $\omega$ estimated                                                |
| Fathers formal at the hearing receive obligations about 20% higher, conditional on pre-filing earnings (Table 5, column 5)                                                                        | Obligation gap between fathers who choose formal and informal employment after separation                                                | Targeted moment                                                   |
| Formal earnings can be withheld at the source; fathers formal at the hearing pay a larger share of their obligation (Table 5)                                                                     | Collection states with sector-specific shares paid, scaled by the weight $\kappa$                                                        | States calibrated; payment-share gap targeted; $\kappa$ estimated |
| Obligations are not automatically adjusted to later changes in earnings (Section 1)                                                                                                               | The obligation is set once at separation and holds for the rest of the horizon                                                           | Assumption                                                        |
| Formal and informal earnings distributions overlap (Appendix A)                                                                                                                                   | Informal earnings are a person-specific multiple of formal earnings, not bounded above by one                                            | Medians estimated; dispersion as input                            |
| Initially formal fathers move into informal employment rather than inactivity (Table 4)                                                                                                           | Separated fathers work; a father formal while together chooses between formal and informal employment                                    | Margin of interest                                                |
| Previously non-formal mothers move out of inactivity (Table 4)                                                                                                                                    | Separated mothers work; earnings depreciate if not employed while together                                                               | Assumption                                                        |
| Couples who separate without dependent children do not enter child support (Section 1)                                                                                                            | Couples without children separate without an obligation                                                                                  | Comparison in Section D                                           |

## A Environment

The economy is populated by a continuum of couples with mass one who share a household at the beginning of the first period. As in our household sample (Section III), couples may be married or cohabiting, and we refer to the end of the union as *separation*. A couple

consists of a woman indexed by  $f$  and a man indexed by  $m$ . Each individual  $j \in \{f, m\}$  belongs to one of three observable types  $g_j \in \mathcal{G} = \{L, M, H\}$ , defined by predetermined characteristics that shift earnings opportunities (Appendix A), and each couple belongs to one of nine observable *types of couples*  $k = (g_m, g_f) \in \mathcal{K} = \mathcal{G}^2$ . The mass of couples of type  $k$  is  $\nu_k \geq 0$ , with  $\sum_k \nu_k = 1$ . Couples live for two periods,  $t = 1, 2$ , and discount the future at  $0 < \delta \leq 1$ .

**The role of types.** Types enter the model in exactly three ways: they determine (i) the distribution of potential formal earnings, (ii) the distribution of the informal-earnings multipliers, and (iii) the reference cost of a child (equations (5), (6), and (7) below). Types do not enter preferences: the distributions of the tastes for informal work and for specialization, the value of children, and the match-quality shock are common to all couples, with tastes for informal work differing by gender only. Differences across types in sectors, fertility, and separation therefore arise from differences in earnings opportunities and in the cost of children, not from different preferences. Types also organize some of the moments used in estimation (Section 2). They play no role in the child-support system, which depends only on the father’s earnings and sector.

**Timing.** In period 1, while together, couples jointly choose their employment sectors and whether to have children. Fertility is irreversible and chosen once, in period 1, and is denoted by  $q \in \{0, 1\}$ , where  $q = 1$  means that the couple has children. The man works in the formal or the informal sector,  $s_m \in \{F, I\}$ . The woman can work in the formal or the informal sector or not be employed and specialize in home production,  $s_f \in \{F, I, N\}$ .

At the beginning of period 2, a match-quality shock  $\theta$  is realized and the couple decides whether to separate. Couples who remain together keep their period-1 sectors. Couples who separate and have children enter the child-support system. Separated individuals work, so  $s \in \{F, I\}$  after separation. This assumption reflects the evidence in Section V: separation moves mothers out of inactivity, and among fathers who were formally employed before separation, the formal-employment gap is mostly mirrored by higher informal employment rather than by unemployment or inactivity. The model therefore focuses on the formal–informal margin. We also assume that informal employment is absorbing: an individual who works informally in period 1 works informally in period 2, whether or not the couple separates. The sector choice after separation is therefore relevant for men who were formally employed while together and for women who were formally employed or not employed.

There is no saving, borrowing, or re-partnering, and no uncertainty after period 1 other than  $\theta$  and the *collection state*  $\psi \in \Psi = \{l, m, h\}$  (low, intermediate, and full collection),

which determines the share of the obligation that is paid (Section 2) and has probabilities  $\rho_\psi$ .<sup>10</sup> The collection state is realized, and revealed to both parents, only after separation: when they choose sectors and fertility in period 1 and when they decide whether to separate, couples know only its distribution. The child-support system is known before the period-1 decisions. Table 7 summarizes the timing. Child-support obligations arise only if the couple has children.

|           | Period 1, together                                   | Period 2, together                                                                                                         | Period 2, separated                                                                                                                                                                                                             |
|-----------|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Decisions | sector of each partner and fertility                 | none: sectors and fertility persist                                                                                        | the collection state $\psi$ is revealed; the father chooses his sector and, if there are children, pays the share of his obligation that $\psi$ implies for that sector; the mother chooses her sector and receives the payment |
| Resources | earnings of both partners minus the cost of children | earnings of both partners minus the cost of children                                                                       | each parent's own earnings; the father's net of the child-support payment, the mother's plus the payment and net of the cost of children                                                                                        |
| Shock     |                                                      | match quality $\theta$ realized; separation if both partners prefer it, given the expected value of separation over $\psi$ |                                                                                                                                                                                                                                 |

Table 7: Timing of a couple's decisions.

**Earnings.** The potential formal earnings of individual  $j \in \{f, m\}$  of type  $g_j$  in period  $t = 1, 2$  are

$$(5) \quad \ln w_{jt} = \ln \bar{w}_{jt}(g_j) - \sigma_{jt}^2/2 + \sigma_{jt} \epsilon_j$$

where  $\epsilon_j \sim N(0, 1)$  is an idiosyncratic productivity shock, so that  $\bar{w}_{jt}(g)$  is the mean potential formal earnings of type  $g$  in period  $t$ . The same  $\epsilon_j$  applies in both periods, so individuals keep their position in the earnings distribution, and the two partners' draws are independent. Individuals are older in period 2, so  $\bar{w}_{j2}(g)$  and  $\sigma_{j2}$  differ from their period-1 counterparts.

<sup>10</sup>In the estimation (Section C), the intermediate state is split into three states with different payment shares; all expressions below apply unchanged with  $\Psi$  replaced by the resulting set of states.

Formal earnings equal potential formal earnings,  $w_{jt} = w_{jt}^F$ ; there is no choice of hours, and everyone employed works full time. Informal earnings are proportional to potential formal earnings through a person-specific multiplier  $\mu_j > 0$ ,

$$(6) \quad \ln \mu_j = \ln \bar{\mu}_j(g_j) + \sigma_{\mu j}(g_j) \epsilon_j^\mu \quad \epsilon_j^\mu \sim N(0, 1)$$

where  $\bar{\mu}_j(g)$  is the median multiplier of type  $g$  and  $\sigma_{\mu j}(g)$  is the dispersion of its logarithm. The multiplier is drawn independently of earnings and tastes and is fixed across periods, so informal earnings are  $\mu_j w_{jt}^F$ . Because  $\mu_j$  is not bounded above by 1, informal earnings can exceed formal earnings for some individuals. This is consistent with the substantial overlap between the formal and informal earnings distributions documented in Appendix A, and with the fact that workers who move from formal to informal employment do not necessarily experience lower earnings. A woman who is not employed has no earnings. Period-1 earnings are therefore

$$w_{f1}(s) = \begin{cases} w_{f1}^F & s = F \\ \mu_f w_{f1}^F & s = I \\ 0 & s = N \end{cases} \quad w_{m1}(s) = \begin{cases} w_{m1}^F & s = F \\ \mu_m w_{m1}^F & s = I \end{cases}$$

**The cost of children.** A couple that has children spends a known amount  $C_t$  on them in each period. This cost varies across types of couples and periods, but not with realized earnings or sectors:

$$(7) \quad C_t(k) = \chi_q [\bar{w}_{ft}(g_f) + \bar{w}_{mt}(g_m)] \quad \chi_q > 0 \quad t \in \{1, 2\}$$

where  $\chi_q$  is the cost of children as a share of the mean potential formal earnings of the couple's type. While the couple is together, the cost is paid out of household resources; after separation, it is paid by the mother, who is the resident parent. There is no trade-off between children's consumption and parental time, so the cost does not depend on whether the mother is employed.

**Preferences.** Each individual has a permanent taste for informal work  $\eta_j$ , drawn from a distribution that depends on gender but not on type,

$$(8) \quad \eta_j \sim N(\bar{\eta}_j, \sigma_{\eta j}^2) \quad \phi_j(s) = \eta_j \mathbb{1}\{s = I\}$$

independent across partners and of earnings and multipliers. The taste is a non-pecuniary value expressed in consumption-equivalent units and can be positive or negative; it is not income and cannot finance consumption or child support. It captures the residual attractiveness of informal work, such as flexibility, working conditions, or barriers to formal employment not otherwise modeled. Because it is permanent, it does not change with separation: a father who moves into informal employment after separation does so because separation changes his budget, not his tastes.

The household also has a taste for female specialization, drawn from a common distribution,

$$(9) \quad B_i = \bar{B} + \sigma_B \epsilon_i^B \quad \epsilon_i^B \sim N(0, 1)$$

For  $B_i > 0$ , children increase the value of the woman not being employed; for  $B_i < 0$ , they increase its cost. Conditional on the woman's sector, fertility, and  $B_i$ , the value of specialization is

$$(10) \quad B(s_{f1}, q; B_i) = (1 + \beta_B q) B_i \mathbb{1}\{s_{f1} = N\}$$

with  $\beta_B \geq 0$ .

Let  $a = (s_{f1}, s_{m1}, q) \in \mathcal{A} = \{F, I, N\} \times \{F, I\} \times \{0, 1\}$  denote a period-1 *bundle*: the woman's sector, the man's sector, and fertility.<sup>11</sup> The non-pecuniary terms of bundle  $a$  are

$$(11) \quad A_j(a) = \phi_j(s_{j1}) + B(s_{f1}, q; B_i)$$

While together, the monetary budget is  $c_f + c_m = w_{f1}(s_{f1}) + w_{m1}(s_{m1}) - qC_1$  with  $c_f, c_m \geq 0$ , and flow utilities are

$$(12) \quad u_j^M(a, c_j) = \Gamma(q) + \ln [c_j + A_j(a)] \quad \Gamma(q) = \ln(1 + \gamma_q q), \quad \gamma_q > -1$$

where the superscript  $M$  refers to the shared household. The term  $\Gamma(q)$  is the value of raising children together. In period 2, the match-quality shock  $\theta \sim N(0, \sigma_\theta^2)$ , common to both partners and independent of everything else, enters additively:  $u_{j2}^M = \bar{u}_{j2}^M + \theta$ , where  $\bar{u}_{j2}^M$  is the flow utility without the shock.

After separation ( $D$ ), each parent consumes private goods and values

$$(13) \quad u_j^D(x_j) = \ln x_j \quad x_j = c_j + \eta_j \mathbb{1}\{s = I\}$$

---

<sup>11</sup>A bundle is infeasible for a household if the allocation it implies cannot give both partners positive effective consumption in both periods.

where  $c_j$  is monetary consumption and  $s$  is the sector chosen after separation. Children do not enter utility directly after separation: they matter through the resources they require and the child-support payments they trigger. Neither parent is altruistic toward the children, so the father treats the child-support payment as a cost and the mother treats it as a resource. This specification isolates the financial incentives that the child-support system creates for fathers' sector choices, without a direct concern for the resources reaching the resident household; we return to its interpretation in Section D.

Each household is characterized by a *state* drawn once and for all before period 1,

$$\xi = (k, \epsilon_f, \epsilon_m, \epsilon_f^\mu, \epsilon_m^\mu, \eta_f, \eta_m, B_i)$$

Given the type, its components are mutually independent and independent across households; given gender, the taste distributions do not depend on type. Both partners observe  $\xi$  before choosing the period-1 bundle. The match-quality shock  $\theta$  and the collection state  $\psi$  are independent of each other and of  $\xi$ .

## B Household behavior under a given child-support rule

Let  $r$  denote a child-support system, defined by how obligations are determined and collected. At the beginning of period 1, the household evaluates each feasible bundle  $a$  under  $r$ , computes the lifetime value  $V^r(a; \xi)$  of the partners' utilities under that bundle, and chooses the bundle with the highest value. This structure implies that selection into  $F$ ,  $I$ , and  $N$  is endogenous and governed by the whole household problem.

### 1 Allocation within the couple

Conditional on a bundle  $a$ , the couple allocates resources while together according to a weighted-utility rule with fixed weight  $\lambda \in (0, 1)$  on the woman.<sup>12</sup> In each period  $t$ , letting  $Y_t(a)$  denote monetary resources net of the cost of children, the couple solves

$$\max_{c_f, c_m \geq 0} \lambda \ln(c_f + A_f(a)) + (1 - \lambda) \ln(c_m + A_m(a)) \quad \text{s.t.} \quad c_f + c_m = Y_t(a)$$

---

<sup>12</sup>The weight  $\lambda$  is fixed across periods and does not depend on the realization of the match-quality shock.

Writing the total net resources as  $\tilde{Y}_t(a) = Y_t(a) + A_f(a) + A_m(a)$ , the resulting optimal consumption allocations are

$$(14) \quad c_{ft}^M(a) = \min \{Y_t(a), \max\{0, \lambda \tilde{Y}_t(a) - A_f(a)\}\}$$

$$(15) \quad c_{mt}^M(a) = Y_t(a) - c_{ft}^M(a)$$

where period-1 resources are  $Y_1(a) = w_{f1}(s_{f1}) + w_{m1}(s_{m1}) - qC_1$ . If the couple remains together in period 2, sectors and fertility persist, earnings and the cost of children are updated, and the same rule applies to  $Y_2(a)$ .

The resulting period-1 utility and period-2 utility while together, before the match-quality shock, are

$$u_{j1}^M(a) = \Gamma(q) + \ln(c_{j1}^M(a) + A_j(a)) \quad \bar{u}_{j2}^M(a) = \Gamma(q) + \ln(c_{j2}^M(a) + A_j(a))$$

A bundle is feasible if, in both periods,  $Y_t(a) \geq 0$  and  $c_{jt}^M(a) + A_j(a) > 0$  for both partners. Because households differ in their state  $\xi$ , the set of feasible bundles is household-specific and denoted by  $\mathcal{A}(\xi)$ .

## 2 Separated parents and the child-support system

After separation, parents no longer cooperate and make individual decisions, taking the child-support system as given.

**Obligations and payments.** A child-support system  $r$  specifies, for a father in sector  $s$  after separation, an obligation  $P_s^r(q)$ , with  $P_s^r(0) = 0$ , and the share  $\pi_s^r(\psi) \in [0, 1]$  of the obligation that is paid in collection state  $\psi$ . Both depend on the father's sector after separation, which corresponds to his formal-employment status at the hearing in Section VII. As in Ecuador's system, the obligation is determined once and is not adjusted to subsequent changes in his earnings (Section 1). The child-support payment, received by the mother, is

$$(16) \quad T_s^r(q, \psi) = \pi_s^r(\psi) P_s^r(q)$$

and the payment under system  $r$  and bundle  $a$  is  $T^r(a, \psi) = T_{s_m^{*,r}(a, \psi)}^r(q, \psi)$ , where  $s_m^{*,r}(a, \psi)$  is the father's chosen sector. Payments cannot exceed the obligation, and there is no external subsidy. Feasibility constraints apply to what is actually paid: payments cannot be financed with non-pecuniary tastes or with negative consumption.

*Determination.* In the current system  $b$ , the obligation is a share of the income on which it is determined,  $S(w) = \alpha(w)w$ , where  $\alpha(\cdot)$  is the step function of the statutory schedule

(Table 9). Formal earnings are observed by the court through the administrative records. Informal earnings are not, and because the burden of proving the father's income lies with the mother, earnings she cannot document are only partly reflected in the obligation: the court must infer the father's earnings capacity. For a father who was formally employed in period 1, the income used to determine his obligation if he works informally is a weighted average of the minimum wage  $\underline{w}$  and his potential formal earnings, with weight  $\omega \in [0, 1]$ . For a father who was informally employed in period 1, there is no formal-earnings history from which to infer, and his income is imputed at the minimum wage. Obligations are therefore

$$\begin{aligned}
P_F^b(q) &= q S(w_m^D(F)) \\
(17) \quad P_I^b(q \mid s_{m1} = F) &= q S((1 - \omega)\underline{w} + \omega w_{m2}^F) \\
P_I^b(q \mid s_{m1} = I) &= q S(\underline{w})
\end{aligned}$$

With  $\omega = 0$ , the obligation of an informal father is set as if he earned one minimum wage. With  $\omega > 0$ , the court recovers part of his earnings capacity, for example through testimony, declarations, or his formal-earnings history. With  $\omega = 1$ , the obligation does not depend on the father's sector after separation.

*Collection.* The collection state  $\psi \in \Psi = \{l, m, h\}$  summarizes the factors other than the obligation and the father's sector that determine how much of the obligation is paid, such as the effectiveness of enforcement in the case or circumstances of the father that the model does not describe. It is revealed after separation, is known to both parents, and is independent of the size of the obligation and of the household's state. Payment is therefore not modeled as a decision: the share paid is a feature of the collection system. In state  $\psi$ , a father in sector  $s$  pays the share  $\pi_{s,\psi}^b$  of his obligation. In the low state nothing is collected from any father,  $\pi_{F,l}^b = \pi_{I,l}^b = 0$ , and in the full-collection state the obligation is paid in full by any father,  $\pi_{F,h}^b = \pi_{I,h}^b = 1$ . In the intermediate state, the shares can differ across sectors, reflecting that the obligations of formal workers can be withheld at the source by their employers (Section 1). The share paid by informal fathers is obtained from a reference share  $\pi_{I,\psi}^{obs}$  through the weight  $\kappa \in [0, 1]$ ,

$$(18) \quad \pi_{I,\psi}^b = \pi_{F,\psi}^b - \kappa(\pi_{F,\psi}^b - \pi_{I,\psi}^{obs})$$

which holds in every state and has no effect in  $l$  and  $h$ . The probabilities and reference shares are calibrated from the payment records (Section C). The representation imposes an ordering assumption: a father in state  $\psi$  remains in that state if he changes sector, and, for a given state, the share paid is weakly higher in formal employment,  $\pi_{F,\psi}^b \geq \pi_{I,\psi}^b$ . This does

not imply that a formal father pays a larger amount, because  $P_F$  and  $P_I$  can differ in either direction. With  $\kappa = 1$ , informal fathers pay the reference shares; with  $\kappa = 0$ , the share paid in a given state does not depend on the father's sector. Because fathers choose their sector after observing  $\psi$ , the average shares paid by fathers observed in each sector need not equal the reference shares, and their gap need not be zero when  $\kappa = 0$ . The weight  $\kappa$  is estimated.

**The father's problem.** A father who was formally employed in period 1 and separates chooses his period-2 sector taking the child-support system as given and knowing the collection state. His potential earnings in each sector are

$$(19) \quad w_m^D(F) = w_{m2}^F \quad w_m^D(I) = \mu_m w_{m2}^F.$$

Given  $(a, r, \psi)$ , his monetary and effective consumption in sector  $s$  are

$$c_{m,s}^{D,r}(a, \psi) = w_m^D(s) - T_s^r(q, \psi) \quad x_{m,s}^{D,r}(a, \psi) = c_{m,s}^{D,r}(a, \psi) + \eta_m \mathbb{1}\{s = I\},$$

and his problem is

$$(20) \quad v_m^{D,r}(a, \psi) = \max_{s \in \mathcal{S}_m^r(a, \psi)} \ln x_{m,s}^{D,r}(a, \psi) \quad s_m^{*,r}(a, \psi) \in \arg \max_{s \in \mathcal{S}_m^r(a, \psi)} \ln x_{m,s}^{D,r}(a, \psi)$$

where, because informal employment is absorbing, his available sectors are  $\Sigma_m(F) = \{F, I\}$  and  $\Sigma_m(I) = \{I\}$ , and his feasible set is  $\mathcal{S}_m^r(a, \psi) = \{s \in \Sigma_m(s_{m1}) : c_{m,s}^{D,r}(a, \psi) > 0, x_{m,s}^{D,r}(a, \psi) > 0\}$ . If this set is empty, separation is infeasible in that state. Ties are resolved in favor of  $F$ ; this rule is part of the solution because the father's choice determines the payment, and therefore the mother's value of separation. His problem does not depend on the mother's payoff, so he has nothing to gain from anticipating her response.

**The mother's problem.** The mother takes the child-support payment as given and, if she was formally employed or not employed in period 1, chooses between formal and informal employment. If she was not employed in period 1, her potential earnings in both sectors depreciate by the factor  $h = \exp[-\zeta_f \mathbb{1}\{s_{f1} = N\}]$ , with  $\zeta_f \geq 0$ , which captures the loss of labor-market experience:

$$(21) \quad w_f^D(F \mid s_{f1}) = h w_{f2}^F \quad w_f^D(I \mid s_{f1}) = h \mu_f w_{f2}^F$$

Her consumption in sector  $s$  is

$$c_{f,s}^{D,r}(a, \psi) = w_f^D(s \mid s_{f1}) + T^r(a, \psi) - qC_2 \quad x_{f,s}^{D,r}(a, \psi) = c_{f,s}^{D,r}(a, \psi) + \eta_f \mathbb{1}\{s = I\},$$

and her feasible set and value are

$$(22) \quad \mathcal{S}_f^r(a, \psi) = \{s \in \Sigma(s_{f1}) : c_{f,s}^{D,r}(a, \psi) > 0, x_{f,s}^{D,r}(a, \psi) > 0\} \quad v_f^{D,r}(a, \psi) = \max_{s \in \mathcal{S}_f^r(a, \psi)} \ln x_{f,s}^{D,r}(a, \psi)$$

where  $\Sigma(F) = \Sigma(N) = \{F, I\}$  and  $\Sigma(I) = \{I\}$ . Ties are resolved in favor of  $F$ . Because the father's objective does not depend on her choice, the post-separation problem is solved sequentially. At the chosen sectors,

$$(23) \quad c_m^{D,r} + c_f^{D,r} + qC_2 = w_m^D(s_m^{*,r}) + w_f^D(s_f^{*,r} \mid s_{f1})$$

so child support redistributes resources between parents and can change total earnings through sector choices, but it is not an additional source of resources.

The mother's problem reproduces the main features of mothers' adjustment in Section V. Separation removes access to the father's earnings and requires her to finance the cost of the children, which raises the value of her own earnings and moves mothers who were not employed into employment in either sector.

### 3 The separation decision

Because the collection state is revealed only after separation, each parent evaluates separation using its expected value,

$$(24) \quad \bar{v}_j^{D,r}(a) = \mathbb{E}_\psi[v_j^{D,r}(a, \psi)] = \sum_{\psi \in \Psi} \rho_\psi v_j^{D,r}(a, \psi)$$

where  $v_j^{D,r}(a, \psi) = -\infty$  if parent  $j$  has no feasible sector in state  $\psi$ . The expectation already incorporates the father's optimal sector choice in each state. Partner  $j$  prefers separation when  $\bar{v}_j^{D,r}(a) \geq \bar{u}_{j2}^M(a) + \theta$ , that is, when  $\theta \leq \tau_j^r(a)$ , where

$$(25) \quad \tau_j^r(a) = \bar{v}_j^{D,r}(a) - \bar{u}_{j2}^M(a) \in [-\infty, \infty) \quad \tau^r(a) = \min\{\tau_f^r(a), \tau_m^r(a)\}$$

Separation occurs when both partners prefer it,

$$(26) \quad D^r(a, \theta) = \mathbb{1}\{\theta \leq \tau^r(a)\} \quad d^r(a) = \Phi(\tau^r(a)/\sigma_\theta)$$

where  $\Phi$  is the standard normal distribution function. The divorce rule is a reduced-form representation of mutual consent rather than a model of marital bargaining: separation occurs only when both spouses prefer it to remaining married.

## 4 The household's initial problem

Anticipating outcomes in period 2, the household chooses its period-1 sectors and fertility to maximize a weighted sum of the partners' expected lifetime utilities. The value of bundle  $a$  under system  $r$  is

$$(27) \quad V^r(a; \xi) = \lambda \left\{ u_{f1}^M(a) + \delta \mathbb{E}_\theta [(1 - D^r(a, \theta)) u_{f2}^M(a; \theta) + D^r(a, \theta) \bar{v}_f^{D,r}(a)] \right\} \\ + (1 - \lambda) \left\{ u_{m1}^M(a) + \delta \mathbb{E}_\theta [(1 - D^r(a, \theta)) u_{m2}^M(a; \theta) + D^r(a, \theta) \bar{v}_m^{D,r}(a)] \right\}$$

and the optimal bundle satisfies

$$(28) \quad a^{*,r}(\xi) \in \arg \max_{a \in \mathcal{A}(\xi)} V^r(a; \xi)$$

## 5 How the child-support system affects behavior

The child-support system affects behavior only through the parents' values of separation:

$$r \longrightarrow (v_f^{D,r}, v_m^{D,r}) \longrightarrow (\tau^r, V_f^r, V_m^r) \longrightarrow a^{*,r}$$

Although child support is paid only after separation, it therefore also affects sector and fertility choices made while the couple is together.

The mechanism is most transparent for a father who was formally employed in period 1. Once the collection state  $\psi$  is revealed, the gain in effective consumption from choosing informal rather than formal employment is

$$(29) \quad G(a, \psi) = w_m^D(I) + \eta_m - w_m^D(F) + q[\pi_{F,\psi} P_F - \pi_{I,\psi} P_I]$$

where  $P_s = P_s^b(1)$  is the obligation for a father in sector  $s$  and  $\pi_{s,\psi}$  is the share he pays in state  $\psi$ . When both sectors are feasible, he chooses informal employment if and only if  $G(a, \psi) > 0$ . The first terms capture the earnings and non-pecuniary trade-off between sectors, which is present whether or not he has children. The last term is the *child-support wedge*: the difference between what he would pay in formal and in informal employment.

The wedge combines the two features of the system documented in Section VII:

$$\pi_F P_F - \pi_I P_I = \underbrace{\pi_F (P_F - P_I)}_{\text{determination}} + \underbrace{(\pi_F - \pi_I) P_I}_{\text{collection}}$$

*Determination* is the difference in obligations across sectors,  $P_F = S(w_m^D(F))$  versus  $P_I = S((1 - \omega)\underline{w} + \omega w_{m2}^F)$ , and disappears when  $\omega = 1$ . *Collection* is the difference in the share

paid,  $\pi_{F,\psi} \geq \pi_{I,\psi}$ , and disappears when  $\kappa = 0$ .

The wedge varies across collection states. In the low state, both shares are zero and the wedge vanishes. In the full-collection state, only determination remains,  $\pi_F P_F - \pi_I P_I = P_F - P_I$ . Both features operate in the intermediate states, which is why  $\kappa$  matters only there. Because sector, fertility, and separation decisions are made before  $\psi$  is known, the wedge affects them through the expected value of separation.

Because fathers in the model do not value the resources transferred to their children, a dollar of child support paid is a dollar less of their own consumption. The model therefore quantifies the financial incentives created by determination and collection; it does not predict that every father facing these incentives acts on them, nor does it bound responses under preferences that include concern for the children’s resources.

## C Estimation

### 1 Inputs set outside the model

**Couples.** We estimate the model on couples observed while they share a household, the population from which separating parents in our household sample originate. Using the 2022 Census, we select young couples in which the household head and the head’s spouse or cohabiting partner are of opposite sex, the head is male, and both are 22–30 years old. Consistent with our household sample, both marriages and consensual unions are included. The sample comprises 176,051 couples. Children are the couple’s own co-resident children; a couple with none is coded  $q = 0$ . From this sample, we compute the distribution of types of couples  $\nu_k$ , the joint distribution of the partners’ sectors (the six pairs  $FF$ ,  $FI$ ,  $FN$ ,  $IF$ ,  $II$ ,  $IN$ , with the man’s sector first) by type of couple, and the share of couples without children by sector pair.

The aggregate probability of separation, 17%, comes from vital statistics. It is the synthetic-cohort cumulative probability of divorce over the first 19 years of marriage, computed from the 2022 marriage and divorce statistics as divorces by marriage duration over the size of the corresponding marriage cohorts.

**Child-support records.** Two moments come from the court and payment records analyzed in Section VII. The first is the obligation gap in column (5) of Table 5: among fathers formally employed as wage earners before filing, the difference in the obligation per child between fathers who are and are not formally employed at the hearing, conditional on pre-filing earnings deciles, the number of children and hearing year. Relative to the mean obligation, this gap is  $0.115/0.561 = 0.205$ . The second is the difference in the average share of the obli-

gation paid between fathers who are and are not formally employed at the hearing, 0.197. We target the difference without controls, rather than the estimate in column (2), because in the model the share paid does not depend on the size of the obligation. Section 2 describes how we compute their model counterparts.

We calibrate the collection states to the distribution of the share of the obligation paid by fathers who are and are not formally employed at the hearing. The two distributions differ in their probabilities of zero, partial, and full payment. To represent them jointly, we split the intermediate state into three states, so that  $\Psi = \{l, m_1, m_2, m_3, h\}$ : in  $m_1$ , formal fathers pay a partial share and informal fathers a lower one; in  $m_2$ , both pay a partial share; and in  $m_3$ , formal fathers pay in full and informal fathers a partial share. Table 8 reports the states.

| Collection state $\psi$                           | $l$   | $m_1$ | $m_2$ | $m_3$ | $h$   |
|---------------------------------------------------|-------|-------|-------|-------|-------|
| Probability $\rho_\psi$                           | 0.093 | 0.120 | 0.198 | 0.219 | 0.370 |
| Share paid, formal father, $\pi_{F,\psi}$         | 0     | 0.586 | 0.586 | 1     | 1     |
| Share paid, informal father, $\pi_{I,\psi}^{obs}$ | 0     | 0     | 0.499 | 0.499 | 1     |

Table 8: Collection states of the current system, calibrated to the payment records.

**Earnings.** All earnings are expressed in monthly minimum wages, as in the rest of the paper. Using ENEMDU, we measure monthly earnings as the hourly wage times 160 hours.<sup>13</sup> Potential formal earnings by gender and type are obtained from a Mincer regression of log hourly wages on type indicators, potential experience, city, and quarter, estimated on formal workers and predicted for the entire population in the relevant age range, including informal workers and individuals who are not employed. Period 1 corresponds to ages 22–30, the ages of the Census couples, and period 2 to ages 31–55, the ages of parents in our household sample. The dispersion  $\sigma_{jt}$  combines the within-type variance of predicted log earnings with the residual variance of the regression. The dispersion of the informal multiplier,  $\sigma_{\mu j}(g)$ , is computed from the interquartile range of the log change in hourly earnings among workers observed moving from formal to informal employment between ENEMDU interviews, the same transitions described in Appendix A. Appendix Table 30 reports these inputs.

**Other parameters.** We set the weight of the woman in the household problem to  $\lambda = 0.5$ , the discount factor to  $\delta = 1$ , and the depreciation of a woman not employed in period 1 to  $\zeta_f = 0.15$ . The determination rates  $\alpha$  follow the statutory schedule (Table 9).

<sup>13</sup>We pool the survey years with available wages and remove year effects, normalized to have a weighted mean of zero, so that earnings are expressed in minimum wages of an average period.

| Monthly income (minimum wages) | $\leq 1.25$ | $(1.25, 3]$ | $(3, 4]$ | $(4, 6.5]$ | $(6.5, 9]$ | $> 9$ |
|--------------------------------|-------------|-------------|----------|------------|------------|-------|
| Determination rate $\alpha$    | 0.362       | 0.418       | 0.408    | 0.422      | 0.436      | 0.451 |

Table 9: Child-support determination schedule of the current system. The rates are the minimum child-support rates of the MIES tables, averaged over the observed distribution of the number of children per case in our data.

## 2 Estimation method and identification

We estimate the remaining 18 parameters within the model:

- four parameters of the taste for informal work, common to all types within gender:  $\{\bar{\eta}_f, \sigma_{\eta f}\}$  for women and  $\{\bar{\eta}_m, \sigma_{\eta m}\}$  for men;
- three parameters of specialization:  $\bar{B}$ ,  $\sigma_B$ , and  $\beta_B$ ;
- two parameters of children: their value while together,  $\gamma_q$ , and their cost,  $\chi_q$ ;
- the dispersion of the match-quality shock,  $\sigma_\theta$ ;
- six median informal multipliers,  $\bar{\mu}_j(g)$  for  $j \in \{f, m\}$  and  $g \in \mathcal{G}$ ;
- two parameters of the child-support system: the weight  $\omega$  that determination places on the father’s formal earnings capacity when he works informally, and the weight  $\kappa$  on the observed collection gap between sectors.

**Identification.** Although the parameters are estimated jointly, each block of moments is particularly informative about a subset of them. We describe these links below; the discussion is heuristic and does not establish formal identification.

*Earnings opportunities and tastes for informal work.* Potential formal earnings are set outside the model, so what remains to be recovered is the attractiveness of informal work, which combines informal earnings opportunities ( $\bar{\mu}_j(g)$ ) and non-pecuniary tastes ( $\bar{\eta}_j, \sigma_{\eta j}$ ). Two features of the model allow us to separate them. First, tastes are common across types, whereas informal earnings opportunities vary by type. Differences across types in the shares of sector pairs therefore inform the type-specific multipliers, while the overall level and dispersion of informal employment inform the common tastes. Comparing couples in which the man’s type is fixed but the woman’s type varies, and vice versa, separates each partner’s opportunities. Second, the ratio of mean informal to mean formal earnings by gender and type responds differently to the two. A higher median multiplier raises informal earnings directly, whereas tastes affect the observed ratio only through which workers select

into informal employment. These six ratios therefore allow us to recover informal earnings opportunities without observing workers' earnings in the sector they do not choose.

*Specialization and children.* The share of couples in which the woman is not employed ( $FN$  and  $IN$ ) informs the mean and dispersion of the specialization taste,  $\bar{B}$  and  $\sigma_B$ . The shares of couples without children across sector pairs inform the value and cost of children,  $\gamma_q$  and  $\chi_q$ . Because children raise the value of specialization only when the woman is not employed, the difference in fertility between couples in which she works and those in which she does not informs  $\beta_B$ .

*The child-support system.* The two moments from the child-support records are constructed in the model to mirror the specifications in Section VII.<sup>14</sup> The obligation gap between fathers who choose formal and informal employment informs  $\omega$ : the less of a father's formal earnings capacity the court recovers when he works informally, the lower his informal obligation and the larger the gap. The gap in the share paid between fathers in the two sectors informs  $\kappa$ : the larger  $\kappa$ , the less informal fathers pay in a given collection state. This gap also reflects that fathers choose their sector after observing  $\psi$ , so it is informative about  $\kappa$  only once the composition of collection states across sectors is accounted for, which the model does.

*Separation.* Given the values of remaining together and separating implied by the other parameters, the dispersion of the match-quality shock,  $\sigma_\theta$ , determines how often both partners prefer to separate. The aggregate probability of separation is therefore its main source of information.

In total, we target 69 moments: 54 shares of sector pairs by type of couple, six earnings ratios, six shares of couples without children by sector pair, the aggregate probability of separation, and the two moments from the child-support records.

**The method of simulated moments.** We estimate the parameter vector  $\Theta$  by the method of simulated moments (McFadden, 1989). For any  $\Theta$ , we solve the model for a simulated population of households and compute the vector of simulated moments  $m^{sim}(\Theta)$  with data counterpart  $m^{data}$  (Appendix B). Household draws are generated once and reused

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<sup>14</sup>For the first moment, we select fathers who were formally employed in period 1 and have children, the counterpart of fathers formally employed before filing. We regress the obligation of the sector chosen after separation on an indicator for choosing formal employment, the counterpart of formal-employment status at the hearing, controlling for deciles of potential formal earnings, the counterpart of pre-filing earnings deciles. We stack one observation per household and collection state, weighted by the probabilities of the state and of separation, and divide the coefficient by the weighted mean obligation. The second moment is computed over the same observations.

across parameter vectors. We solve

$$(30) \quad \hat{\Theta} = \arg \min_{\Theta} [m^{sim}(\Theta) - m^{data}]' \mathcal{V} [m^{sim}(\Theta) - m^{data}]$$

where  $\mathcal{V}$  is a diagonal weighting matrix.<sup>15</sup>

### 3 Estimates and fit

Table 10 presents the estimates.<sup>16</sup> Among men, the taste for informal work has a mean of 0.41 minimum wages and little dispersion, so men’s sector choices are driven mainly by differences in earnings opportunities. Among women, the mean taste is  $-3.06$  with a dispersion of 4.81, so women’s valuations of informal work are much more heterogeneous. The median informal multipliers, reported by type in Appendix Table 31, are below one for every type and both genders: at the median, informal earnings fall short of formal earnings, but the dispersion of the multiplier implies that a substantial share of workers would earn as much or more informally, as in the ENEMDU transitions. The child-support parameters indicate that, when a father who was formally employed works informally, determination recovers a substantial share of his formal earnings capacity ( $\hat{\omega} = 0.64$ ), and that the collection gap between sectors is somewhat smaller than the gap in the reference shares ( $\hat{\kappa} = 0.74$ ). Appendix Figure 12 plots the formal and informal earnings distributions implied by the estimates.

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<sup>15</sup>The weights give each block of moments a total weight of one: each of the six shares of couples without children receives weight 1/6; each of the 54 shares of sector pairs by type receives weight  $\nu_k/6$ , so that each type counts in proportion to its mass; the aggregate probability of separation has weight one; and each of the two moments from the child-support records forms its own block with weight one. These blocks come from the 2022 Census, from national vital statistics (both full administrative counts rather than samples), and from the judicial records; their weights reflect the relative importance of the blocks. The six earnings ratios come from ENEMDU, a household survey, and are weighted by the inverse of a delta-method sampling variance of the ratio, treating the two sector subsamples within each cell as independent, normalized so that the block totals weight one.

<sup>16</sup>We report point estimates; standard errors and the sensitivity of each estimate to the moments are in progress.

|                                                                  |       |
|------------------------------------------------------------------|-------|
| Mean taste for informal work, women, $\bar{\eta}_f$              | -3.06 |
| Dispersion of the taste, women, $\sigma_{\eta f}$                | 4.81  |
| Mean taste for informal work, men, $\bar{\eta}_m$                | 0.41  |
| Dispersion of the taste, men, $\sigma_{\eta m}$                  | 0.03  |
| Mean value of specialization, $\bar{B}$                          | 0.99  |
| Dispersion of the specialization taste, $\sigma_B$               | 0.32  |
| Amplification of the specialization taste by children, $\beta_B$ | 0.01  |
| Value of children while together, $\gamma_q$                     | 0.17  |
| Cost of children, $\chi_q$                                       | 0.11  |
| Dispersion of the match-quality shock, $\sigma_\theta$           | 0.78  |
| Weight on formal earnings capacity in determination, $\omega$    | 0.64  |
| Weight on the observed collection gap, $\kappa$                  | 0.74  |

Table 10: Estimated parameters common to all types. The median informal multipliers, which vary by type, are reported in Appendix Table 31.

**Fit.** Table 11 shows that the model reproduces the two moments from the child-support records, the aggregate probability of separation, and the shares of couples without children for most sector pairs. The largest discrepancy is for couples in which the man is formally employed and the woman is not employed ( $FN$ ), where the model underpredicts the share without children by 2.8 percentage points. The model also matches the ratio of mean informal to mean formal earnings, which ranges from 0.69 to 0.73 among men and from 0.65 to 0.84 among women in the data (Appendix Table 32). Across the 54 shares of sector pairs by type of couple (Appendix Table 33), the correlation between model and data is 0.89, the mean absolute difference is 4.6 percentage points (3.4 when each cell is weighted by the mass of its type), and 67 percent of the cells are within 5 percentage points. Appendix Table 34 reports aggregate sector and fertility patterns implied by these targets.

*Panel A. Moments from the child-support records*

|                                                                           | Data  | Model |
|---------------------------------------------------------------------------|-------|-------|
| Obligation gap, formal vs. not formal at the hearing (coefficient / mean) | 0.205 | 0.203 |
| Payment-share gap, formal vs. not formal at the hearing                   | 0.197 | 0.198 |

*Panel B. Probability of separation*

|                                      | Data  | Model |
|--------------------------------------|-------|-------|
| Cumulative probability of separation | 0.170 | 0.169 |

*Panel C. Share of couples without children, by sector pair (%)*

| Sector pair (man, woman) | <i>FF</i> | <i>FI</i> | <i>FN</i> | <i>IF</i> | <i>II</i> | <i>IN</i> |
|--------------------------|-----------|-----------|-----------|-----------|-----------|-----------|
| Data                     | 31.0      | 23.0      | 13.0      | 25.0      | 22.0      | 12.0      |
| Model                    | 31.3      | 23.9      | 10.2      | 24.9      | 20.3      | 14.8      |

Table 11: Targeted moments. The earnings ratios and the shares of sector pairs by type of couple are reported in Appendix Tables 32 and 33.

## D Incentives under the current system

We use the estimated model to ask whether the current child-support system creates quantitatively meaningful incentives for formally employed fathers to move into informal employment after separation.

Two features of the estimated economy are important for interpreting the answer. First, informal employment is an economically relevant alternative to formal work: among men, mean informal earnings are about 70 percent of mean formal earnings, so the model does not generate moves into informal employment by assigning negligible earnings to it. Second, because informal employment is absorbing and the taste for informal work is permanent, a father who was formally employed while together moves into informal employment after separation only if separation changes the relative return of the two sectors.

Table 12 reports the result. Among fathers who are formally employed while together and have children, 14.6 percent would choose informal employment if they separated, weighting households by their probability of separation. Among formally employed men without children, who separate without entering the child-support system, the share is 0.3 percent. This contrast is the model counterpart of the comparison in Section 1 between separating parents and couples who separate without dependent children. As in that comparison, the two groups differ in more than exposure to child support: in the model, they are selected by the endogenous choice of fertility and may differ in earnings, tastes, partners, and the

probability of separation. The contribution of the child-support system is instead measured by the counterfactuals in Section E, which compare the same households with and without each feature. In particular, when there is no child support, 1.1 percent of formally employed fathers would choose informal employment after separation.

|                                                                                                                             | With children | Without children |
|-----------------------------------------------------------------------------------------------------------------------------|---------------|------------------|
| Formally employed men who would choose informal employment if they separated, weighted by the probability of separation (%) | 14.6          | 0.3              |
| Formally employed men who would choose informal employment if they separated, unweighted (%)                                | 16.9          | 0.4              |
| Probability of separation                                                                                                   | 0.140         | 0.306            |

Table 12: Sector choices after separation under the current system, among men formally employed while together.

These magnitudes are not estimates of the responses measured in Section V. Among fathers who were formally employed before separation, the Census shows that separating fathers are 5.0 percentage points more likely to be informally employed than comparable fathers in stable households. The model’s incentive is larger. The difference is expected: the model is estimated on couples observed before separation, operates over a different horizon, and abstracts from fathers’ concern for the resources reaching their children, which would lead some fathers not to act on the financial incentive. The model’s prediction should therefore be read as a measure of the financial incentive created by the system, not as a forecast of fathers’ behavior. Given the earnings opportunities and sector preferences disciplined by the data, the current system makes informal employment financially attractive for a meaningful share of formally employed fathers.

## E Counterfactuals: determination and collection

We compare the current system with four alternatives. Each keeps the statutory schedule (Table 9) and changes only whether determination, collection, or both depend on the father’s sector after separation:

- *(b) Sector-neutral determination.* The obligation of a father who was formally employed while together is determined on his potential formal earnings, whatever his sector after separation ( $\omega = 1$ ). Collection is as estimated.

- (c) *Sector-neutral collection.* Informal fathers pay the same share of their obligation as formal fathers ( $\kappa = 0$ ). Determination is as estimated.
- (d) *Both sector-neutral.*  $\omega = 1$  and  $\kappa = 0$ . A father pays the same amount whether he works formally or informally.
- (e) *No child support.*

**What rule (d) changes for the fathers who leave formal employment.** We first study the families directly affected by rule (d). We take separated parents with children in which the father was formally employed while the couple was together, and we keep everything that happens before separation as it is under the current system. Under the current system, 13.7 percent of these fathers work informally after separation. Under rule (d), they remain formally employed. Table 13 compares their outcomes under the two rules.

Table 13: Fathers who work informally under the current system and formally under rule (d)

|                                  | Fathers who change sector (13.7%) |          |        | All fathers |          |        |
|----------------------------------|-----------------------------------|----------|--------|-------------|----------|--------|
|                                  | Current                           | Rule (d) | Change | Current     | Rule (d) | Change |
| Father's sector after separation | Informal                          | Formal   |        |             |          |        |
| Father's earnings                | 1.60                              | 2.23     | +0.63  | 2.45        | 2.54     | +0.09  |
| Payment to the mother            | 0.43                              | 0.80     | +0.37  | 0.77        | 0.82     | +0.05  |
| Father's earnings minus payment  | 1.18                              | 1.43     | +0.25  | 1.69        | 1.72     | +0.03  |
| Mother's resources               | 1.50                              | 1.88     | +0.38  | 1.91        | 1.96     | +0.05  |

*Notes:* Separated parents with children in which the father was formally employed while the couple was together. Choices made before separation (sectors while together, fertility, and the probability of separation) are kept as under the current system, so the same families are compared under both rules. “All fathers” includes the 85.2 percent who are formally employed after separation under both rules and whose outcomes do not change. Amounts are in monthly minimum wages. Mother's resources are her earnings plus the payment, net of the cost of children.

Under the current system, these fathers work informally even though informal employment lowers their earnings by 28 percent, from 2.23 to 1.60 minimum wages. They do so because working informally lowers their payment from 0.80 to 0.43 minimum wages and because they value informal work. Under rule (d), the payment is 0.80 in either sector. Working informally no longer lowers it, so they remain formally employed.<sup>17</sup>

<sup>17</sup>Two small groups also change. For 0.9 percent of fathers, informal employment remains preferable under rule (d); they stay informal and pay more (0.52 instead of 0.33 minimum wages). Another 0.2 percent

This change has two consequences. Mothers receive 0.37 minimum wages more. Fathers earn 0.63 more, so even after paying more, they keep 0.25 more than under the current system.<sup>18</sup> Averaged over all fathers in the table, payments to mothers rise by about 7 percent, mothers' resources by about 3 percent, and fathers' earnings net of the payment by about 2 percent. Making the payment independent of the father's sector therefore raises payments to mothers without lowering fathers' average monetary resources: the current system leads some fathers to earn less, and rule (d) recovers those earnings.

**When all choices respond.** The comparison above keeps couples' choices before separation as they are under the current system. In the full model, couples anticipate the rule, so rule (d) can also change their sectors while together, whether they have children, and whether they separate. Table 14 reports the results of rule (d) when these choices also respond, next to those with choices before separation fixed.

Table 14: Rule (d) with choices before separation fixed and with all choices responding

|                                 | Choices before separation fixed |          |            | All choices respond |          |            |
|---------------------------------|---------------------------------|----------|------------|---------------------|----------|------------|
|                                 | Current                         | Rule (d) | Change (%) | Current             | Rule (d) | Change (%) |
| Fathers who work informally (%) | 14.6                            | 1.1      |            | 14.6                | 1.9      |            |
| Payment to the mother           | 0.77                            | 0.82     | +6.9       | 0.50                | 0.56     | +12.2      |
| Father's earnings minus payment | 1.69                            | 1.72     | +1.9       | 1.51                | 1.53     | +1.1       |
| Mother's resources              | 1.91                            | 1.96     | +2.8       | 1.71                | 1.73     | +1.2       |

*Notes:* "Fathers who work informally" is the percentage of fathers formally employed while together who would work informally after separation. The left panel repeats the "All fathers" columns of Table 13: separated parents with children in which the father was formally employed while together, with choices before separation kept as under the current system. The right panel lets every choice respond to the rule and covers all separated parents with children, including fathers who were informally employed while together; each household is weighted by its probability of separation under each rule. Amounts are in monthly minimum wages.

The conclusions do not change when all choices respond. Fathers' move into informal employment almost disappears, payments to mothers rise, and fathers' average earnings net of the payment do not fall. Levels differ between the two panels because the right panel covers a broader population, which includes fathers who were informally employed while

move from formal to informal employment. Their formal earnings are below the minimum wage, so under the current system the minimum-wage imputation raises the obligation they would face if they worked informally; rule (d) removes that penalty.

<sup>18</sup>Fathers do give up the non-pecuniary value of informal work. Including it, their consumption falls from 1.58 to 1.43 minimum wages.

together. Mothers' resources rise by less when all choices respond, for a reason we discuss below: rule (d) changes which mothers separate.

**Who changes sector and who gains.** Fathers with lower earnings capacity are more likely to change sector: 17.7 percent of fathers in the bottom tercile of potential formal earnings, compared with 10.1 percent in the top tercile. Among the families in which the father changes sector, mothers who were informally employed or not employed while the couple was together gain the most relative to their resources, about 30 percent, compared with 18 percent for mothers who were formally employed (Appendix Table 35).

**Determination versus collection.** To compare the two features of the system, Table 15 reports results under each rule. Here every choice responds to the rule, including sectors and fertility while the couple is together and whether the couple separates. Each column is computed over the parents who separate under that rule.

Table 15: The current system and alternative rules

|                                                                                          | Current<br>system | (b)<br>Neutral det. | (c)<br>Neutral coll. | (d)<br>Both neutral | (e)<br>No CS |
|------------------------------------------------------------------------------------------|-------------------|---------------------|----------------------|---------------------|--------------|
| Fathers formally employed while together who would work informally if they separated (%) | 14.6              | 10.5                | 5.6                  | 1.9                 | 1.1          |
| Average payment to the mother (min. wages)                                               | 0.499             | 0.514               | 0.551                | 0.560               | 0.000        |
| Father's average earnings minus payment (min. wages)                                     | 1.510             | 1.519               | 1.520                | 1.527               | 1.736        |
| Mother's average resources (min. wages)                                                  | 1.710             | 1.717               | 1.726                | 1.730               | 1.556        |
| Share of households with children                                                        | 0.826             | 0.827               | 0.823                | 0.824               | 0.846        |
| Probability of separation, with children                                                 | 0.140             | 0.142               | 0.142                | 0.143               | 0.142        |

*Notes:* (b) sector-neutral determination ( $\omega = 1$ ); (c) sector-neutral collection ( $\kappa = 0$ ); (d) both; (e) no child support. All choices respond to each rule. The first four rows refer to separated parents with children, including fathers who were informally employed while together, weighted by their probability of separation under each rule.

Under the current system, 14.6 percent of fathers who were formally employed while together would work informally if they separated. This share falls to 10.5 percent when only determination is sector-neutral, to 5.6 percent when only collection is, and to 1.9 percent when both are, close to the 1.1 percent without child support. Averaging over the two

orders in which the features can be removed, collection accounts for about 8.8 of the 12.7 percentage points and determination for about 3.9. Collection therefore accounts for roughly twice as much of fathers' move into informal employment as determination. This comparison depends on the collection states, which are calibrated, and on  $\kappa$ , which is disciplined by a single moment.

**Choices before separation.** Rules hardly change what couples do while they are together: the share of households with children and the probability of separation move little across columns.<sup>19</sup> One change is worth noting. Under rule (d), mothers' average resources rise by 0.021 minimum wages in Table 15, less than the 0.053 obtained when choices before separation are kept fixed. The difference comes mostly from which mothers separate: under rule (d), mothers who were not employed while together, who have lower earnings after separation, become somewhat more likely to separate. Resources rise for mothers in every group, but the average rises less because these mothers carry more weight (Appendix Table 36). Because only the aggregate probability of separation is targeted in estimation, we view this as a consequence of the model rather than an estimate.

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<sup>19</sup>The share of households with children is 2.0 percentage points higher without child support. This small net change masks offsetting responses across households. Because the obligation is zero without children, child support affects fertility only through the value of separation, and the household values it as insurance for the partner who would consume less after separation. The net effect is ambiguous in sign, depends on fertility being a joint decision, and is not disciplined by any moment in the estimation, so we do not interpret it as a prediction.

## IX Conclusion

This paper examines how parents adjust their employment when they separate and enter the child-support system in a setting with widespread labor informality. Linking child-support and court records to administrative labor-market histories and Census data, we document different responses by mothers and fathers. Mothers, who receive child support, increase their labor-market attachment, particularly those who were not formally employed before separation. Fathers, who pay child support, become less likely to be formally employed, and complementary comparisons indicate that household dissolution alone cannot account for this decline. Among initially formal fathers, most of the subsequent formal-employment gap is mirrored by greater informal employment.

The distinction between formal and informal work matters for both the determination and collection of child support. Among fathers formally employed before filing, those who remain formal at the hearing receive larger obligations, conditional on pre-filing earnings. Fathers who are formally employed at the hearing also subsequently pay a larger share of what they owe. These relationships are descriptive, but they show that leaving formal employment can be associated with reductions in both obligations and payments. Understanding the resulting incentives requires comparing these reductions with the earnings a father would forgo by working informally.

The model makes this comparison explicit and allows us to evaluate alternative child-support rules. In the estimated economy, differences in collection across sectors account for roughly twice as much of fathers' movement into informal employment as differences in determination. Removing both differences leads most fathers who would otherwise choose informal employment to remain formal. The policy implication is that improving the measurement of earnings addresses only one part of the problem. If payments remain easier to collect in formal employment, incentives to leave it can persist even when obligations are determined on the same basis across sectors.

More broadly, our findings highlight the importance of distinguishing between observable earnings and underlying earning capacity. In settings with widespread labor informality, leaving formal employment need not mean withdrawing from work or losing the capacity to earn. It can, however, change both the earnings institutions observe and their ability to collect payments. The effectiveness of earnings-contingent institutions therefore depends on how obligations are determined, how payments are collected, and how workers respond to both. While we study child support, the same issue arises for taxes and other earnings-based obligations when formal employment makes income easier to observe and payments easier to collect.

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## A Labor Earnings Outside Formal Employment

Our main administrative data measure labor earnings reported through Ecuador’s social-security and tax records. These data allow us to observe formal employment and earnings consistently over time, but they do not reveal labor earnings earned outside the formal sector. To characterize earnings that are not captured by these administrative records, we use Ecuador’s nationally representative National Employment Survey (ENEMDU), which reports employment status and labor earnings for workers regardless of whether their employment is formally registered. The exercises in this section therefore use the broader ENEMDU population rather than our main analysis sample. Their purpose is to assess how informative the absence of formal earnings in administrative records is about workers’ actual labor earnings.

We link ENEMDU respondents to administrative social-security records using national identification numbers. Throughout our analysis, we define formal employment using these administrative records. In general, a job is considered formal if it entails coverage by labor regulations and social security (Ulyssea, 2020). Although ENEMDU collects information on respondents’ social-security coverage, this variable contains substantial nonresponse in our survey data. We therefore classify employment status using the linked administrative records. With the exception of members of the armed forces, an individual who reports being employed in ENEMDU and appears in the social-security records in the month of the survey interview is classified as formally employed; an employed individual who does not appear in those records is classified as informally employed. This definition is consistent with the administrative measure of formal employment used in our main analysis, while ENEMDU additionally allows us to observe the labor earnings of workers who are absent from those records.

We focus on men aged 22–55, corresponding closely to the population of fathers in our main analysis. We first ask whether informal workers are concentrated at low earnings levels or whether their earnings overlap with those of formal workers. Figure 6 compares monthly labor earnings of full-time formal and informal workers, expressed relative to the statutory minimum wage prevailing at the time of the survey to make earnings comparable across years. Informal workers earn less on average, but their earnings are highly dispersed and overlap substantially with those of formal workers. Median labor earnings among informal workers are approximately 1 statutory minimum wage, the 75th percentile is 1.25 statutory minimum wages, and the 90th percentile is 2.01 statutory minimum wages.

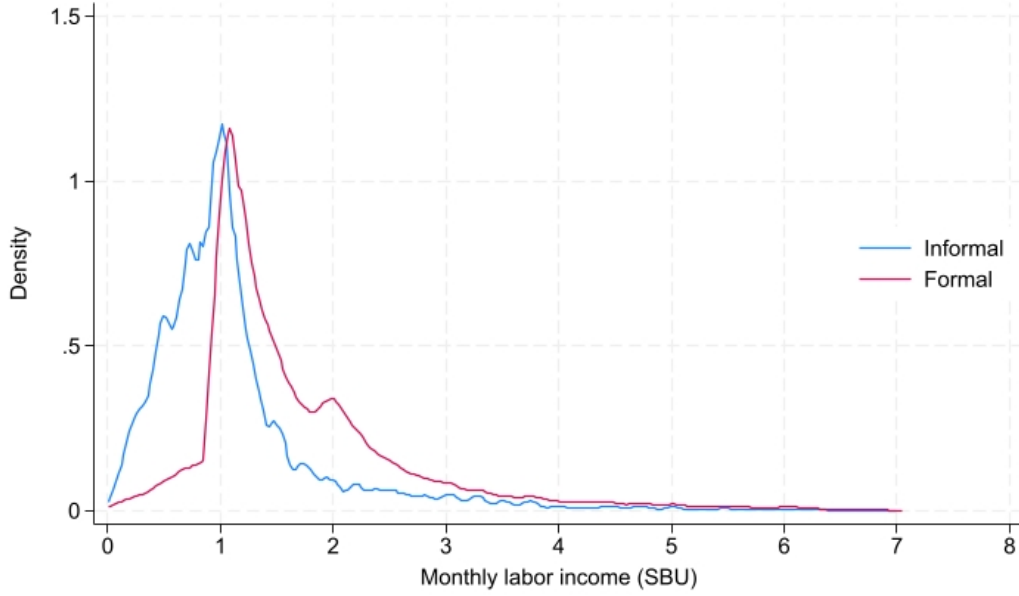


Figure 6: Labor Earnings of Formal and Informal Workers

*Notes:* The figure shows kernel densities of monthly labor earnings among formally and informally employed men aged 22–55 working at least 40 hours per week in ENEMDU (2014–2024), weighted by survey expansion factors.

Differences in the raw earnings distributions may partly reflect differences in the characteristics of workers who select into formal and informal employment. Figure 7 therefore compares residual labor earnings from a Mincer-style specification that conditions on age, education, city, and calendar year. Substantial overlap remains: informal workers are represented throughout a broad range of the residual earnings distribution, including at values comparable to those of formal workers. The overlap in raw earnings is therefore not explained solely by differences in observable characteristics between formal and informal workers. This pattern is consistent with evidence from other developing-country labor markets, where informal labor income distributions have also been shown to overlap substantially with formal labor income rather than being confined to the bottom of the distribution (for Brazil, Meghir et al., 2015).

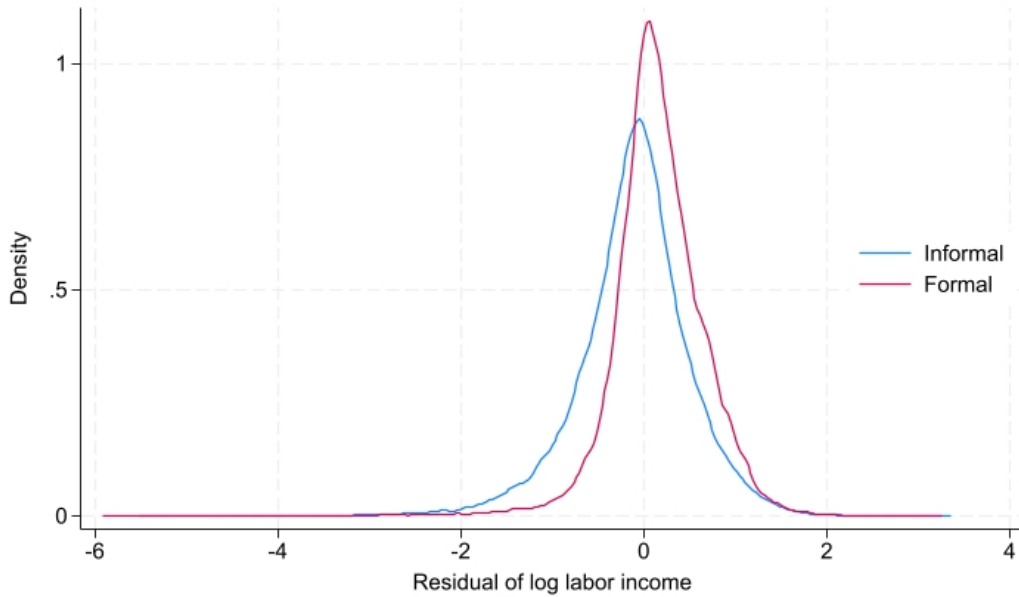


Figure 7: Residual Labor Earnings of Formal and Informal Workers

*Notes:* The figure shows kernel densities of residuals from a regression of log monthly labor earnings (relative to the statutory minimum wage) on education-level indicators, a quadratic in potential experience, city fixed effects, year fixed effects, and fixed effects for each value of weekly hours worked. The regression is estimated on employed men aged 22–55 in ENEMDU (2014–2024), pooling formal and informal workers and weighting by survey expansion factors.

Cross-sectional comparisons between formal and informal workers, even conditional on observable characteristics, may still reflect selection into employment sectors. We therefore complement these comparisons with within-worker evidence. ENEMDU’s rotating-panel structure allows us to identify men observed in consecutive survey interviews who are formally employed in the first interview and informally employed in the next. We restrict the two interviews to be between one and fifteen months apart and calculate the change in real monthly labor earnings between them.

Figure 8 shows the distribution of these within-worker earnings changes. Real earnings decline for most workers who transition from formal to informal employment, but the decline is far from universal. The distribution contains substantial mass around zero and above it: some workers experience little change in earnings, while others earn more after moving into informal employment. Because this comparison follows the same individuals across survey waves, these patterns cannot be explained by time-invariant differences between workers in formal and informal employment. The exercise does not imply that moving into informal employment causes earnings to remain unchanged or increase, since the transition itself may be selected and may coincide with other changes affecting earnings. It does show, however, that leaving formal employment does not mechanically entail a corresponding decline in labor

earnings.

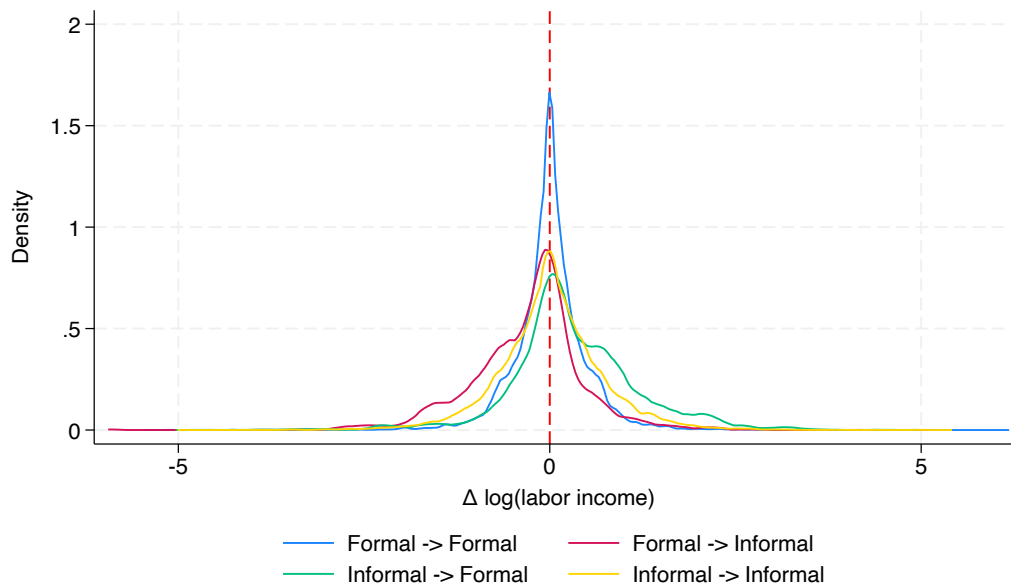


Figure 8: Labor Earnings Changes among Workers Moving from Formal to Informal Employment

Taken together, these exercises show that informal employment in Ecuador is not confined to workers with little or no labor income. Informal workers' earnings overlap substantially with those of formal workers, and workers who move from formal to informal employment do not necessarily experience a commensurate decline in earnings.

## B Construction of the Dataset

This appendix describes the construction of the dataset used in the analysis. We first constructed a nationwide registry of individuals appearing in Ecuador’s maintenance-payment system (SUPA). For all SUPA records originating from a court or mediation office in the province of Pichincha, we then used the judicial case identifier reported in SUPA to recover the corresponding judicial proceeding from SATJE. For each individual associated with these records, we additionally searched SATJE for all other proceedings in which they appeared, allowing us to reconstruct the broader family-law judicial history of each parent pair in the province. We then processed the resulting judicial records to construct structured information on the timing and characteristics of the proceedings, judicial decisions, child-support awards, enforcement actions, and the family context in which the pair entered the child-support system. Finally, within INEC’s secure data environment, we linked the resulting judicial dataset to the administrative and survey records described in Section III. All Python code used to collect the publicly available records and construct the resulting databases is available from the authors upon request.

## A Constructing the Nationwide SUPA Registry

SUPA does not provide a downloadable database or a list of individuals with registered maintenance obligations. Instead, its public platform allows users to search for records using an individual’s national identification number. We therefore constructed a nationwide registry of SUPA records by systematically querying the platform.

To do so, we developed an algorithm that generated the universe of potentially valid Ecuadorian national identification numbers and queried each number individually through SUPA’s public search interface. For each successful query, SUPA reports the individual’s role in the maintenance obligation, the name of the other party, a unique SUPA card number, and the judicial case number associated with the obligation. Because individuals can be queried separately, the same maintenance obligation can generally be observed from both sides. For example, querying individual *A* may return a SUPA card associated with judicial case *X* and identify individual *B* as the other party, while querying individual *B* returns the same card and case and identifies individual *A* as the counterpart. We exploit this reciprocal structure to construct matched payer–recipient pairs: two individuals are linked when their independently recovered records correspond to the same underlying SUPA obligation. This procedure allows us to identify both parties using their national identification numbers rather than relying on the names reported by SUPA.

Applying this procedure to the universe of potential identification numbers yields a na-

tionwide registry of 1,599,574 unique individuals appearing in SUPA as either payers or recipients. Of these, 1,406,471 individuals (87.93 percent) can be linked into 790,365 uniquely identified payer–recipient pairs. Most individuals are associated with only one counterpart: 1,251,099 individuals appear in a single pair, while progressively smaller numbers are linked to multiple counterparts. Specifically, 139,145 individuals are linked to two counterparts, 14,146 to three, 1,681 to four, 284 to five, 75 to six, 26 to seven, 9 to eight, 5 to nine, and 1 to ten. These counts reconcile exactly with the number of unique pairs: summing the number of person–pair links across individuals yields 1,580,730 links, exactly twice the 790,365 unique payer–recipient pairs.

For each identified SUPA card, we recovered information from the card details, transaction history, pending transactions, and records of judicial orders and indexations. These records provide the national identification numbers and roles of the individuals associated with the card, the corresponding judicial case number and jurisdiction, the filing date, the history of scheduled and completed payments, and, when available, provisional and definitive child-support amounts. Because SUPA records are continuously updated as new monthly obligations and transactions are added, the information observed for an active case depends on the date on which the platform is queried. Our data collection took place between March 2025 and March 2026. To ensure a common observation window across cases regardless of when they were queried, in our analysis we retain transaction information only through December 2024.

Filtro de búsqueda

Búsqueda por cédula o identificación de la persona

Cédula / identificación: 17

Buscar

Búsqueda por otros criterios

Criterio de búsqueda: Seleccione...

Seleccione:

Buscar

Limpiar

Simulador de pago

Devolución Valores

Resultados

1

| Código de tarjeta | Nro. de proceso judicial | Dependencia Jurisdiccional                                                                                                                                   | Tipo de pensión     | Intervinientes                                                | Detalle        |
|-------------------|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------------------------------------------------|----------------|
| 1701-             | 17                       | UNIDAD JUDICIAL CUARTA DE LA FAMILIA MUJER NIÑEZ Y ADOLESCENCIA CON SEDE EN LA PARROQUIA IÑAQUITO DEL DISTRITO METROPOLITANO DE QUITO PROVINCIA DE PICHINCHA | Pensión alimenticia | <div>Representante Legal:</div> <div>Obligado principal</div> | <div>Ver</div> |

1

Figure 9: Example of a SUPA Search Record

*Notes:* The figure shows an example of the information returned by the public SUPA platform when searching for an individual using their national identification number. The search result reports the SUPA card number, the associated judicial case number and jurisdiction, and the names of the payer and recipient. National identification numbers and other identifying information are partially redacted.

## B Linking SUPA to Judicial Records (SATJE)

Each SUPA card reports the judicial case number associated with the maintenance obligation as well as the court or mediation office from which the case originated. We use this jurisdictional information to identify all SUPA records associated with courts and mediation offices in the province of Pichincha. For each such record, we retain the national identification numbers of the two associated individuals and use the judicial case number reported in SUPA to retrieve the corresponding proceeding from the Judicial Case Inquiry System (SATJE), the Judicial Council’s public platform containing digitized court records.

We do not restrict the judicial data collection to the proceeding reported in SUPA. For each individual associated with a Pichincha SUPA card, we use their national identification number to search SATJE for all judicial proceedings in which they appear, separately querying the individual as plaintiff and as defendant. For each proceeding identified through these searches, we recover the case file together with the case cover information, which reports the case number, subject matter, filing date, plaintiff, and defendant. The case file contains the complete sequence of judicial actions and the associated text recorded over the course of the proceeding.

**Reconstructing Family-Law Histories.** We use these individual-level searches to reconstruct the judicial history of each payer–recipient pair. Consider two individuals, *A* and *B*, who are linked through a Pichincha SUPA card. The searches described above may return proceedings involving *A* or *B* with many different parties. We therefore retain only family-law proceedings in which *A* and *B* appear as opposing parties, regardless of which individual is the plaintiff (Actores/Ofendidos) and which is the defendant (Demandados/Procesados). Thus, a proceeding is assigned to the pair whenever *A* appears as plaintiff and *B* as defendant, or *B* appears as plaintiff and *A* as defendant. We restrict this procedure to proceedings classified under the family-law subject matter (Materia) in SATJE and combine all qualifying proceedings chronologically. The resulting sequence constitutes the pair’s family-law judicial history in Pichincha.

This procedure is important because the judicial proceeding reported on the SUPA card need not be the first or only interaction between the two individuals in the family-court system. A pair may, for example, appear in separate proceedings involving divorce, dissolution of a consensual union, child support, pregnancy support, paternity, custody, or visitation. Reconstructing the complete sequence of shared family-law proceedings therefore allows us to identify the pair’s first observed judicial interaction and to characterize the family context in which the pair subsequently entered the child-support system.

Filtros de búsqueda

Número de causa: 17

Datos generales

Número de proceso 17

Fecha ingreso 23/11/2017 16:30

Materia FAMILIA MUJER NIÑEZ Y ADOLESCENCIA

Tipo de acción SUMARIO

Delito/Asunto ALIMENTOS

| No.                                                                                                                                                                                                | Fecha               | Actores/ Ofendidos | Demandados/ Procesados | Actuaciones Judiciales |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|--------------------|------------------------|------------------------|
| Dependencia jurisdiccional: Unidad Judicial De Familia, Mujer, Niñez Y Adolescencia Con Sede En La Parroquia Iñaquito Del Distrito Metropolitano De Quito, Provincia De Pichincha<br>Ciudad: Quito |                     |                    |                        |                        |
| 1                                                                                                                                                                                                  | 23/11/2017<br>16:30 |                    |                        |                        |

Figure 10: Example of a SATJE Judicial Record

*Notes:* The figure shows an example of the case information available through the public SATJE platform. The record identifies the judicial case number, subject matter, filing date, plaintiff, and defendant. We use these fields to identify family-law proceedings shared by the two individuals associated with a SUPA card and to reconstruct their joint judicial history. Personally identifying information is redacted.

## C Extracting Information from SATJE Records

Beyond allowing us to reconstruct each pair’s family-law judicial history, SATJE provides information that is central to the determination of child-support obligations but is not recorded in SUPA. In particular, SUPA does not report the number of children or other beneficiaries for whom support is being claimed, nor whether the court recognizes additional family dependents of the defendant. Both are important inputs into the determination of child-support awards. This information, together with many other characteristics of the judicial process, appears in the text of judicial filings, hearings, and resolutions available through SATJE.

Because much of this information is contained in unstructured text, we use regular expressions and other rule-based text-parsing routines applied to the titles and body text of judicial entries to convert the court records into structured variables. Through this procedure, we identify hearings, judicial decisions, agreements between the parties, enforcement actions, and references to family circumstances relevant to the determination and enforcement of child support.

In particular, we recover the number of child-support beneficiaries and, when explicitly stated in the judicial record, their ages. We also identify whether the defendant is recognized as having additional family dependents and, when available, the number of such

dependents. In addition, we recover the timing of hearings, including the date of the first recorded hearing and the elapsed time between filing and hearing, as well as indicators for direct-payment arrangements, suspension of obligations, wage-withholding orders, detention and other coercive enforcement measures, requests for increases or reductions in support, and references to custody, visitation, paternity disputes, family conflict, and restrictions on leaving the country.

We also recover information on child-support awards reported in SATJE, including provisional and definitive pension amounts when these are explicitly stated in judicial resolutions or hearing records. When the same concept is observed in both SATJE and SUPA, we use the SATJE extraction to validate the corresponding measure but give priority to the value reported in SUPA, since SUPA is the administrative platform through which the maintenance obligation is recorded and administered.

In some cases, we complement the rule-based extraction with targeted validation using large language models. We use this approach selectively to verify information recovered from especially complex judicial text rather than to replace the underlying rule-based extraction procedure. Consistent with the project’s data-security protocols, all large-language-model processing was conducted locally on authorized machines so that judicial text and personally identifying information were not transmitted to external services.

The resulting dataset therefore combines the payment and administrative information recorded in SUPA with information on the family circumstances and judicial process under which child-support obligations are determined and enforced. Importantly, the SATJE records allow us to observe characteristics of the obligation that cannot be inferred from SUPA alone, including the number of beneficiaries covered by the claim and the additional family dependents recognized for the defendant.

## **D Linking to Administrative Records at INEC**

Once the SUPA and SATJE records were combined and processed, we transferred the resulting dataset to the secure data environment of Ecuador’s National Institute of Statistics and Censuses (INEC). All subsequent linkages to confidential administrative and survey records were conducted within this environment using individuals’ national identification numbers. We linked the judicial dataset to the administrative labor-market records, Civil Registry, the 2015–2023 National Birth Registry, the 2022 Population Census, and the 2014–2024 waves of ENEMDU described in Section III.

An important additional step in this process is the validation and refinement of the payer–recipient pairs constructed from the public judicial records. Outside INEC’s secure

environment, the SUPA and SATJE records provide the national identification numbers and judicial roles of the parties but contain limited demographic information with which to assess whether a matched payer–recipient pair corresponds to the mother and father of the children covered by the child-support case. Linking these records to the Civil Registry and other administrative sources allows us to observe demographic characteristics, including each individual’s date of birth and gender, and to impose additional restrictions on the pairs used in the analysis.

We first validate national identification numbers by comparing demographic information across the linked sources, using the Civil Registry as our primary source for dates of birth. We then use the resulting demographic information to construct the parent-pair sample described in Section III. In particular, we restrict the sample to opposite-gender pairs in which both individuals were between ages 21 and 55 at the time of their first observed family-law proceeding and the age difference between the two parties was no more than 15 years. We waive the age-gap restriction when Civil Registry records indicate that the two individuals share the same marriage date, which provides independent evidence that the pair corresponds to a couple.

The administrative linkages also provide information used to further characterize the family histories of these pairs. Civil Registry records allow us to identify shared marriage dates, while the National Birth Registry provides information on recent fertility histories and the 2022 Population Census provides, among other characteristics, mothers’ age at first birth. These variables complement the judicial histories reconstructed from SATJE and are used to construct the analysis samples and comparison groups described in the main text.

Finally, linking the validated parent pairs to the administrative labor-market records allows us to construct monthly histories of formal employment and earnings before and after their family-law proceedings. The Census and ENEMDU provide complementary information on labor-force status and informal employment that is not observed in the administrative social-security records. Because valid national identification numbers are unavailable for a subset of Census records, Census linkage is performed at the individual level and does not require both members of a pair to be successfully linked.

Table 16: Comparison of everyone and HH samples

|                                     | Everyone | HH           |               |                 |
|-------------------------------------|----------|--------------|---------------|-----------------|
|                                     |          | All HH pairs | Census-linked | Analysis sample |
| <i>Panel A. Fathers</i>             |          |              |               |                 |
| Age (mean)                          | 33.83    | 35.90        | 35.99         | 36.05           |
|                                     | (7.68)   | (7.55)       | (7.59)        | (7.59)          |
| Formally employed (%)               | 51.43    | 54.73        | 58.43         | 58.98           |
| Employment category (%)             |          |              |               |                 |
| Wage-earner                         | 93.45    | 92.38        | 92.95         | 92.98           |
| Self-employed                       | 3.60     | 3.98         | 3.64          | 3.74            |
| Business owner                      | 2.20     | 2.77         | 2.55          | 2.51            |
| Monthly earnings among wage-earners | 2.00     | 2.25         | 2.40          | 2.43            |
| (min wage units)                    | (1.44)   | (1.64)       | (1.73)        | (1.74)          |
| Never formal (%)                    | 21.71    | 20.38        | 19.65         | 19.66           |
| Number of fathers                   | 98,334   | 41,087       | 21,837        | 12,720          |
| <i>Panel B. Mothers</i>             |          |              |               |                 |
| Age (mean)                          | 31.74    | 33.79        | 33.99         | 33.87           |
|                                     | (7.21)   | (7.20)       | (7.23)        | (7.25)          |
| Formally employed (%)               | 42.34    | 46.92        | 48.11         | 50.23           |
| Employment category (%)             |          |              |               |                 |
| Wage-earner                         | 92.09    | 91.34        | 91.34         | 91.34           |
| Self-employed                       | 3.34     | 3.80         | 3.85          | 3.82            |
| Business owner                      | 1.56     | 2.19         | 2.03          | 1.98            |
| Monthly earnings among wage-earners | 1.77     | 2.00         | 2.07          | 2.16            |
| (min wage units)                    | (1.31)   | (1.49)       | (1.53)        | (1.56)          |
| Never formal (%)                    | 31.73    | 29.74        | 28.86         | 27.31           |
| Number of mothers                   | 98,334   | 41,087       | 27,715        | 12,720          |

*Notes:* The table compares the full sample (*Everyone*) with the household sample (*HH*) and its census-linked subsamples. In the *Analysis sample* column, the individual is census-linked and their partner in the same household is also census-linked. All characteristics are measured in the month prior to the filing of the first judicial event, except “Never formal,” which indicates that the individual is never observed in the formal social-security records before that filing. Employment-category shares are calculated among individuals observed in formal employment in the month prior to filing. Monthly earnings are reported only for wage-earners. Standard deviations are reported in parentheses for continuous variables.

Table 17: Comparison of everyone and Non-HH samples

|                                     | Everyone | Non-HH           |                 |
|-------------------------------------|----------|------------------|-----------------|
|                                     |          | All non-HH pairs | Analysis sample |
| <i>Panel A. Fathers</i>             |          |                  |                 |
| Age (mean)                          | 33.83    | 29.93            | 30.03           |
|                                     | (7.68)   | (6.35)           | (6.45)          |
| Formally employed (%)               | 51.43    | 51.38            | 52.72           |
| Employment category (%)             |          |                  |                 |
| Wage-earner                         | 93.45    | 96.37            | 96.60           |
| Self-employed                       | 3.60     | 1.68             | 1.57            |
| Business owner                      | 2.20     | 1.14             | 0.92            |
| Monthly earnings among wage-earners | 2.00     | 1.92             | 1.97            |
| (min wage units)                    | (1.44)   | (1.27)           | (1.34)          |
| Never formal (%)                    | 21.71    | 22.34            | 19.85           |
| Number of fathers                   | 98,334   | 2,896            | 1,451           |
| <i>Panel B. Mothers</i>             |          |                  |                 |
| Age (mean)                          | 31.74    | 28.13            | 28.32           |
|                                     | (7.21)   | (5.38)           | (5.37)          |
| Formally employed (%)               | 42.34    | 41.19            | 46.66           |
| Employment category (%)             |          |                  |                 |
| Wage-earner                         | 92.09    | 93.71            | 94.39           |
| Self-employed                       | 3.34     | 1.93             | 1.92            |
| Business owner                      | 1.56     | 0.84             | 0.44            |
| Monthly earnings among wage-earners | 1.77     | 1.74             | 1.74            |
| (min wage units)                    | (1.31)   | (1.20)           | (1.14)          |
| Never formal (%)                    | 31.73    | 28.25            | 22.40           |
| Number of mothers                   | 98,334   | 2,896            | 1,451           |

*Notes:* The table compares the full sample (*Everyone*) with the non-household sample (*Non-HH*) and the corresponding analysis sample. All characteristics are measured in the month prior to the filing of the first judicial event, except “Never formal,” which indicates that the individual is never observed in the formal social-security records before that filing. Employment-category shares are calculated among individuals observed in formal employment in the month prior to filing. Monthly earnings are reported only for wage-earners. Standard deviations are reported in parentheses for continuous variables.

# C Main Tables, Matching, and Additional Results

## A Matching Procedure

This section describes the procedure used to construct the matched control groups in Exercises 1 and 3, as well as the alternative matching procedures used as robustness checks in Exercise 1.

**Baseline matching procedure: t12 random.** In both Exercises 1 and 3, our baseline approach matches fathers and mothers separately. The objective is to compare treated parents to untreated parents who are similar in observable demographic characteristics and in their formal labor-market trajectories prior to the reference event.

The pool of potential controls is drawn from married or cohabiting parents in Pichincha who are observed in stable households and are never linked to a child-support case in the judicial records. In Exercise 1, these controls provide the comparison group for parents who separate and enter the child-support system. In Exercise 3, the control pool is further restricted to couples whose first child is born within a stable household and who are likewise never observed in the child-support system.

For each treated individual, we define the relevant event month and then search for admissible controls within this pool. In Exercise 1, the event is the month of the first filing. In Exercise 3, the event is the month of the woman’s first birth. Matching is performed separately by gender. In the baseline specification, treated and control individuals must match exactly on age. For mothers, we additionally require an exact match on age at first birth. In Exercise 3, treated and control individuals must also be associated with births occurring in the same calendar year.

Within each admissible set, we further distinguish individuals according to whether they exhibit any formal labor-market activity during the twelve months preceding the event. Using the administrative social-security records, we classify an individual as formally active if he or she has positive formal labor income in at least one month between event time  $-12$  and  $-1$ . Treated individuals with pre-event formal activity are matched only to controls who also display formal activity in that window. Treated individuals with no pre-event formal activity are matched only to controls with no formal activity over the same period.

Among individuals with positive pre-event formal activity, similarity is measured using the full monthly earnings trajectory in the year preceding the event. Let  $w_{ik}$  denote formal monthly earnings in U.S. dollars for individual  $i$  in relative month  $k \in \{-12, \dots, -1\}$ . For each treated individual and each admissible control candidate, we construct the sequence  $\log(1 + w_{ik})$  over the twelve pre-event months and recenter it by subtracting the individual’s

mean over that period. We then compute the sum of squared differences between the treated and control demeaned trajectories and select the control with the smallest distance. Thus, matching is based on the shape of pre-event earnings trajectories rather than on earnings levels. For treated individuals with no pre-event formal activity, the match is selected at random from among admissible controls satisfying the exact-matching restrictions and the no-activity requirement.

Matching is one-to-one, greedy, and without replacement. Because the availability of controls changes as matches are assigned, the resulting matches can depend on the order in which treated individuals are processed. In our baseline `t12 random` implementation, we randomize the order of treated individuals before applying the greedy matching algorithm, so that no systematic priority is given to individuals based on their position in the original data. Once a control is assigned to a treated individual, that control is removed from the pool and cannot be used again.

Event time is assigned differently across the two matched exercises. In Exercise 1, matched controls inherit the filing month of their treated counterpart. In Exercise 3, treated and control parents are indexed relative to the month of the woman’s first birth in their respective pair. In both cases, treated and control observations are expressed on a common relative-time scale for the event-study analysis.

**Alternative 1: `t12`.** The first alternative procedure is identical to the baseline `t12 random` algorithm in terms of the control pool, exact-matching restrictions, partition by pre-event formal activity, and distance metric. The only difference is the order in which treated individuals are processed. Rather than randomizing this order before matching, the `t12` implementation processes treated individuals in their original sample order. Comparing the results from `t12 random` and `t12` therefore provides a direct check of whether the event-study estimates are sensitive to the order dependence inherent in greedy one-to-one matching without replacement.

**Alternative 2: `mah`.** The second alternative procedure preserves the same overall structure as the baseline algorithm. Matching is still conducted separately for fathers and mothers, remains one-to-one and without replacement, applies the same exact-matching restrictions, and partitions treated individuals according to whether they had any formal labor-market activity during the twelve months before filing.

The difference lies in how similarity is measured for individuals with positive pre-event formal activity. Instead of comparing the full month-by-month earnings path, this procedure summarizes the pre-event earnings trajectory in the twelve months before the event using

four moments computed from  $\log(1 + w)$ : the mean, the standard deviation, the linear trend, and the share of months with positive formal labor income. Admissible controls are then ranked according to their Mahalanobis distance from the treated individual in this four-dimensional summary space, and the selected match is the admissible control with the smallest Mahalanobis distance. As in the baseline specification, treated individuals with no pre-event formal activity are matched at random within the relevant exact-matching cell among controls who also exhibit no formal activity in the pre-event window.

**Alternative 3: household-level matching.** The third alternative procedure performs the matching at the household level rather than separately for fathers and mothers. In this version, the unit of matching is the couple rather than the individual parent. Each treated household is matched to a stable untreated household in Pichincha that never enters the child-support system.

The matching cell is defined by the woman’s age, her age at first birth, and the couple’s joint pattern of formal labor-market activity during the twelve months preceding the filing month. Specifically, households are grouped according to whether neither parent, only the mother, only the father, or both parents exhibit positive formal labor income during that window. Within these admissible cells, pre-event earnings trajectories are compared using the same logic as in the individual-level procedure: when both parents are formally active, similarity is based on both parents’ pre-event earnings paths; when only one parent is formally active, similarity is based on that parent’s path; and when neither parent is formally active, matching is random within the cell. Matching is again one-to-one and without replacement. The resulting household matches are then used to construct separate event-study samples for fathers and mothers.

Appendix Tables 18 and 19 report balance in demographic characteristics and pre-event labor-market outcomes for the matched samples used in the main analysis of Section IV and Section 2 respectively. Appendix Figure 11 report the corresponding results under these alternative matching procedures.

Table 18: Balance of Covariates in the Matched Stable-Household Sample

| <i>Panel A. Fathers</i>   |         |         |        |         |
|---------------------------|---------|---------|--------|---------|
|                           | Treated | Control | Diff.  | p-value |
| Age (Dec2022)             | 42.554  | 42.554  | 0.000  | 1.000   |
| Formal employment (share) | 0.604   | 0.605   | 0.000  | 0.940   |
| Mean wage (pre-event)     | 565.885 | 559.598 | 6.288  | 0.572   |
| <i>N</i>                  | 12,720  |         |        |         |
| <i>Panel B. Mothers</i>   |         |         |        |         |
|                           | Treated | Control | Diff.  | p-value |
| Age (Dec2022)             | 40.401  | 40.401  | 0.000  | 1.000   |
| Age at first child        | 22.431  | 22.431  | 0.000  | 1.000   |
| Total live births         | 2.314   | 2.314   | 0.000  | 1.000   |
| Formal employment (share) | 0.504   | 0.515   | −0.010 | 0.083   |
| Mean wage (pre-event)     | 390.993 | 380.156 | 10.837 | 0.200   |
| <i>N</i>                  | 12,155  |         |        |         |

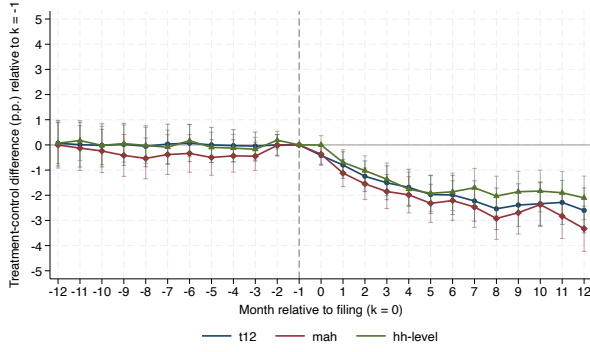
*Notes:* The table presents covariate means for the treated and control groups in the matched stable-household comparison, separately for fathers and mothers, measured before the reference event. The matching procedure successfully matches 100% of eligible fathers and 95.5% of eligible mothers.

Table 19: Balance of Covariates in the Matched Alternative Path into CS

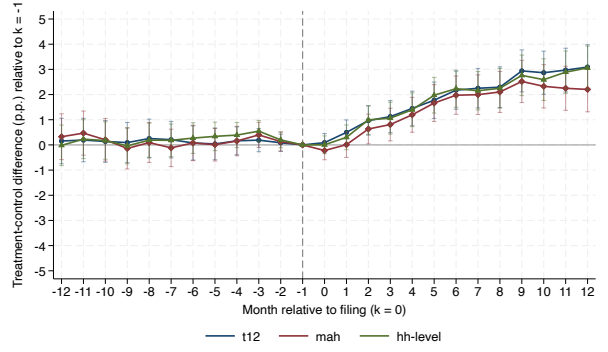
| <i>Panel A. Fathers</i>   |         |         |        |         |
|---------------------------|---------|---------|--------|---------|
|                           | Treated | Control | Diff.  | p-value |
| Age (Dec2022)             | 34.893  | 34.893  | 0.000  | 1.000   |
| Formal employment (share) | 0.526   | 0.539   | −0.013 | 0.455   |
| Mean wage (pre-event)     | 401.100 | 388.891 | 12.209 | 0.555   |
| <i>N</i>                  | 1,367   |         |        |         |
| <i>Panel B. Mothers</i>   |         |         |        |         |
|                           | Treated | Control | Diff.  | p-value |
| Age (Dec2022)             | 31.173  | 31.173  | 0.000  | 1.000   |
| Age at first child        | 26.539  | 25.539  | 0.000  | 1.000   |
| Formal employment (share) | 0.476   | 0.491   | −0.015 | 0.5281  |
| Mean wage (pre-event)     | 316.127 | 322.995 | −6.868 | 0.763   |
| <i>N</i>                  | 770     |         |        |         |

*Notes:* The table presents covariate means for the treated and control groups in the matched separated-household comparison, separately for fathers and mothers, measured before the reference event. The matching procedure successfully matches 94.22% of eligible fathers and 53.07% of eligible mothers.

### Formal employment

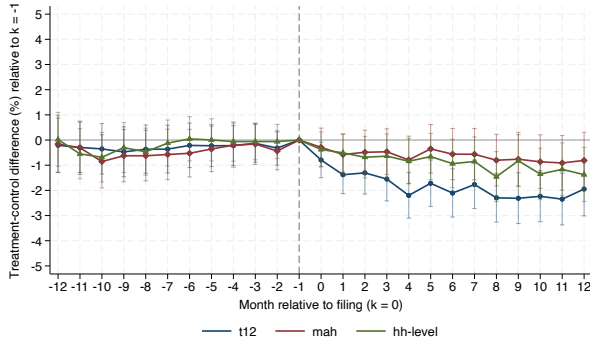


(a) Fathers

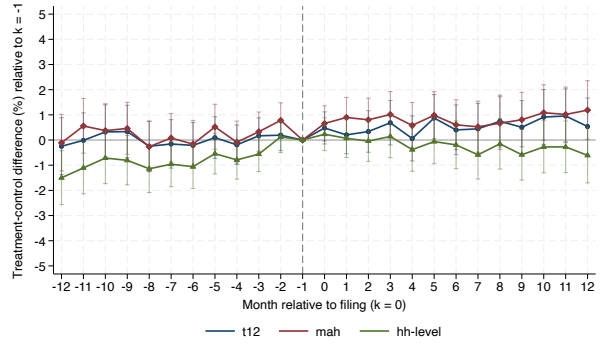


(b) Mothers

### Formal labor income



(c) Fathers



(d) Mothers

Figure 11: **Event-study estimates relative to matched stable households.** The top row reports estimates for formal employment, while the bottom row reports estimates for log formal labor income. Fathers are shown in the left column and mothers in the right column.

## B Main Tables

Table 20: HH vs. stable HH

|           | Sample of fathers  |                    |                      | Sample of mothers |                 |                      |
|-----------|--------------------|--------------------|----------------------|-------------------|-----------------|----------------------|
|           | Participation      | Earnings           | Earnings incl. zeros | Participation     | Earnings        | Earnings incl. zeros |
| $t = -12$ | 0.08<br>(0.45)     | -0.29<br>(0.54)    | 0.06<br>(0.86)       | 0.11<br>(0.45)    | -0.32<br>(0.57) | -0.43<br>(0.91)      |
| $t = -11$ | 0.01<br>(0.44)     | -0.28<br>(0.50)    | 0.26<br>(0.83)       | 0.15<br>(0.43)    | -0.04<br>(0.54) | 0.02<br>(0.89)       |
| $t = -10$ | -0.01<br>(0.43)    | -0.47<br>(0.50)    | -0.19<br>(0.79)      | 0.11<br>(0.41)    | 0.23<br>(0.54)  | -0.15<br>(0.85)      |
| $t = -9$  | 0.03<br>(0.42)     | -0.59<br>(0.49)    | -0.26<br>(0.77)      | 0.03<br>(0.40)    | 0.25<br>(0.52)  | 0.04<br>(0.84)       |
| $t = -8$  | -0.05<br>(0.41)    | -0.46<br>(0.48)    | -0.46<br>(0.74)      | 0.21<br>(0.38)    | -0.29<br>(0.50) | -0.45<br>(0.80)      |
| $t = -7$  | 0.04<br>(0.39)     | -0.48<br>(0.47)    | 0.04<br>(0.72)       | 0.15<br>(0.36)    | -0.13<br>(0.48) | -0.59<br>(0.76)      |
| $t = -6$  | 0.08<br>(0.37)     | -0.30<br>(0.44)    | -0.01<br>(0.67)      | 0.04<br>(0.34)    | -0.17<br>(0.45) | -0.28<br>(0.71)      |
| $t = -5$  | 0.00<br>(0.35)     | -0.27<br>(0.41)    | -0.40<br>(0.63)      | -0.01<br>(0.31)   | 0.01<br>(0.41)  | -0.06<br>(0.65)      |
| $t = -4$  | -0.03<br>(0.32)    | -0.30<br>(0.39)    | -0.04<br>(0.58)      | 0.11<br>(0.28)    | -0.32<br>(0.39) | -0.12<br>(0.60)      |
| $t = -3$  | -0.05<br>(0.28)    | -0.20<br>(0.37)    | -0.32<br>(0.52)      | 0.15<br>(0.23)    | 0.17<br>(0.35)  | 0.56<br>(0.54)       |
| $t = -2$  | -0.01<br>(0.21)    | -0.41<br>(0.34)    | -0.34<br>(0.41)      | 0.05<br>(0.17)    | 0.16<br>(0.30)  | 0.27<br>(0.43)       |
| $t = 0$   | -0.48**<br>(0.20)  | -0.88**<br>(0.36)  | -1.58***<br>(0.43)   | -0.11<br>(0.18)   | 0.46<br>(0.32)  | 0.51<br>(0.44)       |
| $t = 1$   | -0.93***<br>(0.27) | -1.54***<br>(0.38) | -2.38***<br>(0.54)   | 0.18<br>(0.25)    | 0.28<br>(0.38)  | 0.71<br>(0.55)       |
| $t = 2$   | -1.37***<br>(0.31) | -1.39***<br>(0.42) | -2.76***<br>(0.60)   | 0.81***<br>(0.29) | 0.38<br>(0.41)  | 1.53**<br>(0.62)     |
| $t = 3$   | -1.74***<br>(0.34) | -1.55***<br>(0.44) | -3.15***<br>(0.66)   | 1.10***<br>(0.32) | 0.55<br>(0.44)  | 2.09***<br>(0.68)    |
| $t = 4$   | -2.03***<br>(0.36) | -2.16***<br>(0.46) | -4.35***<br>(0.70)   | 1.55***<br>(0.34) | -0.07<br>(0.45) | 2.27***<br>(0.72)    |
| $t = 5$   | -2.30***<br>(0.38) | -1.63***<br>(0.46) | -3.83***<br>(0.74)   | 1.84***<br>(0.36) | 0.75<br>(0.46)  | 3.85***<br>(0.76)    |
| $t = 6$   | -2.27***<br>(0.39) | -2.11***<br>(0.49) | -4.73***<br>(0.77)   | 2.22***<br>(0.38) | 0.42<br>(0.49)  | 3.39***<br>(0.80)    |
| $t = 7$   | -2.47***<br>(0.41) | -2.06***<br>(0.49) | -4.78***<br>(0.80)   | 2.43***<br>(0.39) | 0.39<br>(0.50)  | 4.14***<br>(0.83)    |
| $t = 8$   | -2.85***<br>(0.42) | -2.56***<br>(0.50) | -5.17***<br>(0.82)   | 2.45***<br>(0.40) | 0.67<br>(0.52)  | 4.29***<br>(0.85)    |
| $t = 9$   | -2.69***<br>(0.43) | -2.46***<br>(0.52) | -5.23***<br>(0.84)   | 3.02***<br>(0.42) | 0.61<br>(0.53)  | 5.21***<br>(0.87)    |
| $t = 10$  | -2.68***<br>(0.43) | -2.37***<br>(0.52) | -5.20***<br>(0.86)   | 2.87***<br>(0.43) | 0.84<br>(0.54)  | 5.41***<br>(0.89)    |
| $t = 11$  | -2.72***<br>(0.44) | -2.43***<br>(0.53) | -4.79***<br>(0.87)   | 3.02***<br>(0.43) | 0.73<br>(0.53)  | 5.23***<br>(0.91)    |
| $t = 12$  | -3.10***<br>(0.45) | -1.99***<br>(0.55) | -5.61***<br>(0.90)   | 3.14***<br>(0.44) | 0.48<br>(0.57)  | 5.19***<br>(0.94)    |
| N         | 636,000            | 237,645            | 622,471              | 607,750           | 196,029         | 602,231              |

Notes: Each column reports coefficients from a stacked event-study difference-in-differences regression with individual fixed effects, age fixed effects, and filing-month-by-relative-month fixed effects. Standard errors, clustered at the individual level, are in parentheses. The omitted period is  $t = -1$ . Participation is an indicator for positive registered earnings in the month; coefficients and standard errors are multiplied by 100 (percentage points). Earnings is the log of monthly earnings, defined only for individuals who are salaried employees (wage earners) in all 25 months of the window; coefficients and standard errors are multiplied by 100 (approximate percent changes). Earnings incl. zeros is monthly earnings in SBU, set to zero in months without activity; coefficients and standard errors are divided by the mean of this variable among treated individuals in  $t = -12, \dots, -1$  (1.41 SBU for fathers, 1.04 SBU for mothers) and multiplied by 100, so they read as percent of that mean. For both earnings measures, months flagged as outliers (below the 1st or above the 99th percentile of the national distribution) are excluded rather than top-coded.  $N$  is the number of person-month observations. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 21: HH vs. HH that separate without CS

|           | Sample of fathers  |                   |                      | Sample of mothers |                 |                      |
|-----------|--------------------|-------------------|----------------------|-------------------|-----------------|----------------------|
|           | Participation      | Earnings          | Earnings incl. zeros | Participation     | Earnings        | Earnings incl. zeros |
| $t = -12$ | -0.55<br>(0.90)    | 1.28<br>(1.54)    | -0.15<br>(1.90)      | 0.44<br>(0.90)    | -0.52<br>(1.40) | 1.79<br>(1.94)       |
| $t = -11$ | -0.92<br>(0.88)    | 2.75*<br>(1.52)   | 0.71<br>(1.80)       | 0.52<br>(0.87)    | 1.08<br>(1.37)  | 2.65<br>(1.93)       |
| $t = -10$ | -0.76<br>(0.88)    | 1.89<br>(1.35)    | 1.10<br>(1.68)       | 0.15<br>(0.83)    | 0.95<br>(1.32)  | 1.94<br>(1.85)       |
| $t = -9$  | -1.19<br>(0.83)    | -0.10<br>(1.24)   | -0.09<br>(1.58)      | 0.01<br>(0.81)    | 0.11<br>(1.30)  | 1.43<br>(1.77)       |
| $t = -8$  | -0.42<br>(0.78)    | 0.88<br>(1.35)    | 0.05<br>(1.52)       | 0.17<br>(0.78)    | -0.19<br>(1.29) | 0.22<br>(1.63)       |
| $t = -7$  | -0.48<br>(0.74)    | 0.71<br>(1.14)    | -0.18<br>(1.44)      | -0.40<br>(0.74)   | 1.95<br>(1.43)  | -0.53<br>(1.59)      |
| $t = -6$  | -0.34<br>(0.71)    | 1.52<br>(1.12)    | -0.12<br>(1.33)      | 0.15<br>(0.68)    | 0.63<br>(1.19)  | 0.14<br>(1.40)       |
| $t = -5$  | -0.22<br>(0.66)    | 1.00<br>(0.91)    | -0.07<br>(1.14)      | 0.98<br>(0.61)    | 0.38<br>(1.12)  | 1.13<br>(1.35)       |
| $t = -4$  | -0.54<br>(0.59)    | -0.01<br>(0.91)   | -0.49<br>(1.10)      | 0.98*<br>(0.57)   | 0.20<br>(1.05)  | 1.92<br>(1.30)       |
| $t = -3$  | -0.33<br>(0.51)    | 1.32<br>(0.92)    | -0.43<br>(0.96)      | 0.93*<br>(0.51)   | 1.59*<br>(0.95) | 2.36**<br>(1.11)     |
| $t = -2$  | 0.07<br>(0.41)     | 0.22<br>(0.90)    | -0.89<br>(0.85)      | 0.80*<br>(0.41)   | 0.15<br>(0.80)  | 1.16<br>(1.01)       |
| $t = 0$   | -0.33<br>(0.43)    | -1.72*<br>(0.97)  | -1.38<br>(0.95)      | -0.09<br>(0.37)   | 0.49<br>(0.72)  | 0.21<br>(0.93)       |
| $t = 1$   | -1.28**<br>(0.57)  | -0.85<br>(1.04)   | -1.80*<br>(1.04)     | -0.05<br>(0.50)   | 1.00<br>(0.94)  | -0.32<br>(1.20)      |
| $t = 2$   | -1.24**<br>(0.60)  | -1.34<br>(1.28)   | -1.78<br>(1.20)      | 0.15<br>(0.56)    | -0.14<br>(1.02) | -0.32<br>(1.33)      |
| $t = 3$   | -0.62<br>(0.67)    | -1.83<br>(1.13)   | -1.83<br>(1.19)      | 0.31<br>(0.65)    | 0.71<br>(1.07)  | 0.01<br>(1.49)       |
| $t = 4$   | -1.15<br>(0.73)    | -1.78<br>(1.22)   | -1.98<br>(1.33)      | 0.35<br>(0.70)    | -0.01<br>(1.12) | -0.15<br>(1.52)      |
| $t = 5$   | -1.47*<br>(0.79)   | -0.95<br>(1.18)   | -1.56<br>(1.39)      | 0.24<br>(0.74)    | 1.15<br>(1.16)  | 0.71<br>(1.60)       |
| $t = 6$   | -1.74**<br>(0.79)  | -1.75<br>(1.32)   | -3.30**<br>(1.41)    | 0.04<br>(0.77)    | 0.69<br>(1.15)  | -0.61<br>(1.59)      |
| $t = 7$   | -2.01**<br>(0.81)  | -1.43<br>(1.25)   | -1.82<br>(1.46)      | -0.12<br>(0.81)   | 0.39<br>(1.15)  | -0.62<br>(1.62)      |
| $t = 8$   | -2.18***<br>(0.83) | -2.69**<br>(1.22) | -2.35<br>(1.53)      | -0.12<br>(0.83)   | 0.95<br>(1.22)  | -0.58<br>(1.76)      |
| $t = 9$   | -2.13**<br>(0.86)  | -2.28<br>(1.39)   | -2.82*<br>(1.62)     | 0.35<br>(0.87)    | 0.52<br>(1.26)  | 1.15<br>(1.82)       |
| $t = 10$  | -1.99**<br>(0.88)  | -2.08<br>(1.37)   | -2.75*<br>(1.60)     | 0.57<br>(0.89)    | 1.43<br>(1.28)  | 1.36<br>(1.88)       |
| $t = 11$  | -2.09**<br>(0.88)  | -2.07<br>(1.37)   | -2.71*<br>(1.63)     | 0.44<br>(0.92)    | 0.72<br>(1.26)  | 0.79<br>(1.89)       |
| $t = 12$  | -2.39***<br>(0.91) | 0.65<br>(1.56)    | -1.50<br>(1.76)      | 0.55<br>(0.95)    | 0.84<br>(1.38)  | 0.43<br>(1.98)       |
| N         | 357,875            | 125,020           | 350,479              | 343,850           | 104,104         | 340,424              |

Notes: Each column reports coefficients from a stacked event-study difference-in-differences regression with individual fixed effects, age fixed effects, and filing-month-by-relative-month fixed effects. Standard errors, clustered at the individual level, are in parentheses. The omitted period is  $t = -1$ . Participation is an indicator for positive registered earnings in the month; coefficients and standard errors are multiplied by 100 (percentage points). Earnings is the log of monthly earnings, defined only for individuals who are salaried employees (wage earners) in all 25 months of the window; coefficients and standard errors are multiplied by 100 (approximate percent changes). Earnings incl. zeros is monthly earnings in SBU, set to zero in months without activity; coefficients and standard errors are divided by the mean of this variable among treated individuals in  $t = -12, \dots, -1$  and multiplied by 100, so they read as percent of that mean. For both earnings measures, months flagged as outliers (below the 1st or above the 99th percentile of the national distribution) are excluded rather than top-coded.  $N$  is the number of person-month observations. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 22: Alternative entry into CS: Non-HH

|           | Sample of fathers  |                   |                      | Sample of mothers |                  |                      |
|-----------|--------------------|-------------------|----------------------|-------------------|------------------|----------------------|
|           | Participation      | Earnings          | Earnings incl. zeros | Participation     | Earnings         | Earnings incl. zeros |
| $t = -12$ | 0.97<br>(1.60)     | -1.39<br>(2.00)   | 1.87<br>(3.38)       | 1.77<br>(1.93)    | -4.34<br>(3.53)  | 0.88<br>(4.30)       |
| $t = -11$ | 0.99<br>(1.60)     | -0.22<br>(1.54)   | 2.49<br>(3.24)       | 2.59<br>(1.89)    | -2.52<br>(3.24)  | 2.30<br>(4.21)       |
| $t = -10$ | 0.79<br>(1.55)     | -0.23<br>(1.53)   | 0.75<br>(3.21)       | 1.34<br>(1.83)    | -1.88<br>(3.42)  | 1.00<br>(3.96)       |
| $t = -9$  | -0.18<br>(1.49)    | -0.13<br>(1.59)   | 0.69<br>(3.19)       | 1.10<br>(1.81)    | -0.36<br>(3.22)  | 1.12<br>(3.75)       |
| $t = -8$  | 0.48<br>(1.44)     | -0.26<br>(1.55)   | 2.54<br>(3.06)       | 1.60<br>(1.65)    | -1.46<br>(3.20)  | 2.65<br>(3.66)       |
| $t = -7$  | 0.78<br>(1.35)     | -0.43<br>(1.52)   | 2.44<br>(2.83)       | 2.03<br>(1.43)    | -1.15<br>(2.81)  | 2.50<br>(3.23)       |
| $t = -6$  | 0.48<br>(1.26)     | -0.81<br>(1.70)   | 2.38<br>(2.65)       | 2.29**<br>(1.13)  | -2.26<br>(2.86)  | 0.63<br>(2.90)       |
| $t = -5$  | 0.27<br>(1.20)     | 2.54*<br>(1.32)   | 5.62**<br>(2.49)     | 1.82**<br>(0.92)  | -2.16<br>(3.15)  | 3.93<br>(2.49)       |
| $t = -4$  | 0.38<br>(1.05)     | 0.15<br>(1.10)    | 3.83*<br>(2.28)      | 2.05**<br>(0.82)  | -1.37<br>(2.82)  | 3.91**<br>(1.97)     |
| $t = -3$  | 0.69<br>(0.91)     | 0.51<br>(1.26)    | 2.20<br>(1.86)       | 1.21*<br>(0.62)   | -1.37<br>(2.59)  | 2.05<br>(1.71)       |
| $t = -2$  | 0.52<br>(0.61)     | -1.24<br>(1.02)   | 0.22<br>(1.38)       | 0.69<br>(0.48)    | -2.71<br>(2.47)  | 0.40<br>(1.29)       |
| $t = 0$   | -1.45**<br>(0.69)  | 0.81<br>(1.13)    | -3.86**<br>(1.62)    | 0.07<br>(0.48)    | -5.52<br>(3.54)  | -1.98<br>(2.04)      |
| $t = 1$   | -3.27***<br>(0.93) | -0.53<br>(1.41)   | -8.18***<br>(2.12)   | 0.34<br>(0.75)    | -4.90<br>(3.10)  | -1.92<br>(1.94)      |
| $t = 2$   | -3.60***<br>(1.10) | -3.38**<br>(1.43) | -10.86***<br>(2.55)  | 0.49<br>(0.86)    | -4.89<br>(3.14)  | -2.29<br>(2.17)      |
| $t = 3$   | -3.62***<br>(1.22) | -2.53*<br>(1.36)  | -11.41***<br>(2.68)  | 1.47<br>(1.01)    | -6.29*<br>(3.29) | -0.56<br>(2.26)      |
| $t = 4$   | -3.31***<br>(1.27) | -1.82<br>(1.54)   | -11.42***<br>(2.71)  | 2.22<br>(1.38)    | -4.84<br>(3.26)  | 1.14<br>(2.74)       |
| $t = 5$   | -3.07**<br>(1.35)  | -2.97**<br>(1.51) | -13.15***<br>(2.88)  | 1.95<br>(1.42)    | -3.41<br>(3.28)  | 1.84<br>(3.05)       |
| $t = 6$   | -4.06***<br>(1.37) | -1.78<br>(1.76)   | -13.15***<br>(2.97)  | 2.39<br>(1.49)    | -3.10<br>(3.19)  | 1.48<br>(3.20)       |
| $t = 7$   | -5.15***<br>(1.40) | -3.40**<br>(1.70) | -16.35***<br>(3.09)  | 2.98*<br>(1.54)   | -2.89<br>(3.56)  | 2.89<br>(3.20)       |
| $t = 8$   | -6.98***<br>(1.47) | -3.69**<br>(1.60) | -19.18***<br>(3.23)  | 4.69***<br>(1.61) | -1.13<br>(3.55)  | 6.78**<br>(3.29)     |
| $t = 9$   | -7.82***<br>(1.50) | -1.99<br>(1.71)   | -19.93***<br>(3.38)  | 4.98***<br>(1.68) | 2.19<br>(3.57)   | 9.01***<br>(3.36)    |
| $t = 10$  | -7.27***<br>(1.53) | -1.53<br>(1.79)   | -19.37***<br>(3.42)  | 4.12**<br>(1.78)  | 0.87<br>(3.62)   | 7.91**<br>(3.66)     |
| $t = 11$  | -7.09***<br>(1.58) | -2.25<br>(1.78)   | -18.90***<br>(3.53)  | 4.76***<br>(1.79) | 0.90<br>(3.62)   | 8.22**<br>(3.57)     |
| $t = 12$  | -7.26***<br>(1.60) | -2.30<br>(1.85)   | -19.32***<br>(3.61)  | 4.85***<br>(1.83) | 0.71<br>(3.71)   | 6.11*<br>(3.66)      |
| N         | 68,175             | 20,667            | 67,553               | 38,325            | 10,934           | 38,185               |

Notes: Each column reports coefficients from a stacked event-study difference-in-differences regression with individual fixed effects, age fixed effects, and filing-month-by-relative-month fixed effects. Standard errors, clustered at the individual level, are in parentheses. The omitted period is  $t = -1$ . Participation is an indicator for positive registered earnings in the month; coefficients and standard errors are multiplied by 100 (percentage points). Earnings is the log of monthly earnings, defined only for individuals who are salaried employees (wage earners) in all 25 months of the window; coefficients and standard errors are multiplied by 100 (approximate percent changes). Earnings incl. zeros is monthly earnings in SBU, set to zero in months without activity; coefficients and standard errors are divided by the mean of this variable among treated individuals in  $t = -12, \dots, -1$  and multiplied by 100, so they read as percent of that mean. For both earnings measures, months flagged as outliers (below the 1st or above the 99th percentile of the national distribution) are excluded rather than top-coded.  $N$  is the number of person-month observations. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 23: Formal Employment at Longer Post-Filing Horizons

| Horizon  | Sample of fathers  |          | Sample of mothers |          |
|----------|--------------------|----------|-------------------|----------|
|          | Estimate           | <i>N</i> | Estimate          | <i>N</i> |
| 1 year   | −3.10***<br>(0.45) | 330,720  | 3.15***<br>(0.44) | 316,030  |
| 2 years  | −3.56***<br>(0.53) | 313,456  | 4.68***<br>(0.53) | 299,468  |
| 3 years  | −4.11***<br>(0.58) | 299,442  | 4.62***<br>(0.58) | 285,974  |
| 4 years  | −4.92***<br>(0.62) | 281,424  | 4.65***<br>(0.63) | 268,866  |
| 5 years  | −4.97***<br>(0.66) | 266,110  | 4.97***<br>(0.68) | 254,098  |
| 6 years  | −5.43***<br>(0.71) | 240,760  | 5.16***<br>(0.74) | 229,918  |
| 7 years  | −6.08***<br>(0.77) | 213,330  | 5.35***<br>(0.80) | 203,918  |
| 8 years  | −6.02***<br>(0.83) | 185,380  | 5.74***<br>(0.88) | 177,164  |
| 9 years  | −6.51***<br>(0.92) | 158,678  | 4.94***<br>(0.96) | 151,762  |
| 10 years | −6.04***<br>(1.04) | 130,260  | 5.00***<br>(1.08) | 124,488  |

*Notes:* Each row reports the treated–control difference in formal employment at the indicated post-filing horizon from a separate stacked event-study difference-in-differences regression. Estimates and standard errors, reported in parentheses, are multiplied by 100 and therefore read as percentage points. Each specification uses the same matching strategy between HH parents and parents in stable households as in the primary analysis and includes individual fixed effects, age fixed effects, and filing-month-by-relative-month fixed effects. Standard errors are clustered at the individual level. For each horizon, the estimation sample is restricted to treated–control pairs with sufficient administrative follow-up to be observed through the end of the corresponding event window. Consequently, longer-horizon estimates are based on progressively earlier filing cohorts and smaller samples. *N* reports the number of person-month observations in each horizon-specific regression. The omitted period is the month immediately preceding filing. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

## D Additional tables and figures

Table 24: Labor-Market Adjustment After Entry into the Child-Support System

|                         | Inactive<br>(1)      | Unemployed<br>(2)   | Formal<br>(3)        | Informal<br>(4)     |
|-------------------------|----------------------|---------------------|----------------------|---------------------|
| <i>Panel A. Fathers</i> |                      |                     |                      |                     |
| Treated                 | 0.012***<br>(0.002)  | 0.017***<br>(0.003) | −0.031***<br>(0.006) | 0.003<br>(0.006)    |
| Obs.                    | 23,753               | 23,753              | 23,753               | 23,753              |
| <i>Panel B. Mothers</i> |                      |                     |                      |                     |
| Treated                 | −0.098***<br>(0.005) | 0.004<br>(0.004)    | 0.050***<br>(0.006)  | 0.044***<br>(0.005) |
| Obs.                    | 22,781               | 22,781              | 22,781               | 22,781              |

*Notes:* The table reports the coefficient on the treatment indicator from Equation (2) for the matched stable-household comparison, separately for fathers and mothers. Individuals are classified as inactive, unemployed, or employed using the 2022 Population Census. Among employed individuals, columns (3) and (4) classify formal and informal employment using self-reported social-security contribution status in the Census. All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 25: Labor-Market Adjustment by Pre-Event Formal-Employment Status

|                               | Labor-market status  |                     |                      |                      |
|-------------------------------|----------------------|---------------------|----------------------|----------------------|
|                               | Inactive<br>(1)      | Unemployed<br>(2)   | Formal<br>(3)        | Informal<br>(4)      |
| <i>Panel A. Fathers</i>       |                      |                     |                      |                      |
| Treated: Pre-event non-formal | 0.019***<br>(0.005)  | 0.018***<br>(0.005) | 0.023**<br>(0.010)   | −0.060***<br>(0.010) |
| Treated: Pre-event formal     | 0.007***<br>(0.002)  | 0.016***<br>(0.003) | −0.063***<br>(0.007) | 0.041***<br>(0.006)  |
| Difference                    | −0.013**<br>(0.006)  | −0.002<br>(0.005)   | −0.086***<br>(0.012) | 0.100***<br>(0.012)  |
| Obs.                          | 23,753               | 23,753              | 23,753               | 23,753               |
| <i>Panel B. Mothers</i>       |                      |                     |                      |                      |
| Treated: Pre-event non-formal | −0.161***<br>(0.008) | 0.004<br>(0.006)    | 0.100***<br>(0.008)  | 0.057***<br>(0.009)  |
| Treated: Pre-event formal     | −0.040***<br>(0.005) | 0.003<br>(0.004)    | 0.008<br>(0.008)     | 0.029***<br>(0.006)  |
| Difference                    | 0.121***<br>(0.010)  | −0.001<br>(0.007)   | −0.091***<br>(0.011) | −0.028**<br>(0.011)  |
| Obs.                          | 22,781               | 22,781              | 22,781               | 22,781               |

*Notes:* The table reports estimates of Equation (3) for the matched stable-household comparison, separately for fathers and mothers. “Pre-event formal” indicates that the individual was formally employed three months before the reference event. The first row of each panel reports the treated–control difference among individuals who were not formally employed three months before the event ( $\beta$ ), while the second row reports the corresponding difference among individuals who were formally employed ( $\beta + \delta$ ). The third row reports the difference between these two estimates ( $\delta$ ).

Labor-market status is measured using the 2022 Population Census. Individuals are classified into four mutually exclusive and exhaustive states: inactive, unemployed, formally employed, or informally employed. Among employed individuals, formal and informal employment are distinguished using self-reported social-security contribution status in the Census. All four outcomes are defined over the same estimation sample.

All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 26: Labor-Market Adjustment After Entry into the Child-Support System (no CS Control)

|                         | Inactive<br>(1)      | Unemployed<br>(2) | Formal<br>(3)     | Informal<br>(4)   |
|-------------------------|----------------------|-------------------|-------------------|-------------------|
| <i>Panel A. Fathers</i> |                      |                   |                   |                   |
| Treated                 | −0.030***<br>(0.011) | 0.005<br>(0.008)  | −0.002<br>(0.016) | 0.027*<br>(0.016) |
| Obs.                    | 12,749               | 12,749            | 12,749            | 12,749            |
| <i>Panel B. Mothers</i> |                      |                   |                   |                   |
| Treated                 | −0.033***<br>(0.012) | 0.015*<br>(0.008) | 0.014<br>(0.014)  | 0.005<br>(0.014)  |
| Obs.                    | 12,456               | 12,456            | 12,456            | 12,456            |

*Notes:* As in Table 3, but using an unmatched comparison group: household dissolutions without dependent children, taken directly from the administrative registry without covariate matching. Robust standard errors in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 27: Labor-Market Adjustment by Pre-Event Formal-Employment Status (no CS Control)

|                               | Labor-market status  |                     |                      |                    |
|-------------------------------|----------------------|---------------------|----------------------|--------------------|
|                               | Inactive<br>(1)      | Unemployed<br>(2)   | Formal<br>(3)        | Informal<br>(4)    |
| <i>Panel A. Fathers</i>       |                      |                     |                      |                    |
| Treated: Pre-event non-formal | −0.034<br>(0.036)    | −0.005<br>(0.018)   | −0.049***<br>(0.007) | 0.087**<br>(0.039) |
| Treated: Pre-event formal     | −0.030***<br>(0.011) | 0.007<br>(0.009)    | 0.009<br>(0.019)     | 0.014<br>(0.018)   |
| Difference                    | 0.004<br>(0.038)     | 0.012<br>(0.020)    | 0.058***<br>(0.019)  | −0.073*<br>(0.042) |
| Obs.                          | 12,749               | 12,749              | 12,749               | 12,749             |
| <i>Panel B. Mothers</i>       |                      |                     |                      |                    |
| Treated: Pre-event non-formal | −0.005<br>(0.036)    | 0.056***<br>(0.021) | −0.038***<br>(0.007) | −0.013<br>(0.038)  |
| Treated: Pre-event formal     | −0.039***<br>(0.012) | 0.006<br>(0.009)    | 0.025<br>(0.016)     | 0.008<br>(0.015)   |
| Difference                    | −0.035<br>(0.038)    | −0.050**<br>(0.022) | 0.063***<br>(0.017)  | 0.021<br>(0.040)   |
| Obs.                          | 12,456               | 12,456              | 12,456               | 12,456             |

*Notes:* As in Table 4, but using the unmatched no CS control group described in Table 26. Robust standard errors in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 28: Labor-Market Adjustment After Entry into the Child-Support System (Non-HH Matching)

|                         | Inactive<br>(1)      | Unemployed<br>(2)   | Formal<br>(3)        | Informal<br>(4)     |
|-------------------------|----------------------|---------------------|----------------------|---------------------|
| <i>Panel A. Fathers</i> |                      |                     |                      |                     |
| Treated                 | 0.016**<br>(0.008)   | 0.031***<br>(0.010) | -0.103***<br>(0.019) | 0.056***<br>(0.020) |
| Obs.                    | 2,143                | 2,143               | 2,143                | 2,143               |
| <i>Panel B. Mothers</i> |                      |                     |                      |                     |
| Treated                 | -0.104***<br>(0.019) | 0.035**<br>(0.017)  | 0.031<br>(0.021)     | 0.039*<br>(0.022)   |
| Obs.                    | 1,585                | 1,585               | 1,585                | 1,585               |

*Notes:* As in Table 3, but using the non-household-based matched comparison sample. Robust standard errors in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 29: Labor-Market Adjustment by Pre-Event Formal-Employment Status (Non-HH Matching)

|                               | Labor-market status  |                     |                      |                     |
|-------------------------------|----------------------|---------------------|----------------------|---------------------|
|                               | Inactive<br>(1)      | Unemployed<br>(2)   | Formal<br>(3)        | Informal<br>(4)     |
| <i>Panel A. Fathers</i>       |                      |                     |                      |                     |
| Treated: Pre-event non-formal | 0.023*<br>(0.014)    | 0.014<br>(0.016)    | −0.073***<br>(0.027) | 0.035<br>(0.030)    |
| Treated: Pre-event formal     | 0.010<br>(0.007)     | 0.047***<br>(0.013) | −0.136***<br>(0.027) | 0.079***<br>(0.025) |
| Difference                    | −0.013<br>(0.015)    | 0.033<br>(0.021)    | −0.063*<br>(0.038)   | 0.044<br>(0.040)    |
| Obs.                          | 2,143                | 2,143               | 2,143                | 2,143               |
| <i>Panel B. Mothers</i>       |                      |                     |                      |                     |
| Treated: Pre-event non-formal | −0.146***<br>(0.031) | 0.041<br>(0.026)    | 0.046*<br>(0.027)    | 0.059*<br>(0.034)   |
| Treated: Pre-event formal     | −0.053***<br>(0.018) | 0.027<br>(0.020)    | 0.014<br>(0.032)     | 0.013<br>(0.025)    |
| Difference                    | 0.093***<br>(0.036)  | −0.014<br>(0.033)   | −0.032<br>(0.042)    | −0.047<br>(0.042)   |
| Obs.                          | 1,585                | 1,585               | 1,585                | 1,585               |

*Notes:* As in Table 4, but using the non-household-based matched comparison sample described in Table 28. Robust standard errors in parentheses. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

## E Model

### A Observable types

The types  $g \in \mathcal{G} = \{L, M, H\}$  are defined by education:  $L$  is up to basic education,  $M$  is secondary education, and  $H$  is tertiary education. A couple's type is  $k = (g_m, g_f)$ . Education is used only as described in Section A: it indexes the distributions of potential formal earnings, the median informal multipliers, and the reference cost of children, and it organizes the Census shares and the earnings ratios used as targets. It does not enter preferences, the child-support system, the moments from the child-support records, or the event-study evidence.

*Panel A. Potential formal earnings: mean  $\bar{w}_{jt}(g)$  and log dispersion  $\sigma_{jt}$*

|               | Women, $t = 1$ | Women, $t = 2$ | Men, $t = 1$ | Men, $t = 2$ |
|---------------|----------------|----------------|--------------|--------------|
| L             | 0.82           | 0.85           | 1.14         | 1.18         |
| M             | 1.14           | 1.25           | 1.24         | 1.46         |
| H             | 1.65           | 2.42           | 1.62         | 2.37         |
| $\sigma_{jt}$ | 0.59           | 0.67           | 0.50         | 0.55         |

*Panel B. Dispersion of the informal multiplier,  $\sigma_{\mu j}(g)$*

|       | $L$  | $M$  | $H$  |
|-------|------|------|------|
| Women | 0.83 | 0.69 | 0.56 |
| Men   | 0.43 | 0.47 | 0.51 |

Table 30: Inputs set outside the model, by type.

|                                                     | $L$  | $M$  | $H$  |
|-----------------------------------------------------|------|------|------|
| Median informal multiplier, women, $\bar{\mu}_f(g)$ | 0.92 | 0.74 | 0.65 |
| Median informal multiplier, men, $\bar{\mu}_m(g)$   | 0.80 | 0.68 | 0.49 |

Table 31: Estimated parameters that vary by type. The multipliers decline across types for both genders, so the earnings cost of moving into informal employment is largest for the  $H$  type.

|       | Women    |          |          | Men      |          |          |
|-------|----------|----------|----------|----------|----------|----------|
|       | <i>L</i> | <i>M</i> | <i>H</i> | <i>L</i> | <i>M</i> | <i>H</i> |
| Data  | 0.844    | 0.708    | 0.651    | 0.693    | 0.732    | 0.729    |
| Model | 0.832    | 0.707    | 0.652    | 0.710    | 0.724    | 0.740    |

Table 32: Targeted moments: ratio of mean informal to mean formal monthly earnings, ages 22–30, by gender and type.

| Man | Woman | Mass $\nu_k$ (%) | <i>FF</i>   | <i>FI</i>   | <i>FN</i>   | <i>IF</i>  | <i>II</i>   | <i>IN</i>   |
|-----|-------|------------------|-------------|-------------|-------------|------------|-------------|-------------|
| L   | L     | 7.9              | 2.8 / 2.0   | 2.6 / 5.0   | 17.6 / 18.8 | 3.1 / 5.8  | 16.6 / 16.7 | 57.3 / 51.8 |
| L   | M     | 10.7             | 3.5 / 3.1   | 2.9 / 5.2   | 21.0 / 18.7 | 3.7 / 10.9 | 13.8 / 15.4 | 55.2 / 46.8 |
| L   | H     | 1.0              | 8.6 / 4.8   | 5.4 / 5.3   | 22.1 / 13.8 | 9.8 / 24.5 | 14.2 / 19.1 | 39.9 / 32.4 |
| M   | L     | 6.0              | 4.0 / 3.0   | 4.5 / 7.2   | 25.0 / 31.2 | 3.0 / 4.5  | 15.8 / 14.1 | 47.8 / 40.0 |
| M   | M     | 39.9             | 7.6 / 5.7   | 6.6 / 8.1   | 31.9 / 29.2 | 3.9 / 8.5  | 13.2 / 12.7 | 36.8 / 35.7 |
| M   | H     | 10.5             | 17.0 / 13.4 | 9.2 / 7.8   | 30.9 / 19.3 | 8.2 / 20.5 | 11.5 / 11.1 | 23.3 / 27.9 |
| H   | L     | 0.4              | 5.4 / 7.5   | 12.4 / 20.9 | 36.3 / 52.2 | 2.4 / 3.0  | 14.5 / 6.0  | 29.0 / 10.4 |
| H   | M     | 6.4              | 13.1 / 11.9 | 15.2 / 15.0 | 36.1 / 47.7 | 3.9 / 4.3  | 12.6 / 5.4  | 19.1 / 15.7 |
| H   | H     | 17.3             | 33.5 / 23.6 | 12.7 / 15.3 | 25.0 / 35.2 | 7.8 / 7.8  | 10.0 / 5.6  | 11.0 / 12.4 |

Table 33: Targeted moments: distribution of sector pairs by type of couple (data / model, %). Each row sums to 100 in the data and in the model.

## B Solution algorithm

Because the model has no marriage market, there are no market-clearing conditions and no equilibrium prices; the model is solved household by household by backward induction. We write the household value as

$$(31) \quad V^r(a; \xi) = \lambda V_f^r(a; \xi) + (1 - \lambda) V_m^r(a; \xi).$$

When separation is feasible, let  $z = \tau^r(a)/\sigma_\theta$ , with  $\sigma_\theta > 0$ . Integrating over  $\theta$  gives each partner's lifetime value:

$$(32) \quad V_j^r(a; \xi) = u_{j1}^M(a) + \delta \left[ (1 - \Phi(z)) \bar{u}_{j2}^M(a) + \Phi(z) \bar{v}_j^{D,r}(a) + \sigma_\theta \varphi(z) \right]$$

where  $\Phi$  and  $\varphi$  are the standard normal distribution and density functions and  $\bar{v}_j^{D,r}(a)$  is the expected value of separation (24). The final term follows from  $\mathbb{E}_\theta[\theta \mathbb{1}\{\theta > \tau^r(a)\}] = \sigma_\theta \varphi(z)$ . When separation is infeasible, the couple remains together and  $V_j^r(a; \xi) = u_{j1}^M(a) + \delta \bar{u}_{j2}^M(a)$ .

For each household state  $\xi$  and each bundle  $a \in \mathcal{A}$ , we:

1. compute the allocations within the couple in both periods and check feasibility (Section 1);
2. for each collection state  $\psi \in \Psi$ , solve the father's and then the mother's post-separation problems under system  $r$  (Section 2);
3. average the post-separation values over collection states with weights  $\rho_\psi$  to obtain the expected values of separation (24);
4. compute the thresholds (25), the probability of separation (26), and the value (32);

and then choose the bundle with the highest value (28), resolving ties by a fixed ordering of bundles. A solution always exists: the bundle  $(F, F, 0)$  has positive resources and no non-pecuniary terms, so the feasible set is never empty, and the maximization is over a finite set. Because  $\psi$  takes finitely many values, no numerical integration over  $\psi$  is needed. We draw a large simulated population of households from the distribution of states, and all model statistics are averages over this population.

The reported population objects are

$$Q^r = \mathbb{E}[q^{*,r}] \quad \mathcal{D}^r = \mathbb{E}[d^r(a^{*,r})],$$

the shares of each sector pair  $(s_{m1}, s_{f1})$ , and, for men formally employed in period 1, the share who would choose informal employment if they separated, weighted by the probability of separation,

$$\mathcal{F}_q^r = \frac{\mathbb{E}\left[d^r(a^{*,r}) \mathbb{1}\{q^{*,r} = q, s_{m1}^{*,r} = F\} \sum_{\psi \in \Psi} \rho_\psi \mathbb{1}\{s_m^{*,r}(a^{*,r}, \psi) = I\}\right]}{\mathbb{E}\left[d^r(a^{*,r}) \mathbb{1}\{q^{*,r} = q, s_{m1}^{*,r} = F\}\right]} \quad q \in \{0, 1\}$$

defined when the denominator is positive.

## C Additional model output

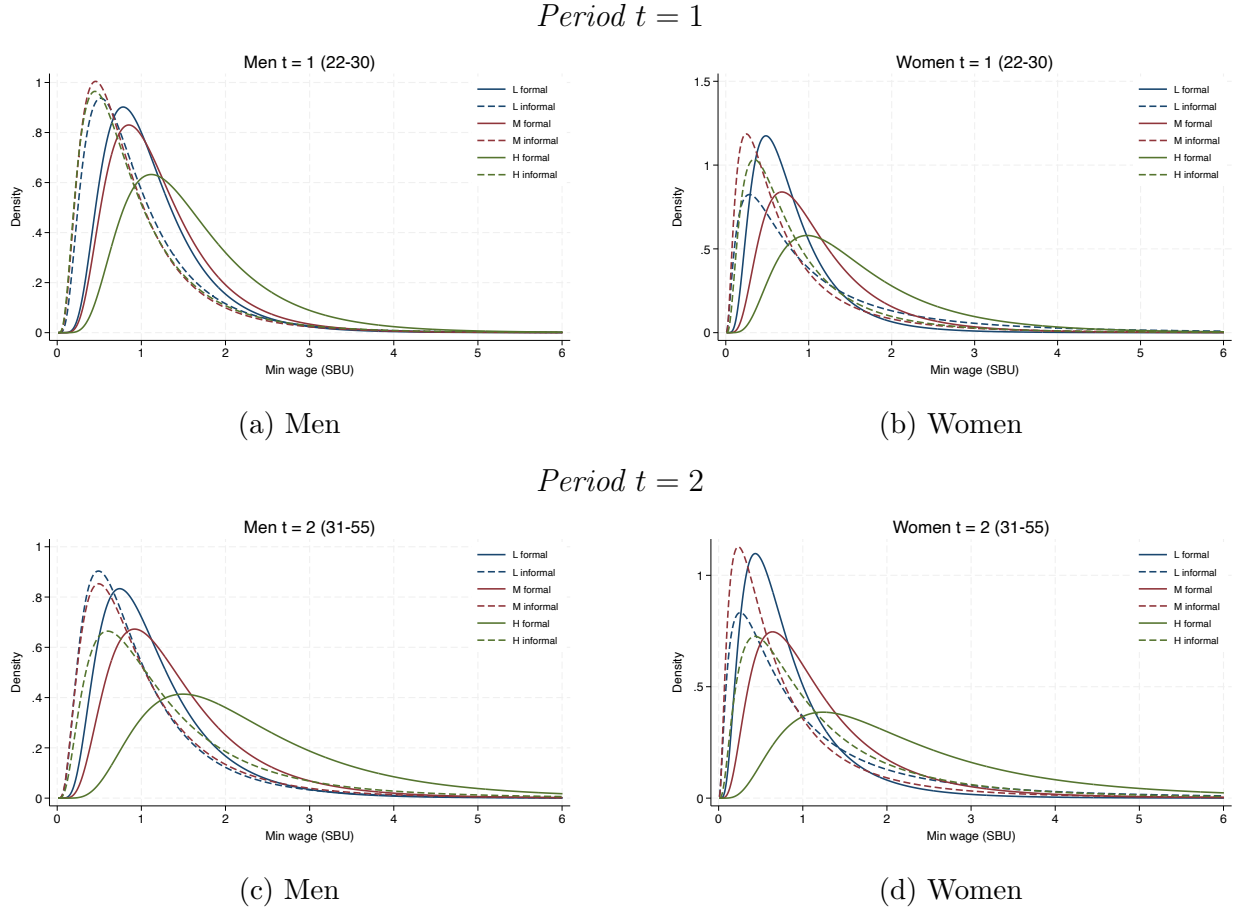


Figure 12: Formal and informal earnings distributions implied by the estimated model.

Table 34 reports aggregate statistics that do not enter the objective but are implied by targeted moments. Panel A aggregates the targeted joint distribution of sector pairs by type of couple. Panel B combines that distribution with the targeted shares of couples without children by sector pair; for instance,  $P(q = 0) = \sum_l P(l) P(q = 0 \mid l)$ . These statistics summarize how the targeted blocks fit together; they are not independent tests of the model.

| <i>Panel A. Sectors, implied by the targeted joint distribution: data / model (%)</i> |                      |                       |                         |
|---------------------------------------------------------------------------------------|----------------------|-----------------------|-------------------------|
| Sector pair                                                                           | $FF, FI$             | $FN, IF$              | $II, IN$                |
| Share of couples                                                                      | 12.4, 7.7 / 9.2, 9.1 | 28.1, 4.9 / 28.5, 9.3 | 12.9, 34.0 / 11.6, 32.3 |
|                                                                                       | $F$                  | $I$                   | $N$                     |
| Women, type L                                                                         | 6.4 / 7.7            | 19.9 / 21.7           | 73.7 / 70.6             |
| Women, type M                                                                         | 11.3 / 14.4          | 20.1 / 20.7           | 68.5 / 64.9             |
| Women, type H                                                                         | 34.6 / 32.3          | 21.9 / 20.3           | 43.5 / 47.4             |
|                                                                                       | $F$                  | $I$                   |                         |
| Men, type L                                                                           | 26.0 / 26.3          |                       | 74.0 / 73.7             |
| Men, type M                                                                           | 46.8 / 42.4          |                       | 53.2 / 57.6             |
| Men, type H                                                                           | 69.1 / 74.4          |                       | 30.9 / 25.6             |

*Panel B. Fertility*

|                                                    | Data  | Model |
|----------------------------------------------------|-------|-------|
| Probability of having children, woman not employed | 0.875 | 0.873 |
| Probability of having children, woman employed     | 0.748 | 0.752 |
| Share of couples without children                  | 0.174 | 0.174 |

Table 34: Statistics implied by the targeted moments.

Table 35: Fathers who change sector under rule (d): by father's earnings and mother's sector

|                                                                      | Fathers who<br>change sector (%) | Payment<br>current $\rightarrow$ (d) | Mother's resources<br>current | Mother's resources<br>rule (d) | Change<br>(%) |
|----------------------------------------------------------------------|----------------------------------|--------------------------------------|-------------------------------|--------------------------------|---------------|
| <i>Panel A. By tercile of the father's potential formal earnings</i> |                                  |                                      |                               |                                |               |
| Bottom ( $< 1.78$ )                                                  | 17.7                             | 0.25 $\rightarrow$ 0.46              | 1.14                          | 1.35                           | 18.4          |
| Middle (1.78–2.74)                                                   | 13.2                             | 0.44 $\rightarrow$ 0.80              | 1.44                          | 1.81                           | 25.7          |
| Top ( $> 2.74$ )                                                     | 10.1                             | 0.73 $\rightarrow$ 1.41              | 2.22                          | 2.91                           | 31.1          |
| <i>Panel B. By the mother's sector while the couple was together</i> |                                  |                                      |                               |                                |               |
| Formal                                                               | 13.5                             | 0.53 $\rightarrow$ 1.01              | 2.69                          | 3.17                           | 17.8          |
| Informal                                                             | 13.1                             | 0.41 $\rightarrow$ 0.82              | 1.30                          | 1.71                           | 31.5          |
| Not employed                                                         | 13.9                             | 0.40 $\rightarrow$ 0.73              | 1.16                          | 1.50                           | 29.3          |

*Notes:* Same population and assumptions as Table 13. The first column is the percentage of fathers in each group who work informally under the current system and formally under rule (d). The remaining columns refer to those fathers and their families. Amounts are in monthly minimum wages.

Table 36: Mothers' average resources after separation under rule (d): from fixed to responding choices before separation

|                                                  | Minimum wages |
|--------------------------------------------------|---------------|
| Current system                                   | 1.710         |
| + Change in choices after separation             | +0.053        |
| + Change in sectors and fertility while together | −0.003        |
| + Change in which families separate              | −0.029        |
| Rule (d), all choices respond                    | 1.730         |

*Notes:* Separated parents with children, weighted by their probability of separation. The terms are added one at a time; the second and third depend on the order in which they are added, and the table reports the average over the two orders (ranges: −0.002 to −0.004 and −0.028 to −0.030). Under rule (d), mothers' resources rise within each group: from 2.92 to 2.96 for mothers formally employed while together, from 1.50 to 1.56 for those informally employed, and from 1.29 to 1.32 for those not employed.